

Titagarh Rail (TITAGARH)

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Call: May 2023

TITAGARH RAIL

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Exchange Plaza Bandra- Kurla Complex
Bandra (E), Mumbai-400051
Scrip Code: TWL (EQ)

BSE Limited
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Dalal Street, Mumbai-400001
Scrip Code: 532966

Dear Sirs,

Sub: Transcript of the Investor Update
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015,
Titagarh Rail Systems Limited ('the Company')
can also be accessed on the Company's website at

Please take the above on record.

Thanking you,

Yours faithfully,
For TITAGARH RAIL SYSTEMS

Dinesh Arya
FCS 3665
Company Secretary & Compliance Officer

TITAGARH RAIL SYSTEMS LIMITED
(formerly Titagarh Wagons Limited)
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National Stock Exchange of India Limited
Kurla Complex
of the Investor Update Call
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of the
Limited ('the Company') held on Thursday, 25th May, 2023 at 4
can also be accessed on the Company's website at www.titagarh.in

For TITAGARH RAIL SYSTEMS LIMITED
& Compliance Officer
SYSTEMS LIMITED
Office: Titagarh Towers, 756 Anandapur, E.M Bypass, Kolkata 700107, India
; Web: www.titagarh.in Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure of the Investor Update Call of
May, 2023 at 4 :00 P.M. The same

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Titagarh Rail Systems Ltd -
Q4 FY23 Earnings Conference Call

Event Date / Time : 25/05/2023, 1 600 hours .
Event Duration : 64 mins 04 secs

CORPORATE PARTICIPANTS:

Mr. Umesh Chowdhary,
Vice Chairman and Managing Director,

Mr. Prithish Chowdhary,
Director Marketing and Business Development.

Mr. Anil Kumar Agarwal,
Director finance, CFO and CBRO,

Mr. Sourav Singhania,
Joint CFO and Group Finance Controller.

Transcript – Titagarh Rail Systems Ltd - Q4 FY23 earnings call 2

Q&A PARTICIPANTS:

1. Koushik Mohan : Ashika Stock Broking
2. Sunil G : Individual Investor
3. Balasubramanian : Arihant Capital
4. Vinay Chaudhary : Individual Investor
5. Premal Shah : Individual Investor
6. Ankur Agarwal : RC Wealth Solutions Private Limited
7. Karthikeyan : Suyash Advisors
8. Abdulkadira Raja : Ratnabali Investments
9. Akash Bohra : Dalal and Brocha Stock broking
10. Akshay Kothari : Envision Capital
11. Soniya Varnekar : Dalal and Bro acha Stock broking

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Moderator

Good evening, ladies and gentlemen, I am Vidya, moderator for the conference call. Welcome to Titagarh Rail Systems Limited Q4 FY23 earnings conference call. We have with us today, Mr. Umesh Chowdhary, Vice Chairman and Managing Director, Mr. Prithish Chowdhary, Director Marketing and Business Development, Mr. Anil Kumar Agarwal, Director finance, CFO and CBRO, Mr. Sourav Singhania Joint CFO and Group Finance Controller. As a reminder, all participants will be in listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal the operator by pressing * and 0 on your touch tone telephone. Please note that this conference is being recorded. I would now like to hand over the floor to Mr. Mohit Kumar. Thank you and over to you, Sir.

Mr. Mohit Kumar

Thank you, Vidya. On behalf of ICICI securities, I would like to welcome you all for the Q4 FY23 and FY23 earnings call for Titagarh Wagons Limited. Without much delay, I would now like to hand over the call to the management for the opening remarks, which will be followed by Q&A. Thank you and over to you sir.

Management Team

Thank you very much. Very Good afternoon to everybody and once again, our own welcome heartiest welcome to the Q4 FY23 earnings conference call. As always, it's a great pleasure interacting with all of you. So just to give you a brief snapshot of the quarter gone by and the year gone by, and then of course very happy to take questions and answer them to the best possible extent. I think FY23 has been a significant year in the history of our company. It's the beginning of the second 25 years of the company. First, we completed 25 years in July '22 and it's been a significant way to kind of celebrate the quarter anniversary of the silver anniversary because the company has moved from being just a wagon manufacturer to being the rail systems manufacturer and that is significant from the change of the name also that has been implemented.

So Titagarh Wagons now is called Titagarh Rail systems and that is reflective of the strategy that we would follow for the company in the future. We have also decided in the last quarter to segmentize the company into two business segments, the passenger rail systems business and freight rail systems business. We have decided to merge the smaller businesses like shipbuilding etc. into the freight because they are quite insignificant in terms of the overall size and the potential that we have now. That does not mean that we are forgoing those business opportunities, but definitely we are focusing on the existing opportunities that we have and keeping them in a slow

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burner so that we can raise the flame there once we have been able to stabilize our core businesses, which is the freight rail systems and the passenger rail systems.

The other significant development in the company has been that we have kind of gone through a transformational journey in terms of the size of business that we have

ve. You will be happy to know

that when we declared our results for FY22, we were with an order book of just about 1600 crores which along with our share of the consortium, that orders that we have won in a consortium with BHEL and Ramakrishna Forging, our business grows up to almost, order book goes up to almost 27,000 plus crores. So that's a quantum jump that we have been able to make during the year. In terms of performance also we have continuously ramped up the performance quarter after quarter, reaching to 970 odd crores in the last quarter and a total yearly revenue of 2781 crores which, of course are the best ever quarter and the year in the history of the company.

We believe going forward the passenger rail system, which was just about 500 crores, out of this 2700 crores has a long headroom available. We are currently operating at about 5-6 coaches per month. We have delivered 17 trains by March'23 and we would be ramping it up in the beginning to 20 cars per month and then our capacity planned for the passenger coaches over the next 2-3

years is to go up to 70 coaches, 70 -75 coaches per month. That's about 750-800 coaches plus in a year. In terms of the freight wagons, we are now around the run rate of 700 wagons, between 650-700 and we intend within this financial year to get it up to 1000 wagons a year.

The other very significant developments that have taken place during the year is of course our entry into the Vande Bharat train segment where we won the contract from the Indian railways for manufacturing 80 Vande Bharat trains in consortium with BHEL. As everybody knows, BHEL is a leader in electrical and propulsion and that is what their scope in the consortium would be and our scope would be to manufacture the train. The prototype train will be made in the next 24 months. And thereafter, in about 4 - 4 1/2 years, the balance trains will be delivered, which is followed by a 35 -year maintenance contract.

Although the pricing has been a challenge because of competitive pressures, but we had factored in some part of it and we believe that we will still be able to maintain the overall average blended EBITDA margins that we are doing now, which is about 8 to 10% in this contract in the supply portion also. The services portion, maybe the AMC portion may be a little better. But even in the supply, we should be able to achieve the 8 to 10% EBITDA margin. The other significant contract that the company has won is for manufacturing of wheels and as is well known to most of you, and I think this has been one of the questions that has been asked in most of the investor calls is how do you manage your supply of wheels sets because that's been always in short supply?

So, I think you know, a country like India, which has achieved many scientific peaks, has still been dependent on foreign countries like China, Ukraine, etc. for availability of wheels and kudos to

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the Government of India and to the railway ministry for coming up with this very forward looking concept of having a 20 year offtake agreement for buying 80,000 wheels per annum, which has enabled us to come in partnership with Ramakrishna Forging, which is undoubtedly a market leader in the forging business and they have a wealth of domain expertise in terms of the forging process, combined with our domain expertise in the railway.

It becomes a very strong win-win association between the two companies, and we would be setting up together a plant to produce almost 200,000 wheels per annum. This would probably, I'm not sure exactly, but probably the one of the largest if not the largest wheel manufacturing plant outside China, forged wheel manufacturing plants outside China. So, out of that 200,000, 80,000 wheels are assured for the next 20 years by the Indian railways and the rest will be used for

our own wagons for exports of Vande Bharat etc. So, these are a few very important developments that has happened in the course of the last year.

Another very significant and important development that has happened is in the erstwhile subsidiary that we had in Italy that is Titagarh Firema, wherein the investment was infused by new investors including the government of Italy in September 2022 as a result of which Titagarh Firema got converted from a subsidiary to an associate company. In terms of the operations of the associate company, the headwinds have been very strong in Europe as most of you know. To start with was the COVID crisis, then Ukraine war related inflationary crisis and so on and so forth.

However, having said that, the company has been and is in the process of getting some very significant orders and with induction of the government of Italy as an equity partner, we do believe that the company has a strong prospect, the turnaround of the company has been delayed, which we were expecting to happen last year, FY23. We've not been able to turn positive in FY23, but we do estimate based on the current order books to be able to break even, at least on the EBITDA positive level in FY24. We been able to install a new management, which post the induction of the government of Italy as a shareholder, the board had to be reconstituted the management has been installed with their consent.

And we believe that the company is now on its way to recovery. So as far as the future outlook for India is concerned, the outlook on the back of the very strong government policies for Atmanirbhar Bharat, for Make in India and the infrastructure, I was hearing an interview of the honorable railway Minister a few days ago, where he was explaining the economics of investment in the railway infrastructure and the payback to the economy, so this is the first time, that it's a music to years that at such senior levels, such detailed and careful analysis of the return on investment in such infrastructure, particularly in respect to the railways is being done.

And that makes us even more confident that this story of the railways turning around and companies like us being able to ride that wave effectively is something that is likely to continue. So, with these opening remarks, I'd handover the call to Mr. Anil Agarwal and Mr. Saurav

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Singhania to maybe walk you through some of the highlights of the financials, and then most happy to take any questions that may be. Thank you.

Saurav Singhania

Good afternoon, everyone. This is Saurav Singhania so, just a few key numbers that I wanted to highlight in terms of the performance of the quarter. So, in terms of the revenue, we had 974 crores during the current quarter as against 422 crores in the corresponding quarter in March 2022, which is 131% increase. EBITDA has gone up by 114% as compared to March 22 and Profit Before Tax by 173%. In terms of the overall revenue from YoY basis is 86% increase as compared to last year, 57% in EBITDA and 85% in Profit Before Tax. Some key ratios, if you see in terms of Return on Capital Employed, we were at 6.5% in FY19, which is in our presentation page number 13 and now, we have gone up to 26% in FY23. The Return on Equity has gone up from 5.2% in FY19 to 16.3% in FY23. In terms of net working capital days, we were at peak in FY21 at 80 days, which has now gone down to 60 days as on FY22. So, in terms of the overall segmental performance, if you see in the current year, in the freight rolling stock segments, the total revenue was at 2250 crores and the revenue from the passenger division has been at 528 crores. The margin from the freight rolling stock segments was at 10.47% and the margin from the passenger rolling stock was at 4.16%. So, with this, I would open up the questions from the participants in the call. Thank you.

Moderator

Ladies and gentlemen, we will now begin the question-and-answer session. If you have a question, please press "*" and "1" on your telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing "*" and "1" again. The first question comes from Kaushik Mohan from Ashika Stock Broking, please go ahead.

Kaushik Mohan

Hi Sir, congratulations for great set of numbers. Sir, I have a couple of questions. Can you just give some light on Vande Bharat for us. You have 80 trains order, what is the total value of this order and how much is your share? And in your share how much is for construction and how much is for maintenance?

Management Team

Thank you very much Mr. Mohan. So, for the Vande Bharat contract, there are two portions to the contract. Supply portion and the maintenance. The contract value is about 9600 crores and plus PVC which will accumulate over the period of time and the maintenance is about 1.4 -1.5 times of

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that. So, the total contract value including maintenance is about 24,000 crores plus the PVC as I said. Our share on the overall basis is about 51 -52% and BHEL is there.

Kaushik Mohan

Between 51 -52% for us and 48% is BHEL sir?

Management Team

So, it's between 51 and 52%. So, it's around 51 -52% is for us and balance is for BHEL. This is applicable both for the supply as well as the service.

Kaushik Mohan

Got it Sir and my second question is on this RK Forging part. With RK Forging, what is your share between both of us and what is the total order value and how many years will this go for?

Management Team

So, the initial contract value which we have received is 15,60,000 wheels which has to be supplied over 20 years. The value of the contract is close to 13,000 crores and the participation of both the companies is almost equal.

Kaushik Mohan

Sir, is this inflation adjusted or is the number has been exactly calculated current price?

Management Team

This is not inflation adjust. This is plus PVC. The exact quantity is 15,40,000 wheels, and not 15,60,000 and the total exact value is close to approximately 30,000.

Kaushik Mohan

Sir there is one recent bidding which happened for 50,000 wagons. When can we expect the results for this?

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Management Team

There is no bidding that has happened till now. It was in the media that there is a tender likely to come out, but the tender has not yet come out.

Kaushik Mohan

Got it. Thank you, sir and congratulations, for the numbers.

Management Team

Thank you very much sir.

Moderator

Thank you, sir. The next question comes from Sunil G, an individual investor. Please go ahead, sir.

Sunil G

Yes, my first question is regarding this decrease in their borrowing, which if I considered this current and non-current borrowing is approximately INR 600 crores which is fantastic, but there is an increase of INR 200 crores in that contract borrowing sorry, yes in the Contract Purchase, what does it mean? Does it also get some interest or is it purely like vendor catering.

Management Team

Sir, are you talking about the contract liabilities on the standalone financial?

Sunil G

Yes, consolidated yes.

Management Team

Yes, so these contract liabilities are the advance from customers that has been received against various contracts. So, this has been disclosed separately in line with the requirements of the scheduled thing.

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Sunil G

So, if you can use the term in advance received from customer that will be much better. Because it's too conf

using and too misleading what this is, contract's liabilities. Contract can quote so many things, contract can quote about vendors and other things. Contract could include so many things, so better everyone write as advance from customers.

Management Team

We take your suggestion sir, very valuable. We will examine this the accounting standards and I have requested my team to examine, this is a very valuable suggestion.

Sunil G

Yes, and number two, I mean, I have seen all your press release. There is also some sort of incompleteness and misleading portion is there. Because you are writing okay at 80 Vande Bharat train we have received under the consortium. But there is no mentioning there what is your share of the JV or the consortium in that particular press release. So, we as an investor, we just keep thinking, okay, maybe it's 90%, maybe it's 10%, maybe 20%, maybe 50%. So, today only you clarified. So going forward, whenever a press release has given, kindly mention like any other company mentions to give the complete information otherwise, it may also tend to move to like, you can say violation of required order for example.

Management Team

Again, thank you for your suggestion, but to the best of our knowledge, the press releases that have been issued by us and we cannot talk about press coverages, but press releases, we always give all the necessary facts that are to be given. If there are some that you have come across which do not give the necessary details, we would request you to share this with our investor team and we should certainly look into it. But as a company we are very conscious about press releases. Of course, we cannot control all press coverages.

Sunil G

No sorry sir, I am not talking about press release, I'm talking about the corporate announcement which you are given to the stock exchange. We don't rely on this media or a paper. So whatever corporate announcements you have given in the form of press release to the stock exchange there only be we have seen that nowhere you have mentioned, or your team has mentioned regarding that, what is the share of Titagarh Wagon or Titagarh Railway System in that particular JV of consortium. So going forward kindly mention.

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Management Team

Thank you very much. We will definitely check this up inadequacy of information and we shall definitely make sure that it is correct.

Sunil G

Thank you. So, nice of you sir.

Moderator

Thank you, sir. The next question comes from Balasubramanian from Ar i hant Capital, please go ahead.

Balasubramanian

Good evening, sir. Congratulations for good set of numbers. My first question like what would be the status for trial and propulsion systems for railways and after propulsion systems like it's the kind of indigenization so what kind of margin improvement we may expect? Because right now in the metro in the cost side around 20 to 30% share of value comes from propulsion systems only. So, after this indigenization, what kind of margin improvement we may expect?

Management Team

Thank you, sir. In terms of the process of approval of the propulsion system that is underway, some of the components we have already supplied, and they are under the trial period, there is a very detailed step by step approval process for the propulsion system, which is actually quite time taking. We are pursuing that and over the year, we should be able to receive some of the approvals and start bulk supplies, some of the approvals will get spilled over to the next year. So overall, I would say we are, by and large as per our plan on the propulsion system.

And in terms of your second part of your question, that is about margin improvements, once we have our own propulsion system, definitely it is going to impact the margins favorably once we

e

start making our own indigenous propulsion system. But in order to reach that stage, where we will be fully independent, and we'll be able to do our own propulsion systems entirely by ourselves, it is going to be a process of at least 2-3 years. Thereafter, there is definitely going to be a quantum jump in the overall margins of the PRS that is the passenger rail system business.

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Having said that, I would also like to clarify that the passenger rail system, even without the propulsion, is a business where we are expecting to get the same 8 to 10% EBITDA margins. The current low level of EBITDA is on account of the no top line in our business, the top line is what drives the bottom line. So, since the business is at a nascent stage till the business comes to a certain base level, the EBITDA margins are lower, but you would see that it has improved over the quarters. And going forward once we have been able to reach a certain base level, we will be able to get an 8 to 10% EBITDA margin on the PRS also.

Balasubramanian

Okay got it sir. Sir, and my second question under traction motor side, what would be the volume on that monthly run rate and what kind of target we have going forward?

Management Team

We have installed capacities between 150 to 200 traction motors per year that 1800 to 2400 traction motors per year but as I mentioned a little while ago, the entire process of approval is a time taking one we have already supplied traction motors, some of them have already undergone trials have been successful. And it is a process which is ongoing. And we will continue to travel this journey.

Balasubramanian

Okay sir, we are manufacturing around 50 -60 motors per month or like what will be the numbers?

Management Team

Sir, now, as I mentioned that we have only made the trial production, the trials have to go on and there is a process I'm not able to elaborate the entire process because it's the entire specifications of the railways. But to be able to get to the rated capacity of 150 to 200 traction motors a month is going to be a 2-2.5 year journey.

Balasubramanian

Okay go t it sir. Sir on the Metro side is there any pipeline and what would be the status on Surat and Ahmedabad metros, if you could throw some lights on future opportunities, that would be really helpful.

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Management Team

The Metro business is a very attractive business, there are many metros that are coming up and that have been announced to come up, I will not be able to speak about specific opportunities as we can only speak about them when we are successful in winning a bid. But all I can say is th at you know being the latest entrant in this field, and competing with large companies, we have been able to establish ourselves in a very significant manner as the only Indian fully Atmanirbhar Metro coach manufacturer and using this advantage of being es tablished as a good manufacturer of Metro coaches, we will definitely be a significant player in this segment in years to come.

Balasubramanian

Thank you so much sir. I'll come back in the que.

Moderator

Thank you, sir . The next question comes from Vinay Chaudhry an individual investor. Please go ahead.

Vinay Chaudhry

Hello, thank you for the opportunity and congrats on the great numbers. So, on the wagons how much would be the private sector wagons which have been produced in FY23 and what are th e planned production for the coming FY24?

Management Team

Thank you, sir . Sir, as a strategy we do not give the breakup between the private sector and RSP wagons. We do not announce those numbers all I can say is that we are a leader in both the segments . We have order book which are probably equal to the largest or even the

largest in the private sector wagon market also and of course, we are by far the leaders in the railway wagon market. So, in both the segments we are quite actively present and are pl aying a very important significant role.

Vinay Chaudhry

Sure, and when can we expect the coaches manufacture for CRRC start?

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Management Team

The coaches are for Bangalore Metro on behalf of CRRC and production is likely to start in the Q3 of the current financial year.

Vinay Chaudhry

Okay and if I got the information right the current capacity for Metro coaches is around 1.5 to 2 lakhs.

Management Team

I did not get you I am Sorry.

Vinay Chaudhry

Sir, can you throw some light on the current capacity for the Metro coaches with the commencement of the stainless -steel coaches set to begin production ?

Management Team

Okay so, for the Metro s we will have a capacity of about 30 -35 coaches per month and then we will have similar capacity for the Vande Bharat. So, overall, we are planning to build a capacity of about 70 cars per month.

Vinay Chaudhry

Okay. Thank you very much.

Moderator

Thank you, sir . So, the next question comes from Premal Shah, an individual investor, please go ahead.

Premal Shah

Yes, h i good afternoon, sir thank you for the opportunity. What is the wagon production for this current quarter? Total wagon production? Hello, am I audible?

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Management Team

Yes, you're very much audible. Good afternoon, sir. So, we have been able to get to approximately an average rate of around 8000 wagons, that is about 2000 wagons with a quarter. But we would not be able to disclose the exact numbers that we won't put that in our presentation, and we do not generally disclose the exact numbers. But we are now I mean we h ave been able to achieve close to 2000 wagons per quarter and our target is the current financial year to grow it further to reach close to 3000 wagons per quarter.

Premal Shah

Okay, thank you. And in this quarter's results, the freight rail system shows a top line of about 808 crores and you've already merged the shipping business into that. So, could we get a basic idea about what is the freight rail top line and a shipping top line because both are included. So, we don't have an idea on that.

Management Team

So, it is primarily the freight rail and shipping is not very significant part, that is why the segment has been merged. So, breakup of the merged entity at this point may not be possible or appropriate. The overall size of the company and overall scheme of things, it would be extremely small, shipbuilding would be extremely small at this point of time. As I mentioned in my opening comments, that is true for this at this point of time, and by no means we are planning to kind of downplay the shipbuilding for the long term, we believe that it does offer good prospects but or being able to concentrate both our capital allocation and management resource and time allocation, this organization is considered appropriate and implemented.

Premal Shah

Okay and this Pune Metro what percentage of the total contract is still pending to be executed? And by when will it be complete?

Management Team

As I mentioned, about 50% of the contract has been completed till the last financial year the balance will be completed within the current year.

Premal Shah

Okay, thank you. That's it from my side. Thank you.

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Management Team

Thank you so much.

Moderator

Thank you, sir. The next question comes from Ankur Agarwal from RC WEALTH SOLUTIONS Private Limited please go ahead.

Ankur Agarwal

Congrats on

the excellent performance. Please provide visibility on the Passenger Rail segment.

Management Team

Thank You. We intend to build a capacity of 700 -800 coaches per year for the Passenger Rail segment. Selling price of each coach is around Rs 9 -10 crores. In case of Vande Bharat, selling price will be lower due to consortium arrangement. This is a very big opportunity and the Passenger Rail segment opportunity itself is much larger than the size of our company. We are building a capacity of 30 metro coaches and 30 Vande Bharat per month. Currently, we are at a nascent stage in the metro division and doing 5 coaches which will gradually increase to 12 -15 and eventually to 20. Final target is 30 coaches per month in the metro. Line for Vande Bharat will start fully in next 2 years. Initially the production will be low and we will make 30 -35 coaches per month as per contractual delivery schedule.

Ankur Agarwal

What is the order book status of our associate in Italy?

Management Team

Last time we had announced around Eur 450-500 million order book. They have also bid few orders which is in pipeline which will be disclosed in due course of time when appropriate.

Moderator

Thank you, sir. So, the next question comes from Karthikeyan from Suyash Advisors. Please go -

ahead sir.

Karthikeyan

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Sir, Good afternoon.

Management Team

Good afternoon, sir.

Karthikeyan

Yes, thank you. So, couple of things, sir on these two contracts, one in consortium with RK Forging and other with BHEL, given the long tenures of these contracts, and specifically on the RK project, where you're also creating extra capacity, a couple of things, can you tell us how protected are you in terms of downsides, on the profitability side in these contracts? And given that you are creating 60% extra capacity, spare capacity on the wheel strength site? How soon do you believe you will be able to absorb this entire capacity sir?

Management Team

Thank you very much. In terms of the downside protection, you see, there are two ways of downside protection, one is the price protection for the contracts on account of inflationary tendencies trends. So, all the contracts, the large contracts that we have got, whether it is Vande Bharat, or the wheels are both with price variation, adequate price variation clause, which kind of protects the companies, whether it's our consortium with BHEL, or our consortium with Ramakrishna Forging from the inflationary trend.

Karthikeyan

I'm very sorry to be interrupting, but when you say inflation, would that be only on the input side or would that include fuel and other components as well sir.

Management Team

It is a very comprehensive price variation formula, I mean, of course, I would not be able to go into each element of that, but when the price variation formulas are worked out, they are worked out on the basis of the actual cost of production. So, suffice to say that, based on the experience of the company over the last 25 years, which is a very long period of time to be able to judge the efficacy of such price variation clauses, barring a couple of quarters here or there, where the price movements could be very steep and sudden the price variation clause does compensate for the inflationary cost pressures.

Karthikeyan

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Right.

Management Team

In terms of utilization of the capacity is concerned, if any venture is set up, where 40% capacity is underwritten by a single customer for a long period of 20 years, that itself gives you a very large, huge head start. So, that is what we are looking at, we are looking at the glass half full and not the glass half empty, the 60% capacity that we are building up is something

which will be not a big challenge to kind of absorb or to be able to sell as we ourselves as a wagon manufacturer

are always in shortage of wheel sets.

Then after that, we would also have the Vande Bharat and then the maintenance of the Vande Bharat. So, there's 35 years of the maintenance of the Vande Bharat which would also require wheel sets and there is the export market wheels and with the China plus one strategy, which the world is following. Today, most of the wheels are being produced in China. So, we do believe that there is a very good export potential and we will be focusing on export markets as well for the reasons that we will produce.

Karthikeyan

Right sir one clarification sir would there be a meaningful import content in terms of raw materials still available locally for the wheels? Or would you have specific grade requirements which you have to import at this point in time?

Management Team

Wheel is available locally, but I'm not able to give details about the kind of import versus domestic content. These tenders are under Make in India clause of the government which means substantial local content is a must. But having said that, these are operational decisions, and we are talking about a contract which lasts for 20 years. So, obviously there are strategies that cannot be kind of decided upfront.

Karthikeyan

Right, but there is no constraint in terms of local availability, my question, I get that you, you retain your option of course.

Management Team

That's right.

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Karthikeyan

And one last question, if I may say I don't mind my delivering the point, but with just the 40% utilization 77,000 per annum effectively the wheel sets, would you at least break even at an EBITDA level, with just this number that is to say.

Management Team

It will be going into too much of financial details, we will definitely, disclose, because this is a consortium of two listed companies, whatever is possible to be disclosed, but, once again, I will say that, as investors you would have seen many companies and as industrialists, whatever, we have seen, if a business is started, a greenfield project is started, where in 40% of the capacities underwritten for the next 20 years by a single customer, then the head start it's like starting at a 50 meter or a 40 meter kind of handicap advantage in a 100-meter race.

Karthikeyan

Of course, though I appreciate the advantage of course, just clarifying whether, there is a longer gestation than what is available, immediately that is the only point behind the question, but thanks very much for indulging me and very best wishes sir.

Management Team

Thank you.

Moderator

Thank you, sir, we have a follow up question from Kaushik Mohan from Ashika Stock Broking

please go ahead.

Kaushik Mohan

Hi sir, this is a question on I just wanted to understand on your current Pune orders sir how many total what is the contract value for Pune and how many you told 50% has been delivered that means another 50% how long do you have the time?

Management Team

Transcript – Titagarh Rail Systems Ltd - Q4 FY23 earnings call 19

So, the total contract for Pune was 34 trains. The value of the contract was about 1000 -1100 crores .50% has been executed the balance will be over within this financial year.

Kaushik Mohan

Sir for one train how many coaches that comes out to be.

Management Team

See 34 train , 3 coaches each 102 coaches.

Kaushik Mohan

102 coaches. So, that means that half of that is 51 you have been already supplied and 51 is still more pending.

Management Team

That's right

Kaushik Mohan

Sir in this duration of 1 year or 2 years over the 2 years or 1 year.

Management Team

This one is completed within this financial year.

Kaushik Mohan

You will complete this in this financial year. Okay. Sir, how about the Bangalore order?

Management Team

As I mentioned a little while ago, we will start production in Q3 of the current financial year. And that would take about 6 quarters or 7 quarters as per the schedule.

Kaushik Mohan

Transcript – Titagarh Rail Systems Ltd - Q4 FY23 earnings call 20

Okay. Sir what is the margins only in the metro segment?

Management Team

Sorry, I didn't get your question.

Kaushik Mohan

What is the EBITDA margins in Pune Metro segment?

Management Team

We will not be able to disclose contract by contract margins for competitive reasons, but segment margin have already been disclosed in the results that have been published.

Kaushik Mohan

So, because in this financial report, which have gone through, I'm just seeing that margin is 4.1% Is my reading right or is there is any mistake on this.

Management Team

There is no mistake in reading sir.

Kaushik Mohan

The reading is correct than what I did.

Management Team

Yes, as I said a little while ago that we have not been able to attain till now the base level of capacity utilization and therefore the fixed costs of the business get amortized over a smaller volume, which results in lesser margins. Apart from that there are some learning curve costs that are incurred in a new business. But going forward, we expect that once things are more stable over the next maybe 3 -4 quarters, 5 quarters at the most we would be able to also target 8 to 10% which is projected forecasted EB ITDA margin in the PRS as well.

Kaushik Mohan

Sir, the last and final question, what can be the Cap ex for the next four years plan?

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Management Team

We had already announced the Cap ex that we are likely to incur including the ones that we have done in the last two three years is about 1000 crores. So, what we have done in the last two, three years is around 250 -300 crores, the rest will be spent over the next four or five -years' time, which would also include our equity portion to the week project.

Kaushik Mohan

Got it sir another question is on the Wagons part on freight wagons. Sir this year, how many wagons have you produced? If any near number works out for me?

Management Team

It's already disclosed in the investor presentation that the dispatch for the current year is 5298 Wagons.

Kaushik Mohan

Okay sir , thank you. I didn't get that.

Management Team

Thank you.

Moderator

Thank you, sir . The next question comes from Abdulkadira Raja from Ratnabali Investments, please go ahead.

Abdulkadira Raja

Good evening, sir. And thank you for giving me the opportunity and congratulations on such a great set of numbers. So, just wanted to understand the demand for the private sector in the wagons. And if you could just, throw us a ballpark number like of how much wagons were like you would have delivered during the previous quarter.

Management Team

Sir, we already mentioned that delivery on quarter by quarter basis is something that we are not disclosing but approximately we have been able to achieve about 2000 run rate of 2000 wagons

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close to 2000 wagons per quarter. I didn't get your first question the first part of your question if you could repeat it.

Abdulkadira Raja

Yeah, we just wanted to understand the sales number which we have shown in the freight rail segment. So, like I just want you to understand like how has the private demand, or shipped up in the last quarter?

Management Team

The private demand break up while in the last year I would say we are not giving the breakup, but I did mention in the during the call that in te

rms of our company, we are a leading player one of the leading players in the private rail wagons businesses as well, we would have one of the highest order books and in both the private sector and in the Indian railway business. So, the private business or private wagon business is also very buoyant business. But when you look at the wagon business per se, we have to see the overall demand because you know the demand of the railways is there as a set number and purchasing is done either via the railways own funds, or under the PPT mode which is done by the railways sorry by the private sector wagons.

Abdulkhadari Raja

Okay got it sir. That's it for my side. Thank you so much sir.

Moderator

Thank you, sir . The next question comes from Akash Bohra from Dalal and Brocha stock broking, please go ahead.

Akash Bohra

Yeah, thank you for the opportunity and congrats for the good set of numbers. So, my question is more from the point of view of so regarding the Cap ex that we're going to do, is it going to be from our internal accruals? Or are we going to take more debt and what is the broader strategy on date as to how are we planning to , how much data are we trying to keep in our books, how, much are we planning to repay in the short and medium term?

Management Team

Sir, our strategy as far as debt is concerned is quite evident from our actions over the last years. While on one side, we have incurred capex and enhanced capacities, if you compare on a

standalone basis, which is excluding the erstwhile subsidiary, over the last five years, we have reduced our debt quite significantly. So, we are conservative, very conservative as far as our debt policies are concerned. On the funding of the Capex, we are generating cash and we have good cash flow.

Having said that, we also have a large growth trajectory as you are aware, and you can see from the numbers in 2018 which is 5-6 years ago, we were at 300 Crore top line and now we are at a 970 Crore quarterly line. So, which on an annualized basis is 10 -12 times of that. So obviously, the cash requirement goes up. So as far as the funding of the capex judicious mix will be worked out it is still work in progress, we will be using part of it through our internal accruals maybe part of it through debt etc. So, this is something which we do not see or envisage this as a challenge, but we will be working on this and making sure that it is done in the best interest and sustainability of the growth trajectory that we have embarked upon.

Akash Bohra

Okay sir. So, basically, we are not planning to raise any proceeds from equity rights.

Management Team

There is nothing that has been planned so far. But I will not, again, like to speculate on any future issues, but no, we have not yet planned any equity raising so far.

Akash Bohra

Okay sir and if you could give any guidance for FY24 and FY25, for revenue and EBITDA levels.

Management Team

We do not give guidance in terms of the business for the future. But what we have always maintained is that our business is top line leading the bottom line, the kind of business in terms of the EBITDA, we continue to maintain that we would be able to do our businesses, a business, which gives about 8 to 10% of EBITDA, some quarters can be slightly better, some quarters can be slightly worse, some contracts can be slightly better, some contracts can be slightly worse, but on a blended basis, when we do our bidding, when we do our strategies, we ensure that we are at about 8 to 10% EBITDA and we have already disclosed to you the order book that we have and the ramp up that we have been able to achieve over the last six eight quarters, where we have been very consistent in our delivery whatever we have kind of promised. So, we hope we are sure we'll be able to maintain that kind of kind of performance.

Akash Bohra

Okay sir and just last question from my side. So, this was regarding the large orders that we received. So namely the wagons order from Indian railways, the Vande Bharat orders and Metro order these three. What is the broad execution timeline and what is the broad revenue booking like when it will start reflecting in our books so what is the broad name for these two things for these orders?

Management Team

Sir, the execution timelines of different orders are different. There's not a standard execution timeline, the wagon order is already under production and revenue has been booked over the last 11-12 months. I would say for the Vande Bharat the first train will be supplied in two years from now. And thereafter the train supply would happen in about four and a half years. The revenue recognition will start when we start building the train in the POCM method. And Metro as I mentioned a little while ago the Pune Metro may have already executed 50% the balance will be

executed during this financial year.

Akash Bohra

Sir so for Vande Bharat when you're recording on a POCM basis so, like will the revenue booking start from FY 24 and FY 25 itself because we would have already started building the train right.

Management Team

Sir, I will not be able to comment upon that that is an accounting treatment which has to be dependent on the physical progress of the work. So, as it is the percentage of completion so as the project gets started getting completed, the revenue recognition would happen accordingly. But of course, we have to deliver which we will deliver the train in 24 months the production activities will have to be started much before

Akash Bohra

And the Wagons will complete by the wagons order 24,000 order when completing.

Management Team

This is scheduled to be completed by August 25.

Akash Bohra

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Okay sir, thank you sir.

Management Team

Thank you.

Moderator

Thank you, sir. So, the next question comes from Akshay Kothari from Envision. Please go ahead.

Akshay Kothari

Yeah, thanks for the opportunity, sir am I audible?

Management Team

Yes, absolutely sir.

Akshay Kothari

Sir, just one clarification the 9600 and the remaining maintenance order so the workshare is equal for both BHEL and us.

Management Team

Sir I've already clarified a little while ago, about 51-52% for us and the balance for the BHEL.

Akshay Kothari

Yes, but also on the maintenance price?

Management Team

Yes, for both supply and maintenance both are approximately the same percentages now.

Akshay Kothari

Okay sir so now on the Vande Bharat trains is there any stipulation of certain level of indigenization, which needs to be there which is embedded in the contract?

Management Team

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I'm sorry, I didn't get your question.

Akshay Kothari

So just, you did mention that rail wheel sets will also be a supplement to the 35 years of maintenance, which we will do for Vande Bharat, I'm just asking whether there will be any stipulation of, Atmanirbharta indigenization content, which is there in existing Vande Bharat contract?

Management Team

Yes, absolutely all these contracts are under the making India clause Vande Bharat clause.

Akshay Kothari

Yes, so there is a stipulation of around 80%, local procurement or something like that, right?

Management Team

Different tenders have different stipulations of local content. So, I'm not able to comment on individual contracts, but yes, they do have the appropriate local content which is stipulated by law.

Akshay Kothari

Okay sir, lastly what risks do you perceive in these contracts? Because I have of -lately seen some of them, whenever there is this jointly and severally liable clauses, because the other party does not perform, and under him the whole project falters. So, what are the risks which you perceive in these contracts when we are working with the counterparty?

Management Team

There are risks in every contract in every sphere of business, what we absolutely do, and the risks exist for both sides, I mean, there is a perceived risk, and there is an actual risk. So, both parties work together to mitigate those risks. And that is exactly what we are doing also, in both the cases in both the partnerships that we have built in, we don't see a huge rates as such, which is unmanageable, because both the cases we have very strong partners, and both the partners bring in immense value on the table in terms of their knowhow expertise and management bandwidth, so we really do not see this as a risk but we see this as an opportunity.

Akshay Kothari

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That's great sir. Lastly do we have the capability to win aluminum coaches as well?

Management Team

In Pune Metro we are the first aluminum coach manufacturer in the country.

Akshay Kothari

Vande Bharat as well.

Management Team

If we can make one, we can make anyone, but Vande Bharat current project is on stainless steel.

Akshay Kothari

Yes, understood But I think there are talks of our getting into aluminum coaches for Vande Bharat as well.

Management Team

We will cross the bridge when we come to it. Whenever there is an opportunity, we will definitely evaluate the opportunity on its merits.

Akshay Kothari

Thanks a lot, and all the best Sir.

Management Team

Thank you, sir .

Moderator

Thank you, sir . The next question comes from Sonia Varnekar from Dalal and Brocha please go ahead.

Sonia Varnekar

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Hello, sir. Thank you for the opportunity. I have two questions on Vande Bharat. Earlier you mentioned that margins on Vande Bharat order would be higher in maintenance versus manufacturing. So, initially when the majority of business would come from manufacturing part of Vande Bharat, it will impact blended margins, right?

Management Team

No, it will not impact blended margins mam. Because, as I mentioned that our business for sustainable level of EBITDA margins 8 to 10% and that is what we are expecting to receive from the supply of Vande Bharat as well.

Sonia Varnekar

Okay, and sir regarding propulsion system it will be sourced from home for Vande Bharat?

Management Team

Our partners BHEL is responsible for the propulsion supplies.

Sonia Varnekar

Okay, so sir in terms of quality or technology, how is it placed against the competitors?

Management Team

The very fact that the results have technically evaluated qualified and awarded the contract to us is testimony enough that the partners both us and BHEL are fully competent to produce a quality train as per the required standards. Both BHEL and us have qualified on the basis of our credentials which is past performances, so in a nutshell, both of us have already kind of been in the respective businesses that we are in and have been able to supply the right quality product in

the right manner. That's what has led us to be able to be the successful bidder for this tender.

Sonia Varnekar

Okay sir last question, if I can ask. Recently, there was an announcement that railways will be procuring 238 Vande Bharat Rakes for replacing Mumbai local, Vande Bharat Metro Rakes. So, will Titagarh bid for this order?

Management Team

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We also read the announcement mam. As I mentioned, we evaluate each opportunity on its own merits, we are significant and leading player in the business both in the Vande Bharat now and in the metro segment. So definitely when there is an opportunity, we definitely would evaluate that to give a definitive answer of a yes or no at this point of time would be premature, because we've also read this from media reports. The tender is not being floated as yet.

Sonia Varnekar

Okay, and sir in terms of capacity for passenger coaches, like if such orders come then how well we are placed to increase capacity.

Management Team

I already mentioned, we are increasing capacity significantly. And our targeted capacity is to get to about 70 coaches per month, in the next say three years or so.

Sonia Varnekar

Okay, thank you. So that's it from my side.

Moderator

Thank you. That will be the last question for the day. Now, I hand over the floor to the management team for the closing comments.

Management Team

Thank you very much. And thank you to all of you for the very insightful questions and suggestions, we have taken note of the same and my team here has taken note on each one of them. Thank you for the support and confidence that has been bestowed upon us in the past, and we do look forward to be able to live up to those expectations in times to come. As I mentioned that, India is going through a transformative journey under the current regime in terms of the railway, the Atmanirbhar Bharat Abhiyan, infrastructure spent, the Make in India program and I have always believed that the Make in India program and the Atmanirbhar Bharat is probably the most significant development in independent India in terms of supporting and encouraging local industry.

So, we have just been able to ensure that we are able to ride this wave and be a part of this journey that the government, the honorable Prime Minister has been able to kind of define for the country. So, we believe that this growth in the railway space in the infrastructure space is here to stay. And it shall be continuously our endeavor to be able to upgrade ourselves on an ongoing

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basis to be significant contributor to this process of I would say reconstructing Indian infrastructure. So, thank you very much and wish you all a very good evening. Thank you.

Moderator

Thank you, sir. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you and have a pleasant evening.

Note:

1. This document has been edited to improve readability.
2. Blanks in this transcript represent inaudible or incomprehensible words.

Call: Jul 2023

27.07.2023

National Stock Exchange of India Limited
Exchange Plaza Bandra - Kurla Complex
Bandra (E), Mumbai-400051
Scrip Code: TITAGARH

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai-400001
Scrip Code: 532966

Dear Sirs,

Sub: Transcript of the Investor Update Call

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of the Investor Update Call of Titagarh Rail Systems Limited ('the Company') held on Monday, 24th July, 2023 at 4:00 P.M. The same can also be accessed on the Company's website at <https://titagarh.in/other-information>

Please take the above on record.

Thanking you,

Yours faithfully,
For TITAGARH RAIL SYSTEMS LIMITED
(Formerly Titagarh Wagons Limited)

Dinesh Arya
M.No. FCS 3665
Company Secretary & Chief Compliance Officer

Transcript- Titagarh Rail Systems Limited Q1FY24 Earning Conference Call - 1 - 24.07.2023

Titagarh Rail Systems Limited
Q1 FY24 Earnings Conference Call

Event Date / Time : 24/07/2023, 16:00 Hrs.
Event Duration : 47 mins 34secs

CORPORATE PARTICIPANTS:

Mr. Umesh Chowdhary
Vice Chairman and Managing Director

Mr. Prithish Chowdhary
Director, Marketing and Business Development

Mr. Anil Kumar Agarwal
Director Finance CFO and CBRO

Mr. Saurav Singhania
Joint CFO and Group Finance Controller

Mr. Mohit Kumar

ICIC Securities Limited

Transcript- Titagarh Rail Systems Limited Q1FY24 Earning Conference Call - 2 - 24.07.2023

Q&A PARTICIPANTS:

1. Bala Subramanian : Arihant Capital
2. Bhavin Chheda : Enam Holdings
3. Akash Vora : Dalal and Brocha
4. Ashwani Sharma : ICICI Securities Ltd
5. Srinidhi karlekar : HSBC
6. Parvez Qazi : Nuvama
7. Jay Bathija : JV investment
8. Pankaj Gupta : Ratnabali Investments
9. Siddharth Purohit : InvesQ Investment Advisors Pvt Ltd
10. Manish Maheshwari : Manu Family Office
11. Kunal Sheth : B and K Securities
12. Rahul Maheshwary : Ambit Asset Management

Transcript- Titagarh Rail Systems Limited Q1FY24 Earning Conference Call - 3 - 24.07.2023

Moderator

Good afternoon, ladies, and gentlemen. I'm Pelsia, moderator for the conference call. Welcome to Q1 FY24 Results Conference Call of Titagarh Rail Systems Limited. As a reminder, all participants will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * and then 0 on your touch-tone telephone. Please note this conference is recorded. I would now like to hand over the floor to Mr. Mohit Kumar from ICIC Securities Limited. Thank you, and over to you, sir.

Mohit Kumar

Thank you. On behalf of ICICI Securities, I would like to welcome you all for the Q1 FY24 earnings call for Titagarh Wagons. We have with us today, Mr. Umesh Chowdhary, Vice Chairman and Managing Director; Mr. Prithish Chowdhary, Director, Marketing and Business Development; Mr. Anil Kumar Agarwal, Director Finance, CFO and CBRO; Mr. Saurav Singhania, Joint CFO and Group Finance Controller. Without much delay, I would now like to hand over the call to the management for the opening remarks, which will be followed by Q&A. Thank you, and over to you, sir.

Umesh Chowdhary

Thank you very much. Very good afternoon and thank you to all the participants for yet again joining the earnings conference call of Titagarh Rail Systems. I'm Umesh Chowdhary and I'm joined by my colleagues Anil Agarwal, Prithish Chowdhary, Saurav Singhania, and Divesh Singhania. This quarter has been an

interesting quarter, number of developments have taken place, some follow-on developments, and some continuing progress. So, as far as the follow of developments are concerned, during the quarter the company signed the major contracts of the Vande Bharat train as well as the wheel project, the Vande Bharat in consortium with BHEL, and the wheel project in joint venture with Ramkrishna Forgings. Of course, the Letter of Award of these were received earlier but the final contract signing happened during this quarter. During the quarter, we also received the Letter of Award from Gujarat Metro for-- sorry, there is a static, if the call can be put on mute by the organizers, please?

The company received a Letter of Award from Gujarat Metro for 72 cars of Surat Metro, which is a major development, because this is the stainless-steel metro, and this is the first direct stainless-steel metro contract the company has won. As we had already shared in the past, the company is setting up the stainless-steel metro line for which the first contract which will be executed will be the Bangalore Metro contract in subcontract from CRRC. So, that gives us the capability to manufacture stainless steel lines, and this will be only a follow-through. In terms of the numbers, the numbers have already been shared. We've been able to deliver numbers that have been as per our expectations, and I would say that in the coming quarters, we would continue to develop on both Freight Rolling Stock and the Passenger Rolling

Transcript- Titagarh Rail Systems Limited Q1FY24 Earning Conference Call - 4 - 24.07.2023
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gment. With these opening comments, I am most happy to take questions along with my team, we'll try to answer them to the best of our ability. Thank you.

Q&A

Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the question-and-answer session. If you have a question, please press * and 1 on your telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 1 again. Ladies and gentlemen, if we have any questions, please press * and 1 on your telephone keypad. The first question comes from Bala Subramanian from Arihant capital. Please go ahead.

Bala Subramanian

Good evening, sir. Thank you so much for the opportunity. Congratulations for a good set of numbers. Sir, my first question as per railway volume data, vetted 1,430 freight wagons in Q1 FY24, and how much total volume is expected by for FY24, and is there any seasonality in the execution in that freight wagon side? And, my second question, could you please share the total volume including railway volumes and private volumes break up with the realizations? That will be really helpful.

Umesh Chowdhary

As far as the total requirements of the wagons from the railways and the private sector is concerned, we consider them as one bucket, because indirectly the private sector wagons also go back to the railway circuit. So, the total offtake of the railways is expected to be around 30,000 wagons per year, out of which 15-20% is going through the private purchase route and the balance is going to go through the railway's direct purchase. We believe that this momentum should continue.

As regards seasonality is concerned, traditionally, Q1 is a little slower because of various reasons. It's just traditionally been there. But now, the level of seasonality has come down quite substantially. In the earlier years, we would see that the Q1, because orders were normally earlier placed on a year-to-year basis, now orders are placed on a three-year basis. So, in the earlier years, orders in the Q1 were hardly available, as a result of which the Q1 used to be a poor one. But now, I would say that it will only be a marginal improvement apart from improvement in capacities and performances in going from Q1 to the other quarters.

Transcript- Titagarh Rail Systems Limited Q1FY24 Earning Conference Call - 5 - 24.07.2023
Bala Subramanian

Okay sir. Sir, is there any possibility to share break-up for India railway volumes and private volumes with realizations?

Umesh Chowdhary

We do not give that data because these are competitive in nature, but I would only like to say that we still have a very healthy order book in the private sector segment also. We are perhaps the leaders in terms of order books in the private wagon space also in the country and of course the leader in the railway wagon orders also. In terms of realization, the price at which it is sold to the private sector is slightly higher, but then there is a higher risk because these orders are, a, smaller in quantity but more importantly fixed price in nature. But beyond that, specific details, we would, I mean, be unable to share at this time.

Bala Subramanian

Okay, sir. We have finalized a private wagon for INR 443 crores. Could you please share more details about these orders, which are the industries we are witnessing on this private sector side?

Umesh Chowdhary

Apologies. I didn't get your question.

Bala Subramanian

Sir, we have finalized private wagons INR 443 crores. So, like, which are the industries we are witnessing traction for these private wagons? Whether it is steel-

Umesh Chowdhary

All core sector of the industry, whether it is steel, whether it's mining, whether it's containers, logistics, so we always have that.

Bala Subramanian

Okay, sir. Sir, on that Passenger Rolling Stock side, like how much cars per month

h we're doing right now?

Is there any ramp up plan we have next couple of months? And margins also have been slowed down on the Passenger Rolling Stock side. Is there any specific reason for that?

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Umesh Chowdhary

The ramp-up plan, we are hardly utilizing. Our current capacity is about 20 cars per month, which we have announced that we will be ramping up to 70 cars per month. As of now the capacity utilization is very small. We are hardly doing maybe 20%, 25% capacity utilization. But we will be ramping up now going from Q2 onwards, the ramp up will be visible more in Q3 then, and then it will every quarter continue to increase. And the margins, right now since we are at very low level of capacity utilization, a couple of percentage of margins here and there is not really relevant because the denominator and the factor of the revenue itself is very small. So, in terms of a few areas of fixed costs going here or there or other costs going here and there, the margin of 1% or 2% changes in a quarter because of the base being so small.

Bala Subramanian

Okay, sir. Got it. Sir, my next question-

Moderator

Sorry to interrupt you, sir. Sir, could you please join back the queue for more questions, sir?

Bala Subramanian

Fair one. Thank you.

Moderator

Thank you, sir. I request the participants to restrict with two questions in the initial round and join back the queue for next question. Next question comes from Bhavin Chedda from Enam Holdings. Please go

ahead.

Bhavin Chedda

Yes, good afternoon, sir. Congrats on very good set of numbers and continuous margin expansion. So, few questions on the order book. So, if I see the Passenger Rolling Stock order book, you have declared INR 13,612 crores and if I exclude [Inaudible 00:10:40]- Hello, can you hear me?

Umesh Chowdhary

Yes.

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Bhavin Chedda

I was coming to the order books. So, Passenger Rolling Stock of order book of INR 13,612 crore includes Vande Bharat of INR 12,716 crores. So, if I exclude that, pure metro orders is INR 896 crores. So, this INR 896 crores break-up would be how much now? How much is Pune Metro pending and whether you have included the recently one Surat Metro also in this order? I just wanted a few clarifications on this balance INR 896 crores.

Umesh Chowdhary

I'm sorry, we will not be able to disclose contract-wise value. We can only give you segmental values which has already been given. The INR 857 crores value, but-- I mean, if you just look at the presentation, INR 857 crores value is of Surat Metro alone, plus we have the Bangalore Metro subcontracting of CRRC plus the Pune Metro. So, definitely, we have a larger than the amount that we just mentioned in terms of the contract.

Bhavin Chedda

No, sir. I was looking at your order book only. What I did was, excluded Vande Bharat, then the balance comes to INR 896 crore, and the Surat Metro one itself is INR 857 crores. So, if that INR 857 crores is included in INR 896 crores, that I wanted the clarification because-

Umesh Chowdhary

That's what, I just gave a clarification, sir, that the numbers that, whatever is the calculation that is being performed of exclusion of Vande Bharat et cetera, probably, there is an error in that calculation, because if the Surat Metro in itself is INR 857 crores, then obviously the others will be there, the Bangalore as well as the Pune. So, I would not be able to break down this INR 14,278 crores on the total order book for you contract-wise. But I would only like to state that the metro order is larger than the number that you just mentioned.

Bhavin Chedda

Okay, but the Surat is already included in the order. That's what I wanted to confirm. That's fine, okay

.

Again, on the private sector order, if I see the Indian Railways wagon offtake, there was substantial increase in wagon sales to the private sector in last two quarters and you have received new order of INR 443 crores also. So, you expect the last two quarters momentum to continue going forward in this fiscal? So, particularly this fiscal the sales to the private sector will also be substantially higher?

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Umesh Chowdhary

So, the orders from the railways has been placed last year and those orders are for long term. They will continue till August 2025. So, definitely, we expect that the visibility is there, so, the momentum should continue.

Bhavin Chedda

Okay, thank you.

Moderator

Thank you. Next question comes from Akash Vora from Dalal and Brocha. Please go ahead.

Akash Vora

Yes. Hi, Sir. Great set of numbers in this quarter. So, my question comes more from an execution point of view. So, how do you are planning to execute in the metro orders in the coming quarters, I mean, so, what has been the production of coaches in this quarter and how will it shape up in the coming few quarters and let's say by next year as well?

Umesh Chowdhary

Sure. As far as the-- Thank you very much, firstly. As far as the execution is concerned, wagon, the Freight Rolling Stock is now stabilized at 650, 700 wagons per month, and we believe we will be able to take it to 1,000 wagons per month by the end of this year or within this financial year. As far as the Passenger Rolling Stock is concerned, we are still at a very low number. We are still at about, on an average if you look at it, it's about 20%, 25% of our current capacity utilization. But the challenge is only in the beginning, where to set up the lines and to stabilize production, there are many teething troubles. We are fairly confident that by third quarter and fourth quarter, we will be able to stabilize the Metro production also. The facilities are coming up very well both for Metro and for Vande Bharat.

Akash Vora

Got it, sir. So, just to clarify what you said, so, let's say 650 to 700 run rate of wagon production per month. So, you must have produced around, let's say 1,800 to somewhere between 2,000 wagons this quarter.

Umesh Chowdhary

That's right.

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Akash Vora

Yes. So, but just-- I had one question. So, why in the Freight Rail segment is the total revenue falling, like dipping from our sequential basis, on a QoQ basis? Like, if we have ramped up on the production, then why is the total revenue falling?

Umesh Chowdhary

As I explained in the previous question, there is always, Q1 always tends to be a little softer than the other quarters in terms of offtake and in terms of production and all those things. Of course, the seasonality used to be much more profound in earlier years because order placements used to be delayed. Now, the seasonality is much lesser than before. But nevertheless, this first quarter to second or third or fourth quarter seasonality to some extent would always be there. So, I would not say that it's a fair comparison to see the growth only from Q1 of last year to Q1 of this year, but it will not be also an equal apple-to-apple comparison to compare Q4 of last year to Q1 of this year.

Akash Vora

Okay, sir, and that 20-25% capacity utilization that you said for passenger coach. So currently, our capacity for passenger coach sits at around 20 to 25 coaches per month. So, are you saying-- yes, so are you saying that we are producing around five to six coaches per month currently? Is it?

Umesh Chowdhary

That's right.

Akash Vora

Okay. And so, by what time do we plan to ramp this up to-- the capacity to be ramped up to 70 to 75 coaches?

Ume

sh Chowdhary

So, the complete capacity utilization will come in another one year, but we will ramp up from Q2 itself. We will start the ramp-up in the next--

Akash Vora

So, let's say by the end of this year, we'll be at 20 to 25 coaches per month car rate.

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Umesh Chowdhary

Yes, we should be able to get to [Inaudible 17:55] . Yes.

Akash Vora

And, eventually, our target is to reach that 75 per month, right?

Umesh Chowdhary

That 70 cars per month, that will be when we start Vande Bharat in full swing. So, that is going to take at least another two-and-half, three years.

Akash Vora

Got it. And this year for the Metro we are planning to execute these two orders Pune and the Bangalore one, right?

Umesh Chowdhary

Yes, part of that. So, there is a schedule for all the contracts, and we are going to be pretty much as per the schedule.

Akash Vora

Okay. Just last question from my side. So, Pune Metro will be done this year itself. If I am not wrong.

Umesh Chowdhary

That's right.

Akash Vora

And the Bangalore Metro will be like how much percentage? Ideally will be completed by this end of year?

Umesh Chowdhary

We will be doing it as per the contractual term. We started this year, and we'll be finishing it over the next year or maybe a little bit to the following year.

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Ashok Vora

Okay. So, it's almost 30 months total execution?

Umesh Chowdhary

I will not be able to give the exact number of months, but I will say that there is a contractual delivery period based on which we will be pretty much on track.

Ashok Vora

No problem, sir. Thanks a lot.

Umesh Chowdhary

Thank you.

Moderator

Thank you. Next question comes from Ashwani Sharma from ICICI Securities Limited. Please go ahead.

Ashwani Sharma

Yes, good afternoon, sir, and congratulations for the strong performance. Sir, my first question is on the tender pipeline, in the Vande Bharat. How's the tender pipeline looking like now? And the second question is on the opportunities that you see on the traction motor side. Yes.

Umesh Chowdhary

So, as far as the Vande Bharat is concerned, whatever one reads from the media, so there is announcement for additional Vande Bharat, the Vande metro, and all of that. So, of course, now we have the existing order which we are focusing on executing, but we believe that there will be a very healthy pipeline as I always believe that Vande Bharat is a symbol of aspirational India and of new India. So, there should be the transformation from the old coaches to the Vande Bharat coaches. So, we feel that there should be adequate business in the future. As of now, of course, we have these 80 trains to produce. So that in itself is a hand full. We will be concentrating on executing that.

As regards the traction motor is concerned, I think that's another important event that happened in the last quarter that trial period for the first set of traction motors that we had supplied to the railways was over, and we've been able to start the limited series supply. There are three phases of supplies for traction motors, the first is the prototype, the second is the limited series and the third is the bulk. So, we are

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graduated from the prototype to the limited series supplies, and it's a matter of time that we will be able to graduate to the bulk supplies. The capacity that we have created for traction motors is about 180 traction motors per month, and we believe that the demand is enough to be able to manufacture as per capacity.

Ashwani Sharma

Is it possible to put a number to in, or just to do

the modelling as far as overall demand is concerned in the industry?

Umesh Chowdhary

So, the traction motors are required in different things; locomotive, EMU, Vande Bharat, Metro. So, each locomotive requires eight traction motors, then each metro coach is required. So, if there are replacement demands, so, I would not be able to, for lack of, I would say ready reference or ready reckoning answer, be able to give you complete market size, but in terms of the overall demand perception and that overall demand visibility, there seems to be enough demand, and we will also be producing a lot of traction motor for our own consumption in our own coaches.

Ashwani Sharma

Right. So, also, if we can just speak on Metro, Metro ordering, Metro tendering, how is the tender pipeline looking like?

Umesh Chowdhary

Very strong. There are already many tenders in the pipeline. There is the Chennai Metro, there are Mumbai Metro. So, there should be other metros also coming up. Metro, a lot of metro projects have already been announced and have already been taken up. Rolling Stock is always the last end of the spectrum. So, now that a number of civil infrastructure work has already started, the Rolling Stock tenders are the next to follow.

Ashwani Sharma

Sir, what was the wagon volume during the quarter?

Umesh Chowdhary

We've been able to produce around 600 to-- 650 to 700 wagons per month and that run rate we are maintaining.

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Ashwani Sharma

Okay, yes, that's all from my side, sir. All the best.

Moderator

Thank you. Next question comes from Srinidhi Karlekar from HSBC. Please go ahead.

Srinidhi Karlekar

Yes. Hi, thank you for the opportunity, and congratulations on good set of numbers. Sir, couple of questions on the payment terms and the price variation clause in your Metro business. Can you help us understand how does it compare with your freight business as in both receivable day cycle as well as how comprehensive is the price variation clause in your order?

Umesh Chowdhary

Sure, sir. So, as far as the Metro orders are concerned, some of them have a price variation. Some of them are fixed costs. It's not a standard kind of a formula that is followed across the Metro corporations. As regard payment terms are concerned, Metro corporations normally give an advance varying between 10% and 20%, and the balance is paid on supply of the metro coaches. Normally the Metro tenders are funded through multilateral funding agencies or through the government equity funding, and therefore payments for the supplies can be expected in a period of three to six weeks of the supply.

Srinidhi Karlekar

Yes, and do these contracts, sir, have a milestones or it is like shipments on car basis? Like if you ship a set of coaches, you will get the payment or you need to complete it like it's 20%, 40%, 80%. Do they have like milestones?

Umesh Chowdhary

No, it's on a per-car basis.

Srinidhi Karlekar

Okay, fair enough. And second, sir, on this incremental order you won from the private wagon market. Would it be fair to say that they have come at significantly better pricing as well as payment terms?

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Umesh Chowdhary

So, we would not be able to say better or worse pricing. We would say that they have come at market pricing and normally market pricing is a factor of risk and reward. So, each contract is dealt by us and priced by us on the merits of that particular contract. So, we would not be able to speak on a contract-by-contract basis as you can appreciate, but they are pretty much in line with market pricing.

Srinidhi Karlekar

And last one, sir, if I may. Would it be possible to comment on Firema's performance this quarter and how is

it likely to be outlook for the rest of the financial year?

Umesh Chowdhary

Firema results are no longer consolidated as it is on the equity accounting method. And the company is no longer a subsidiary of Titagarh Rail systems. But Firema performance has been picking up. I mean, I can only share that much that the ramp up of production is happening. But to give detailed numbers at this point of time may not be possible.

Srinidhi Karlekar

Fair enough. Thank you for answering my questions, and all the best.

Umesh Chowdhary

Thank you.

Moderator

Thank you. Next question comes from Parvez Qazi from Nuvama. Please go ahead.

Parvez Qazi

Hi, good afternoon, and thanks for taking my question. Congratulations for a great set of numbers. My question is regarding the propulsion system while you did comment on the traction motor part. But just wanted to get your views on propulsion system and how do we see our development trajectory there?

Umesh Chowdhary

So, propulsion system is going to be a very important part of our strategy. It is a long station development. So, to be able to be fully in the propulsion business is going to take at least another two years for us. But

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this is going to be a very important part of our strategy going forward and we are focusing a lot on the propulsion business.

Parvez Qazi

Sure. And media reports do say that we expect, I mean, Indian Railways is likely to come up with significantly large wagon going ahead. Just wanted to get your views on that.

Umesh Chowdhary

So, as far as the media reports are concerned, we have also seen that, but we would not like to comment on media report. All we can say that whether the tenders come out month, year or four months there, it doesn't really make a difference because the overall demand is very healthy, and as of now we already have order books single proof for the next couple of years. So, the tender pipeline, or the demand pipeline, I would say looks very healthy. So, the tender pipeline will have to follow the demand pipeline.

Parvez Qazi

Thanks for taking my questions, and all the best for the future.

Umesh Chowdhary

Thank you, sir.

Moderator

Thank you. Ladies and gentlemen, if you have any question, please press * and 1 on your telephone keypad. Next question comes from Jay Bathija from JV Investments. Please go ahead.

Jay Bathija

Good evening, sir. I have a question regarding the margin point of view. How do we expect the margins to be maintained overall in a period of years from like two, three years from now?

Umesh Chowdhary

Thank you. Good afternoon, sir. The Margins, as I've always mentioned that, in our business, a sustainable level of margin for EBITDA is between 8% to 10%. Let us say, with the volume that we have been able to achieve, we would be targeting to keep at least 10%. The current quarter has been better margins. But the margin assessment on a QoQ basis may not be very relevant in our business. It's a capital goods sector. Most of our contracts are backed with price variation clauses, and the way the commodity price and

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wholesale price index goes, it is not completely on a day-by-day tandem, but sometimes can take a month or two months to catch up. Then, also the difference in terms of the customer profile and the contract executed changes the quarter-by-quarter margin.

So, as a guidance, I would still say that 10% EBITDA margin is a fair EBITDA margin to, kind of model over a period of say six, eight quarter. As far as the improvement of margin that is likely to take place will take place once we are fully done with our component business which is an important part of our strategy, that includes the propulsion and o

ther components that we are trying to develop for backward integration.

Jay Bathija

Okay. Thanks a lot. That's all from my side.

Moderator

Thank you. Next question comes from Pankaj Gupta from Ratnabali Investments. Please go ahead.

Pankaj Gupta

Congratulations sir, for the excellent set of numbers and historic order well. Sir, I have a couple of questions. Sir, can you just give us any status on the progress of the wheel factory? Have we identified any locations or when are we planning to start and finish this factory capacity?

Umesh Chowdhary

Sure. Good afternoon. The wheel production as per the contracts that we have signed has to start in three years from the signing of the contract, which means by 2026 April or May, and we are pretty much on track to be able to achieve that or even better that timeline slightly. In terms of the location, in terms of the details as and when things are finalized, they would be announced to the market and we would definitely be sharing at an appropriate time.

Pankaj Gupta

Okay. Sir, and one more thing. Sir, is there any difference in the wagon design or structures for the dedicated freight corridor, the double stack and normal, or is the same wagon is being used?

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Umesh Chowdhary

Again, it depends on a wagon-to-wagon basis. There are different types of wagons. Many of the wagons are common, some of the wagons are special. But there is nothing fundamentally different in the wagon design. They are by and large the same. Our company is doing all the designs of wagon.

Pankaj Gupta

Okay. And sir, last question from my side. Sir, there are some media article regarding two tenders of Vande Bharat, 100 times each being more floated maybe on the aluminum side. Are we in those tenders also?

Umesh Chowdhary

The new tenders are you saying that the new tenders will be floated?

Pankaj Gupta

So, sir, media article says about it, we have seen-

Umesh Chowdhary

So, I am not sure about the media articles that you are referring to, but, if you're talking about new tenders that will be floated, definitely we will evaluate and we will decide based on the merits of the tender and our suitability for the product. As regards the earlier tender, one of the major tenders that was floated, we have already got the contract. The other one which was an aluminum one that was floated, we did not participate in that.

Pankaj Gupta

Okay, sir. Thank you, sir. Thank you.

Moderator

Thank you. Next question comes from Siddharth Purohit from InvesQ Investment Advisors Private Limited. Please go ahead.

Siddharth Purohit

Yes. Hi, sir. Sir, just one data point. In the recent quarters and years, particularly the number of wagons procured has gone up. Sir, any data points and like what percentage is going for replacing the old wagons and what is the actual addition to the fleet of wagons by the railway?

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Umesh Chowdhary

Good afternoon. No, sir. There is no way to figure that out because it is like an ocean of wagons out there. So, you cannot really calculate what wagons has gone for replacement and what for additional traffic, because it all gets into the common pool.

Siddharth Purohit

Okay. And sir, with regards to the new contract that we received for Vande Bharat, we are supposed to start the contract in a specific time period and deliver it. Is there any clause where or any penalty clauses there if there is a substantial delay in delivery from our side? Or how is it?

Umesh Chowdhary

Every government contract has the delivery period and consequential damages and penalties in the event of delays. So, this is not for Vande Bharat alone, but every single contract that we have has similar clause.

Siddharth Purohit

Okay, sir. Okay. Thank you.

Moderator

Thank you. Next question comes from Manish Maheshwari from Manu family office . Please go ahead.

Manish Maheshwari

Hello. Sir, I would like to understand how are you going to scale your passenger rail system business because your mainstream business is set rail systems, right?

Umesh Chowdhary

I'm sorry, what, I didn't get your question.

Manish Maheshwari

I'm saying, how are you going to scale your passenger rail system business? Passenger rail system is about

INR 13,600 crores order book, right?

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Umesh Chowdhary

That's right.

Manish Maheshwari

So, how are you going to scale this business because you are extremely gung-ho on this particular business and you are envisaging that the next leg of growth is going to come from this particular business. I heard you talking about this in the media channel today morning.

Umesh Chowdhary

That's right. So, I didn't get your question, sir.

Manish Maheshwari

So, how are you going to scale it?

Umesh Chowdhary

No, I mean, how am I-- so, I have mentioned that we are putting up the facility. We already have a capacity to make 20 cars a month, which we are enhancing. So, we started delivering the Pune Metro. We will start delivering Bangalore Metro et cetera. And we are further adding on to capacity to get the 70 cars per month. So, that is the way we will scale it up.

Manish Maheshwari

And this INR 13,600 crores order book that you're carrying as on in your books right now. What is the timeline for the execution of the order?

Umesh Chowdhary

Different orders have different timelines for execution. The Vande Bharat execution is over the first prototype in two years and then four-and-a-half years for supplies, then there is 35 years of maintenance. Surat, that we have already announced in the markets, the deliveries in about 170 weeks, if my memory serves me correct or subject to correction. So, there are different contracts having a different delivery period and that is how our capacity utilization is being planned.

Manish Maheshwari

So, what is the capacity utilization in Passenger right now?

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Umesh Chowdhary

As I mentioned a few minutes ago, right now, we are in the initial stage, at the beginning stage. So, we are at about 20% capacity utilization of the current capacity. On one side we are adding the capacity, on the other side we are using or we are increasing the capacity utilization.

Manish Maheshwari

No, I heard you saying that the capacity utilization would increase from Q2 and Q3. I mean, Q2 and during Q3-

Umesh Chowdhary

Every quarter we will increase. Every quarter subsequent we will be improving upon the capacity utilization, sir, and we will be able to reach our capacity up to the current storage capacity of 20 cars a month by end of this year or beginning of the coming year.

Manish Maheshwar

20 cars a month by end of this year?

Umesh Chowdhary

Yes. Yes, please.

Manish Maheshwar

And your-- I mean, the current contribution from your Passenger business is about 18%, 19% of the total top line, right?

Management Speaker

Yes, it's 18-19% as of the current quarter.

Manish Maheshwar

Can you give us some, I mean, can you-- is there any guidance that you can give us in terms of-

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Umesh Chowdhary

We don't give any guidance as a matter of policy, but we've already disclosed the capacity and our plans with the presentation and also in the remarks. But as far as the future numbers are concerned, the policy we will not give any guidance as of n

ow.

Manish Maheshwar

So, you said that the current capacity is about 20-25% and you hope to reach about 20 cars a month by the end of this particular calendar year. So, what is it that you are-

Umesh Chowdhary

Sorry, Sir. This particular financial year.

Manish Maheshwar

This particular financial year. Got it. So now, I mean, at this juncture, what is the capacity that we are producing right now?

Umesh Chowdhary

I already mentioned to you sir, 20-25%.

Manish Maheshwar

Okay, fine. Alright. Okay. Thank you. Thank you so much.

Moderator

Thank you. Next question comes from Kunal Sheth from B and K Securities. Please go ahead.

Kunal Sheth

Yes. Hi, sir. Congratulations on a great set of numbers. Sir, am I audible, sir?

Umesh Chowdhary

Yes, absolutely Kunal. Please go ahead. Good afternoon.

Yes. Sir, my first question was relating to gross margin. We've seen some dip in gross margins this quarter. So, is it more related to mix or anything that we can talk about?

Umesh Chowdhary

It is relating to mix and also the, as I mentioned Kunal, about the price variation. The commodity prices have been soft in the first quarter, whereas the PVC always follows. So, quarter-by-quarter margin assessment is probably not going to be very relevant in our sector. But, this trend might continue for a couple of quarters or three quarters, but when we look at overall 8 to 12 quarter a period or two-to-three-year period margins are about 10%.

Kunal Sheth

Yes, sir. That is for the segment. I was more talking about the gross margin. So, okay, it could be probably mix of these two things, sure. Sir, in the Passenger car segments, sir, and this is slightly medium-term-ish. You did mentioned that we are currently running at 20-25% utilization. So, once we, probably by the end of this year, start of next year, reach 20 cars per month kind of a target. Would it be fair to assume that the margins will meaningfully scale up? And probably there are two levers to margin one is scale and another is the equipment strategy that you have in terms of propulsion systems and traction motors. So, would you believe that large part of the margin uptake will come post the equipment strategy or leverage will also play equally important part?

Umesh Chowdhary

So, as far as the normalization of the margin, as you can see that the margin, I just mentioned, that the normal margin for our business is about 10% of an EBITDA. Now, the margins are much lesser than 10%, that is primarily on account of the volumes. Once we are able to reach the normal volumes, we should be able to beat 8-10% of EBITDA levels. And in order to go to a higher EBITDA level, which the passenger rail system business can give us, that is going to come through the strategy of the components. So, once we are able to develop backward integrate into more of components, whether it is propulsion, traction motors or others, that is going to enhance the margin because the wallet share of the train in terms of the make or buy will increase.

Kunal Sheth

Sure. So, thank you so much sir and best of luck for future quarters.

Thank you, sir.

Moderator

Thank you. Ladies and gentlemen, if you have any questions please press * and 1 on your telephone keypad. Ladies and gentlemen, if you have any questions, please press * and 1 on your telephone keypad. Next question comes from Mayank Bhandari from SBI Capital Securities. Please go ahead. I'm sorry Sir. He has withdrawn his questions. Ladies and gentlemen, if you have any questions, please press * and 1 on your telephone keypad. Next question comes from Rahul Maheshwary from Ambit Asset Management. Please

go ahead.

Rahul Maheshwary

Good evening. Am I audible?

Umesh Chowdhary

Yes, you are. Please.

Rahul Maheshwary

Thank you so much for the opportunity and congratulations for good set of numbers. Just one question in the current quarter, as you have highlighted in your presentation that you have signed the order for the forged wheels order. Apart from the Freight Rolling Stocks and Passenger Rolling Stocks, what else opportunity in next two, three years the company can tap like they have tapped for the forged wheels? Any big opportunity size, if you can highlight that would be very helpful.

Umesh Chowdhary

So, there are several opportunities in relation to the forged wheels. Today we are importing wheels for the, to be used for the Passenger segment, and also for the private wagons as well, we are importing these. So, there is in fact this initiative which has been taken by the Indian Railways to have like an Atmanirbhar wheel set factory in India. So, being a net importer, we are planning to be net exporter. So, even the factory that we are planning to put up is for in the capacity which is much more than the mandatory offtake that is required by the Indian Railway. So, I believe there's going to be a huge export opportunity that we foresee from this particular opportunity that we have.

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Rahul Maheshwary

How big is the size, for forged wheels market currently, what we are importing currently and we are expecting to export?

Management Team

As per the media reports, the current import of wheels in the last year was about INR 500-odd-crores in India. In terms of the total size of the project that we are setting up, the potential revenue is going to be approximately INR 2000 crores per year. And we believe that because forged wheel is something which is used all over the world primarily in the passenger train, for sure, but also in the freight train in Europe et cetera. The cast wheel which is the other technology is not prevalent in many countries except for America, China, slightly in China and slightly in India. So, we believe that the forged wheel market is going to grow and there should not be demand challenge to cover up this capacity of 200,000 wheels, which is ballpark of INR 2,000 crores a year.

Rahul Maheshwary

And apart from the wheels what other components the company can tap into by following the government's larger program flagship scheme of Atmanirbhar Bharat, when we look at in terms of wheels, wagons et cetera, what else are the opportunity is in the pipeline, which you can look for?

Umesh Chowdhary

So, we can, we are always in the lookout and evaluating new options for enhancing our product offering as we call ourselves Titagarh Rail Systems. So, whatever is in the rail system arena is something we evaluate. In terms of disclosing them, we would definitely disclose them once they are mature and ready. But the work in progress for evaluation is something that we continuously do on our ongoing basis.

Rahul Maheshwary

Thank you so much. Thank you.

Moderator

Thank you. That would be the last question for the day. Now I hand over the floor to management for closing comments.

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Umesh Chowdhary

So, I would like to-- so I think this quarter has been very good in terms of the performance. The numbers are as it is where we have seen. And the questions that has been raised by all the participants were very

insightful and we take note of some of the suggestions also which has been given by the analysts and investors. So, we look forward for the good set of numbers going forward as well. And with this, we close the earnings call. Thank you so much.

Moderator

Thank you, sir. Ladies and gentlemen, t

his concludes your conference for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you and have a pleasant evening.

Note: 1. This document has been edited to improve readability
2. Blanks in this transcript represent inaudible or incomprehensible words.

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8th February, 2024

BSE Limited (BSE)

The Department of Corporate Services

Phiroze Jeejeebhoy Towers

Dalal Street,

Mumbai – 400 001

Scrip Code: 532966 National Stock Exchange of India Limited (NSE)

The Listing Compliance Department

Exchange Plaza Bandra-Kurla Complex

Bandra (E), Mumbai – 400 051

Scrip Code: TITAGARH

Madam/Sir,

Sub: Q3 FY24 Earnings Conference Call

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of the Q3 FY24 Earnings Conference Call of Titagarh Rail Systems Limited ('the Company') held on Monday, 5th February, 2024 at 4:00 P.M. The same can also be accessed on the Company's website at

https://www.titagarh.in/storage/report/actual/05.02.2024_TRANSCRIPT_INVESTOR_CALL.pdf

Please take the above on record.

Thanking you,

Yours faithfully,

For TITAGARH RAIL SYSTEMS LIMITED

(Formerly Titagarh Wagons Limited)

Dinesh Arya

Company Secretary & Chief Compliance Officer

M. No. FCS 3665

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"Titagarh Wagons Limited

Q3 FY '24 Earnings Conference Call"

February 05, 2024

MANAGEMENT : MR. UMESH CHOWDHARY – VICE CHAIRMAN AND
MANAGING DIRECTOR – TITAGARH WAGONS LIMITED
M R. ANIL AGARWAL – DEPUTY MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER, FREIGHT RAIL
SYSTEMS – TITAGARH WAGONS LIMITED
M R. PRITHISH CHOWDHARY – DEPUTY CHIEF
EXECUTIVE OFFICER, PASSENGER RAIL SYSTEMS –
TITAGARH WAGONS LIMITED
M R. SAURAV SINGHANIA – CHIEF FINANCIAL
CONTROLLER AND CHIEF RISK OFFICER – TITAGARH
WAGONS LIMITED

MODERATOR : MR. DHIRENDRA TIWARI – ANTIQUE STOCK BROKING

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Moderator: Ladies and gentlemen, good day, and welcome to Titagarh Rail Systems Q3 FY '24 Earnings Conference Call hosted by Antique Stock Broking. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dharendra Tiwari from Antique Stock Broking. Thanks, and over to you, sir.

Dhirendra Tiwari: Thank you. Good afternoon, ladies and gentlemen. On behalf of Antique Stock Broking, I welcome you to the 3Q FY '24 post-result conference call of Titagarh Rail Systems Limited. To discuss results, we are glad to have with us today Mr. Umesh Chowdhary, Vice Chairman and Managing Director; Mr. Anil Agarwal, Deputy Managing Director and CEO of Freight Rail Systems; Mr. Prithish Chowdhary, Deputy Chief Executive Officer of Passenger Rail Systems; and Mr. Saurav Singhania, Chief Financial Officer and Chief Risk Officer. We welcome the management of TRSL on this call.

Now I invite Mr. Umesh Chowdhary to give his opening remarks following which, we will open the floor for Q&A. Over to you, Mr. Chowdhary.

Umesh Chowdhary: Thank you, Mr. Tiwari. Very good afternoon to everybody, and thank you very much for joining our Q3 earnings call of [inaudible]. The performance of the quarter has been as per on expected lines. I would like to highlight a few key developments of the quarter. And of course, the numbers are already available to everybody, but I would just like to highlight a few key developments of the quarter. For the first time in the history of the company and probably in the history of India, our company has crossed the 1,000 wagon mark per month, which we did in December 2023, when the company produced 1,021 wagons.

This has been our target within this financial year to reach 1,000 numbers, and we were able to break that barrier in December. We are also confident of being able to stabilize at that run rate within this financial year, that is March going forward.

The order book stands at about INR27,500 crores. There have been new tender pipelines that have been happening. And based on capacity, based on strategy, we will continue to book orders as we go along. The other very important milestone of the quarter was a successful conclusion of the QIP happened in December this year.

The company raised about INR700 crores by way of the QIP, which received a very strong response from marquee investors, which endorsement on the faith that the investor community has in the company. On the passenger side, a strategic partnership with ABB for development of propulsion for metro and particularly the TCMS for Metro was signed. The work of that has already begun. And in terms of our stated strategy on backward integration or I would say, making the 2 product lines, which is the wagon and the passenger coach as the epicentre.

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And capture whatever value can be captured in the radar of that epicenter, both in terms of forward integration for services, backward integration of components is something that we were able to take forward by the strategic partnership alliance that we entered into with the Amber Group, which is also a listed company, their subsidiary, which is into railway components, Sidwal Refrigeration, wherein on one side, Sidwal will join us as a co-partner or a co-investor in Firema, which has also received some very good orders.

And on the other side, we will set up a joint facility in India for interiors and other components, which will help us to backward integrate on our passenger rail system side. The numbers in terms of pe

rformance is already available with you.

And with these few words, I would hand it over back to Antique and would be happy to take any questions at this point of time. Thank you.

Moderator: Thank you very much. The first question is from the line of Nikhil Abhyankar from ICICI Securities. Please go ahead.

Nikhil Abhyankar: Sir, so currently, we've got a tender of 10,000 wagons open. So is there any other tender open right now? And do you expect anything before the general elections?

Umesh Chowdhary: Sir, wagon tenders are continuing to come. They are an ongoing one, and we would only comment on them once the tenders are concluded. We would not like to make any interim comments on them, but there are continuous tenders that are happening and from media reports, I'm sure you are aware that the requirements -- earlier the railways used to bulk up their requirement and only come up with 1 mega tender. Now there have been smaller tenders that have been coming up.

Nikhil Abhyankar: Understood. And sir, in the recently concluded tender of 20,000 wagons, there was a lot of undersubscribed capacity. I mean, only, I think, around 11,000, 12,000 wagons were ordered.

So what -- why exactly was that? And how is the order allocated in these tenders usually?

Umesh Chowdhary: So the railways have changed their procurement policy, wherein companies are incentivized and disincentivized both to be more compliant with the delivery requirements, which is good for our company. And that has brought in more responsible bidding, I would say, in the industry.

And earlier regime of people wanting to take orders with or without capacity back up is no longer the case anymore. And in terms of the tender that was finalized, you are right, the tender was not fully finalized. It was almost 45% of the tender, I would say, was short closed, but we expect that will come back again with the revised schedules so that capacities that are available can be utilized.

Nikhil Abhyankar: Understood. And sir, of our current order book, how much is private orders? And what is your outlook on private orders going forward say, in FY '25?

Umesh Chowdhary: So I'm not sure whether we have disclosed a breakup of the private versus the railway orders, but I can only say that, even today, we have the large market share in terms of the orders booked

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with us from private sector in the industry. So we are very strong in the private sector wagon space as well.

Nikhil Abhyankar: Okay. And sir, just a final question. Have we started products in or execution for the Vande Bharat...

Umesh Chowdhary: Absolutely, yes. We have -- the contract entails design and then production. We are at a very advanced stage of the design completion. We have already submitted our preliminary proposals to the Railway, and we are going as per schedule on this project.

Nikhil Abhyankar: So when should we expect the first rollout?

Umesh Chowdhary: The first train is scheduled to be rolled out in June 2025.

Nikhil Abhyankar: June '25. So June '25. Okay. Okay, sir.

Umesh Chowdhary: And we should be seeing the design launch. So it is already with the Railways, so we should be seeing the design launch soon.

Nikhil Abhyankar: Okay, sir. Understood. I've got a few more questions, I'll get back at the queue.

Moderator: Next question is from the line of Akash from Dalal & Broacha Stock Broking.

Akash: Congratulations on the great set of numbers. So my question comes to understand the passenger -- on the passenger mobility segment size, what is the visibility? And what will be our exhibition schedule for the next 2 to 3 years?

Umesh Chowdhary: Thank you, sir. So on the passenger side, as you would see in the presentation, we have a very healthy order book. In terms of the pipeline, there are several metro tenders, which are already in the pipeline. The Chennai and Mumbai to name a few have already been

published, but there

are a number of them which are likely to be issued in the next months.

The company is actively pursuing all these opportunities. There have been announcement on proliferation of Vande Bharat, Vande Metro Train, which we believe will pick up momentum after the elections and the company would be very actively pursuing all of that also.

In terms of execution, we would be starting the Bangalore Metro execution with CRRC very soon. So the metro production line, which will have a capacity of about 36 cars per month will be fully ready for production by, I would say, second quarter of the coming fiscal or latest by the third quarter of the coming fiscal. And we'll start picking up on production.

Our target is to reach up to 20 coaches per month in the coming fiscal, which is much larger from where we are on an average, we have been hardly about 3 to 5 coaches per month. And our target is to -- I would say third quarter of next fiscal, we should be able to hit the run rate of 20 coaches -- between 15 to 20 coaches per month.

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And the ultimate capacity that we are looking 3 years down the line be -- between 3 and 4 years down the line for the passengers including Vande Bharat and Metro would go up to 70, 72 cars

per month. So that is the overall visibility plan for the passenger rail segment.

Moderator: Next question is from the line of Vaibhav Shah from JM Financial Limited.

Vaibhav Shah: Sir, of the 24,000 wagons order that we had received in May '22. So how much we would have already delivered to railway, a ballpark figure would...

Umesh Chowdhary: So approximately, I mean, it has to be delivered over 30 months. It had to be delivered over 30 months. And we have now just crossed less than -- sorry, 39 months. So we have just crossed just about a year now or a little more than a year. So on a pro rata basis, I would say we are, by and large, you can consider it on a pro rata basis.

Vaibhav Shah: Okay. And sir, what would be our capex in the first 9 months of this year? And what it would be in FY '25 and '26?

Umesh Chowdhary: I would not be able to disclose any number, which is not there in the presentation or what has not been disclosed because in September, we don't give the balance sheet. But whatever was described in the September numbers in terms of the capex, we have already declared about the overall capital investment plan that we are intending to make in the passenger side and also on the freight side, which is INR1,000 crores over the next 2, 3 years, including what we have spent over the last couple of years, and we are pretty much within in line with that.

Vaibhav Shah: Is it safe to assume you would have spent around INR300 crores and roughly INR650 crores -- INR700 crores to be spent in next 2, 3 years, ballpark?

Umesh Chowdhary: I would once again be refraining from giving a number, which is not a part of the presentation. So whatever was disclosed and we do not have that handy with me in the September results is what we would like to state right now.

Vaibhav Shah: Okay. And sir, one more on the standalone account, so we have X of wheelset and X of Vande Bharat orders, the AMC part, so the book would be INR7,000 crores for passenger side -- sorry, INR6,800 crores passenger side and around INR7,350 crores for the freight side? If we remove the INR13,000 crores book from the AMC part and wheelset part?

Umesh Chowdhary: Yes, approximately. Yes, that's right.

Vaibhav Shah: That should be the currently what we have in hands for the standalone books.

Umesh Chowdhary: That's right. It's already disclosed on Page 8 of the presentation.

Vaibhav Shah: Yes. Okay, I want to confirm that. And lastly, sir, in terms of our Bangalore Metro contract, which are going to start. Sir, what will be the value of the contract?

Umesh Chowdhary: We are doing it on a subcontract basis. So the material is on free s

upply, and therefore, the value is only for the conversion.

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Vaibhav Shah: So the INR184 crores was like before mentioned during a year back, so that was true?

Umesh Chowdhary: Yes, that's right.

Vaibhav Shah: Only INR184 crores is there in order backlog?

Umesh Chowdhary: Of the Bangalore, that's right.

Moderator: Thank you so much. Next question is from the line of Abhishek Shah from Ambit Limited. Please go ahead.

Abhishek Shah: Congratulations on good numbers on the order book. I just had a couple of questions in terms of -- on the passenger side, again, what is your sense on -- overall, if you could give any color on maybe this year and the next couple of years, the overall demand of the market size?

And what would our market share be in that going forward? Also, secondly, it is not that we are at about 1,000 wagons per month currently and are looking to stabilize this going forward. What would be our target over the next couple of years in terms of any growth in that capacity going ahead?

Umesh Chowdhary: Thank you. So as far as the passenger is concerned, I have already just gave the numbers that we are looking at stabilizing between 15 to 20 coaches per month within the middle of the coming fiscal. And going forward in 3 to 4 years' time, we would increase it to 70 to 72 coaches per month.

The market is quite buoyant. There are a number of tenders coming up. Once we are able to touch the 70, 72 cars per month, we would -- in my understanding be the largest -- we would maybe the largest capacity in the country as of now, not factoring in any potential capacity expansion that companies may be planning, but we are not aware of.

In terms of the freight side, we would first like to stabilize on a consistent basis at 1,000, and then we will discuss about whether the market exists or the demand is sustainable enough for a further capacity enhancement. But right now, what we are looking at is to -- we are not in an average of 1,000. We are on an average of about 700, and we would like to become an average of 1,000 going forward.

What I mentioned was that we have been able to break a barrier. It's also a barrier of mindsets and everything else that we were able to touch 1,000 wagons in 1 month. And the way we look

at it is that if we can do it once, we can do it every month.

Moderator: Next question is from the line of Mehul Mehta from Nuvama PCG.

Mehul Mehta: What I want to scale in terms of debtors, I think at the first half and like had intensified, I mean it has increased a lot. So is there any softening of debtor cycle or like it's still continuing the same?

Umesh Chowdhary: For debtors, it is pretty much the same. The customer mix remains the same. Sometimes the quarter-end debtors are go up also in terms of the sales. As I said, December was a record month

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for us in terms of production. So therefore, the debtors wells up on end of December. But there is no -- if your question is, if there is a fundamental shift in the characteristic of the market or the way the market behaves in terms of the debtor management, no, there is no change.

Mehul Mehta: So maybe if you can reply in terms of like, say, our working capital cycle deals, like you can say, at FY '23 ends. Should we expect like by even FY '24 and it should be increasing or like maybe some sort of indication on that?

Umesh Chowdhary: We'd not like to give any indication of the numbers of the future. But what is declared in the chart on Slide 13 gives you a flavour of the average working capital days that we have had with.

And we believe that we should be able to stay with the same or improve upon it.

Mehul Mehta: Got it. Another question is in terms of capital employed, I feel -- I look at for trade segment, it has been about INR858 crores at the end of quarter 3. So could you like share

in terms of what

would be working capital and net block kind of like a breakup in terms of the INR850-odd crores?

Umesh Chowdhary: The numbers that have been disclosed. I would not be having that number handy, but the numbers that have been disclosed, I think, are already giving that breakup. I don't know if Saurav, is there any other number that is on public domain that you are able to share then you can do that please.

Saurav Singhania: No, sir, I think this is the only number which is right now there in the public domain because breakup of balance sheet is not there this time.

Moderator: Thank you. Next question is from the line of Karan Gupta from Baraniun Capital. Please go ahead.

Karan Gupta Hello. Am I audible?

Moderator: Yes.

Umesh Chowdhary: Yes.

Karan Gupta Yes. So sir, related to the passenger side, when...

Umesh Chowdhary: Your voice is unclear, sir.

Karan Gupta Sir, my question is regarding the passenger segment. What is the estimation you are having in terms of volume that you'll break even the margin expansion in this segment like 2% to 3%, we are paying as of now.

But what's the margin expansion we are seeing in this segment because in passenger segment, all the propulsional and electrical things we are doing at this time. So what's the margin expansion that you are seeing?

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Umesh Chowdhary: So as we had shared in the past the normal margin, if we buy propulsion that is -- we are not doing our own propulsion is around 10%, but when we are able to switch over to our own propulsion, we will be able to see a margin enhancement of almost 4% to 5%.

So once we are fully integrated with our own propulsion and we are able to also have the operating leverage in terms of reaching the optimum level of production as per capacity or near to capacity, we should be able to get to these levels of margin. Right now, the margins are not really a parameter of the real scenario because the volumes are extremely small. Therefore, the fixed costs and the operating leverage is really not there.

Karan Gupta So not estimating any breakeven in terms of volume?

Umesh Chowdhary: We are already breaking even. We are already at EBITDA positive. So even volumes at current levels, if you see the segmented revenue, there is an EBITDA positive.

Karan Gupta Okay. And next couple of years, any plan to raise capital?

Umesh Chowdhary: No, as of now, with the current level of capacity expansion plan that we have undertaken and the projects that we have on hand, we believe that we are fully capitalized.

Moderator: Thank you. Next question is from the line of Rajesh Bhandari from Nakoda Engineers. Please go ahead.

Rajesh Bhandari: Sir, you mentioned that our order book portion is approximately INR27,000 crores. Does this include service also because service also we have big large order?

Umesh Chowdhary: Yes, sir. It does include service also. As I was just mentioned, by in a question -- a couple of questions before, on Page number 8, we have given that breakup as well.

Rajesh Bhandari: This turnover approximately, say, INR3,500 to INR3,800, maybe we may close '23-'24 in INR3,600 approximately. What is our expected turnover for '24-'25, '25-'26 and '26-'27, as expected?

Umesh Chowdhary: Sir, we do not give any forward-looking projections. But I think you can safely see that the run rate of the wagon is stabilized and the passenger segment will start coming in with the kind of order book that we have we should be able to start delivering the numbers out of the passenger segment also in the -- next year.

Rajesh Bhandari: Yes, sir. The reason I asked was that there was not much difference between the last quarter's turnover and this quarter's turnover. Otherwise, there was a 25%-30% difference earlier.

Umesh Chowdhary: Yes, you are absolutely right. And that is what we had -- I had said in the last call also that we are now stabilizing

at about 700, 750 wagon per month level and if you see the breakup of the revenue, it is almost 90% from the freight segment right now. The passenger segment will start coming in from the Q3 of next year.

Rajesh Bhandari: Q3 of next year?

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Umesh Chowdhary: Yes, of the coming year.

Rajesh Bhandari: I have only one 27000 order book, then how many years will it take? There won't be any short closing?

Umesh Chowdhary: Yes, All these are long term orders, like wheel sets are 20 years old, AMC is long term So these are all based on the orders that are going on as for the plans and as for the delivery requirements of the customer, we will be able to barring a few couple of months here and there, which is normal in this industry and this will be made up, but there is no failure on a larger-scale basis.

Moderator: Thank you. Next question is from the line of Indrajit Chakraborty from Scrip Trading Corporation. Please go ahead.

Indrajit Chakraborty: Okay. My question is regarding our passenger rail system. I find that the revenue this quarter is significantly lower year-on-year. So can you please explain why this has happened? That is my first question.

Umesh Chowdhary: Yes. Go ahead, sir. Please go ahead with your rest of questions.

Indrajit Chakraborty: Yes. And my second question is that what is the net order intake for this quarter? This quarter which is went by, what is the net order intake?

Umesh Chowdhary: So as far as the passenger rail segment is concerned, it is, as I mentioned a little while earlier, the Pune Metro contract is coming towards the finish, and we will be starting the next contract in April. So this is the intervening period. Therefore, the numbers are muted. As far as the net order intake is concerned, Saurav, I don't know if we have disclosed that number. If you have, then you can please...

Saurav Singhania: No, sir. We don't disclose quarter-on-quarter order intake. It's a total number in the page, Slide #8, which is in the breakup.

Umesh Chowdhary: But I think it can be simply worked out. So we've not like mentioned that right now because we have not put it as a part of the presentation, but I think it can be figured out from the overall order backlog that has been carrying forward.

Indrajit Chakraborty: Okay. And if I might ask one more question. It just means trying to know why this has happened that they have recently concluded that 20,000 wagon order, which has recently concluded, and it was not fully filled up. So Titagarh did not receive any orders from there. So can you please tell us that what is the reason behind that? Is there any reason -- specific reason like a lack of capacity or something like that on behalf of Titagarh?

Umesh Chowdhary: I just mentioned, sir, a little while ago that every tender has its own peculiarity. And there are number of -- railways have started coming up with multiple smaller tenders. It is not possible for a single company to win every single tender. We are in a competitive landscape. It is a normal practice that you win some tenders. You don't win some tenders on account of either the pricing or your capacity or even your capacity planning based on the market circumstances, which is a Titagarh Wagons Limited

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decision that is taken on a case-to-case basis. On an overall basis, we continue to be market leaders.

Indrajit Chakraborty: And we still have the capacity to take on new orders, right, sir?

Umesh Chowdhary: Absolutely.

Moderator: Thank you. Next question is from the line of Rajamohan V., an individual Investor. Please go ahead.

Rajamohan V: Congratulations once more on solid performance. I have a couple of broad questions. The first one was on passenger rail specific to Vande Bharat. You mentioned in your presentation, the estimated opportunity over the next 3, 4 years is about INR48,000 crores to INR52,000

crores

in Vande Bharat and INR60,000 crores to INR65,000 crores for mini Vande Bharat.

Being a major private wagon manufacturers and with the credentials getting established after probably executing on the 80 trains in the first order set, do we have any market share target based on your understanding of the ground realities on say, indigenization and the competitive scenario. Also, in the context of rules being tightened and bidders coming short, I would like your perspective.

Umesh Chowdhary: Thank you very much, sir. In terms of the market size, it is quite large. And in terms of our aspirations, I would say they are also quite ambitious. I would not like to put a number to that target, but we would definitely like we have been able to attain market leadership on the passenger, on the freight side, we would definitely try to attain market leadership on the passenger side.

The very fact that we have been able to be a first mover, whether it was aluminum metro, whether it is a private sector metro manufacturing, whether it is Vande Bharat, is a testimony to what I just now said. And we believe -- let me put it the other way around that the capacity that we are creating is something that I have already disclosed. And our first target will be over the next 4 to 5 years' time to ensure we have enough orders to fill up that capacity, which in itself is a very large jump because from an existing level, it means almost a 24 year jump.

Rajamohan V: Okay. That was a good perspective on the whole thing. On -- second one -- second final one, the freight rail of the 1 lakh to 1.2 lakh wagons plant in India between 2022 to '26, which has been mentioned in your presentation. We have completed 2 years, 2022 and 2023. Out of this 1 lakh to 1.2 lakh, how much would have been executed? And as we hit 1,000 wagons a month, how do we see it accelerate over the next 3 years, though you say you will stabilize at 1,000 wagons, what is your opportunity accelerating for you to step on the pedal further? Could we sort of -- I was just trying to guess it would be head towards the 2,500 to 3,000 wagons a month production capability by '26?

Umesh Chowdhary: Sir, we would not like to pre-empt any situation. We would like to wait and watch. We believe that the current -- so firstly, your question was whether the addition has been pro rata to the overall target, and the answer is yes.

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The addition is, is it consistent with the overall targets? I would not say pro rata, but I would say in line. In terms of the capacity according to our understanding, the capacity is something which the planning is a dynamic one because the way the Indian government is progressing the way India is progressing. I don't think that one can always have any time the luxury of sitting back and relaxing.

So we are waiting -- like this -- we heard the Finance Minister, honourable Finance Minister announced 3 new corridors. And of course, after the election, when the new budget is presented, we will see what kind of opportunities are presented, and we will recalibrate ourselves based on that. But what we are very, very conscious about is that we would not like to be trigger happy. We would like to have some bit of consistency and market visibility before we push the pedal further.

Rajamohan V: But you've seen that consistency, especially in the last 3 years where basically the railway budget itself has gone through the roof in terms of exploding. So you've seen the consistency on the ground also happening with the government intention also pretty clear, right?

Umesh Chowdhary: Absolutely, absolutely. There is absolutely no second doubt about it. No second thought about it.

Moderator: Next question is from the line of Vaibhav Shah from JM Financial Limited.

Vaibhav Shah: Sir, typically, when we win a wagon order, so suppose we win a wagon order today, so typically, when

do we start the production or delivery of those orders for wagon segment in the freight side?

Umesh Chowdhary: Normally, it's about 5 to 6 months that the railway gives us as a gestation. But then that's a normal thing. It depends on a tender-to-tender basis, sir.

Vaibhav Shah: Okay. And how will it be the same in the passenger side.

Umesh Chowdhary: It's much longer because the designing is involved.

Vaibhav Shah: So it could be roughly between 12 to 18 months, at least?

Umesh Chowdhary: It depends on a tender-to-tender basis.

Moderator: Next question is from the line of Nikhil Abhyankar from ICICI Securities.

Nikhil Abhyankar: Sir, I had a follow-up on. In the recent budget, there was an announcement that 40,000 passenger coaches will be converted to Vande Bharat class. So do we -- can we participate in that opportunity? And how do you think will it be executed?

Umesh Chowdhary: Thank you, sir. We do not have a complete picture on this. We also have seen the announcement. Once the railways form up their requirement on the whole project and the tender, etcetera, we will definitely evaluate, having been already got an advantage of a first mover in this segment, we would definitely not let go off any opportunity which we...

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Nikhil Abhyankar: So basically, not before this election, do you expect this to move forward?

Umesh Chowdhary: I would not be able to comment on that because this is purely with the government. So whatever -- this is the announcement has made maybe before the election, but this is something which will be speculative for me to comment either ways.

Nikhil Abhyankar: Okay. Understood. And sir, what is the status of the wheelset factories that we are setting up?

Umesh Chowdhary: The project is moving on. The wheelset plant machine ordering, etcetera, everything is going on. And we are scheduled to start production in 2026 -- '25, and we should be kind of '25, and we should be on target with that.

Nikhil Abhyankar: Okay. And sir, any update on like GPWIS scheme was a stock a few years back. So any update on that? Will it be retained or will it be allowed again?

Umesh Chowdhary: To the best of my understanding, the scheme was not stopped. New permissions were not being given because there were a number of permissions that were already there for which the wagon procurement was pending. A lot of wagon procurement has been happening on that.

And we will see once the pendency reduces what the railway decides. We also believe that it's a win-win policy for the industry and the government alike. And therefore, we believe that the railways will take a decision, which is in the best interest of both railways and the industry.

Nikhil Abhyankar: Okay. Sir, and just a final question. What will be the debt equity and cash balance as on December '23?

Umesh Chowdhary: As I mentioned that we do not declare the balance sheet. So whatever numbers have been declared in the presentation or in the results are the only numbers that we will be able to share.

Moderator: Next question is from the line of Balasubramanian from Arihant Capital.

Balasubramanian: Congratulations for good set of numbers. Sir, my first question is regarding on the metro side, we have delivered 27 train sets out of 34. And you have mentioned that the remaining will be delivered by end of this year. And it means like around 78 sets -- around 24 cars we can be able to deliver in this quarter itself, sir?

Umesh Chowdhary: That's right, sir. But a lot of trains are already produced that are in testing. So we believe that bulk of it maybe apart from a train or so will be all completed within this financial year or beginning of the next.

Balasubramanian: Okay, sir, got it. Any further metro orders are in pipeline, sir?

Umesh Chowdhary: There are tenders which are in the pipeline, and we will definitely announce about them once as and when we are able

to attain success in them.

Balasubramanian: Okay. Got it. Sir, recently we've been entered a strategic partnership with ABB and strategic alliance with Sidwal so like what kind of synergies we have on those partnerships? And is there any other plan in the future?

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Umesh Chowdhary: The synergies of both these partnerships have already been disclosed in the press release. There is a substantiate synergy and advantage that we have in both the alliances and that is the primary reason why we entered into those alliances.

As far as future is concerned, as a company, we are always looking at opportunities. I mentioned in the beginning that keeping the 2 business segments as our nodal central points, we are looking at hovering around and [spectrining] that those two nodal points to expand as much the value proposition that we can offer or we can capture. And we will continue to do that. So we are always with an open mind to see what are the additional things that can be done.

Balasubramanian: Okay, sir. Sir, what's your view on the upcoming global and other tenders, especially on the global tenders, like we have to come out with our own designs and the margins are also slightly

higher. So what's your view on those tenders? And what kind of realization we can expect?

Umesh Chowdhary: We will definitely be participating in all the tenders that are shooting our business segment and are adding value to the overall strategy of the company or as for the overall strategy of the company. But for obvious reasons, I would not be able to discuss on a tender to tender basis in this call.

Balasubramanian: Got it, sir. Got it. Sir, like what kind of business visibilities we have on that propulsion system?

Umesh Chowdhary: We have already mentioned that propulsion system is something which is very essential for margin enhancement. And this is, I would say, an essential part of our strategy, which we are pursuing.

Balasubramanian: Sir, any number we are targeting, sir?

Umesh Chowdhary: It will be backward integrated with our coach production. So whatever coaches -- our target, our ambition would be that in years to come whether that can be achieved in x or y years, but years to come, we would like to achieve self sufficiency for the propulsion for whatever coaches we produce.

Balasubramanian: Got it, sir. Sir, earlier, we guided 1,000 wagons per month by end of this year, but we already achieved in Q3 itself in December month. So what would be our target in coming quarters?

Umesh Chowdhary: Cannot give any forward-looking statements, as I mentioned earlier, sir.

Balasubramanian: Okay. Fine, sir. Sir, in this quarter, how much wagons we have produced and what will be the private and railway mix?

Umesh Chowdhary: Whatever is disclosed in the presentation is what we can disclose. Anything outside that in terms of the numbers, is something that we are unable to share right now. I can only once again repeat that we have the market leadership in terms of the order book for both the private sector wagons as well as the Indian railway wagons.

Moderator: Next question is from the line of Kunal from B&K Securities.

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Kunal: Sir, my question is pertaining to the passenger rail segment. Sir, how should we think about the trajectory of margin in that business? Should we -- is 10% our aspirational margin achievable by '26 in that segment?

Umesh Chowdhary: Yes, Kunal, absolutely. I think as I had mentioned in the past also that once we are able to reach the first targeted level of production, which is 15 to 20 cars per month, we should be able to get to margin level between 8% to 10% and when the propulsion starts coming in, then the margin enhancement happens.

Moderator: Next question is from the line of Devesh Kasliwal from Antique Stock Broking.

Devesh Kasliwal: Congratulations on a good s

et of numbers, sir. Just one clarification. Your presentation says that the overall capacity currently is of 8,400 wagons for a year and you have crossed 1,000 wagons in December. So can you just give the -- like are we already at the 12,000 mark right now? Or this is just because of the overutilization in our foundry.

Umesh Chowdhary: No, the capacity, thank you, sir. The capacity of 8,400 with the RDSO assets capacity. And the fact that we have been able to surpass that, we have already applied for revalidation of the assets capacity.

Moderator: Next question is from the line of Sriharsha, an Individual Investor.

Sriharsha: Congratulations on a good set of numbers. Regarding the shipbuilding capacity, are we expecting any orders from the defense ministry? And are you also looking out for any joint venture for the shipbuilding technology?

Umesh Chowdhary: As far as the shipbuilding is concerned, we have already announced in the past that considering the current financial and management bandwidth required on the rail business for the company, we would be exploring the possibility of inducting strategic partner for the shipbuilding and the defence business so that we can grow that, which also has a great opportunity.

So we have been a little muted in allocating much resources on new builds on the shipbuilding side, but we are purchasing on the opportunity of structuring it in a manner so that the growth potential of the rail business does not become a bottleneck for the growth potential of the shipbuilding and the defense business without drawing upon the resources of the rail business.

Sriharsha: Another question, sir? Do you require -- are you to raise any extra caps -- any extra capital other than the recent QIP of INR700 crores for executing the order backlog of this INR27,500 crores?

Umesh Chowdhary: I already answered this, sir a little while ago that based on the current level of expansion that we have in the pipeline and the capacity building plan, we are adequately capitalized.

Moderator: Next question is from the line of Indrajit Chakraborty: from Scrip Trading Corporation.

Indrajit Chakraborty: I need some clarity regarding Titagarh Firema into that Italian joint venture, which we have.

What is the status there? When from -- where can Titagarh start thinking of getting something out of it other than technological know-how which you have received, when would it start

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contributing to the profits of the company directly? If you could please throw some light on this matter.

Umesh Chowdhary: Thank you. As far as Titagarh Firema is concerned, there is a new order that was signed by Titagarh Firema for coaches for the Italian Railways. So the current order book of Firema stands at almost EUR 1 billion. It was the need of capital, which now with the alliance with Amber and the Government of Italy agreeing to in principle infuse further capital. We should be able to get this problem resolved as well. So we are hopeful that Firema by 2025, '26 should start contributing on a positive side. '24, '25 also should be much better results on the positive side.

But the real -- I mean, the real growth will happen -- start happening in the next 12 to 18 months.

Indrajit Chakraborty: And the effect will be felt in our -- the same profit and loss account also, right, sir?

Umesh Chowdhary: On the pro rata basis, the balance sheet accounting norms are following. But [inaudible] subsidy of Titagarh Rail Systems anymore. So therefore, it cannot be considered as a consolidation. But whatever are we based on the accounting norms, it will definitely do the same.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Dharendra Tiwari for closing comments.

Dhirendra Tiwari: Thank you very much sir. Let me thank the management of Titagarh Rail Systems for giving us the opportunity to host the call

. I would also like to thank all the participants for attending the call. Before I invite Umesh ji for final words.

Umesh Chowdhary: Thank you, Dharendra ji. Once again, it was very interesting to interact with all the participants in this call. The questions have been very interesting, very insightful and have helped us to think deeper. Thank you to everybody for all the confidence that has been entrusted upon the company.

And we do hope and look forward to live up to these expectations and continue to follow the vision of the Honourable Prime Minister of the Government of India of Make in India Atmanirbhar, completely Atmanirbhar and that's our sector, all the products that we are doing are all towards that effect and infrastructure, which is going to be a growth story in the country, I think India has just started to build up our catch up on the requirement in terms of infrastructure and particularly in terms of mobility infrastructure.

And the company is pretty much in the right place, at the right time to be able to enjoy this tailwind. So thank you very much once again to everybody. And thank you, Dharendra ji for hosting this call.

Dhirendra Tiwari: Thank you very much. Thank you, sir. Thank you all the participants. Now we conclude the call. Have a good night.

Moderator: Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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"Titagarh Rail Systems Limited
4Q FY '24 Earnings Conference Call"
May 16, 2024

MANAGEMENT : MR. UMESH CHOWDHARY – VICE CHAIRMAN AND
MANAGING DIRECTOR – TITAGARH RAIL SYSTEMS
LIMITED
M R. PRITHISH CHOWDHARY - DEPUTY MANAGING
DIRECTOR - TITAGARH RAIL SYSTEMS LIMITED
M R. ANIL AGARWAL – DEPUTY MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER - FREIGHT RAIL
SYSTEM

MODERATOR : MR. AMIT SHAH - ANTIQUE STOCK BROKING

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Moderator: Ladies and gentlemen, good day, and welcome to the Titagarh Rail Systems Limited 4Q FY '24 Earnings Conference Call hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Shah from Antique Stock Broking. Thank you, and over to you, sir.

Amit Shah: Yes. Thank you, Zico. Good evening everyone. On behalf of Antique Stock Broking, I welcome you all to Q4 FY '24 Post Results Earnings Call. To discuss the results we have with us from the management, Mr. Umesh Chowdhary, Vice Chairman and Managing Director; Mr. Prithish Chowdhary, Deputy Managing Director of the company; Mr. Anil Agarwal, Deputy Managing Director and CEO of Freight Rail Systems.

I'd like to hand over the call to Mr. Umesh Chowdhary for his opening remarks, post which we can open the floor for Q&A. Over to you, sir.

Umesh Chowdhary: Thank you very much, Mr. Shah. Very good afternoon to everybody. I am Umesh Chowdhary, the CEO of the company. And thank you everybody, for joining the investor call for FY '24 and Q4 of FY '24 earnings call. There have been some important -- but of course, the numbers have already been shared in the investor presentation has already been uploaded on the website of the company.

There have been a few important highlights of this quarter and of the year gone by. Of course, the year has been the highest ever turnover that we have achieved in the company and also the quarter 4 has been the first time that the company has touched a 4 figure revenue number, which has crossed the INR1,000 crores per quarter mark.

We ended the year with approximately 8,400 margins produced, which is a run rate of about 700, which is our rated capacity. But we did cash 1,000 wagon mark on a couple of occasions, including in March of 2024, which effectively resulted in breaking the glass ceiling or the mental barrier of doing 1,000 wagons. expect that we should be able to do a run rate of between 950 to 1,000 margins in the coming year, and we'll be able to gradually ramp it up to 1,000 consistently. In terms of the passenger rail systems, Q4 has been a little muted, primarily because the Pune Metro contract was coming to an end and the production is already over. And the Bangalore Metro production was delayed by a couple of months on account of delaying installation of the machinery, which was imported also from China. So there are some problems, delays in getting visas for installing those machines by the engineers. Also the technology transfer in this is a sub-contract that we have got from CRRC. So there were some delays, but now those problems are

over and the production is starting in the next few days.

So we believe that the passenger railway systems will start picking up from Q1 and Q2 of this financial year, primarily from Q2 because that's the time when Surat and Ahmedabad production is also likely to begin. As regard the Ahmedabad contract is concerned, that is going on also

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pretty well, and we are on schedule to be able to meet with the delivery contractual conditions of the contract.

So in a nutshell, it's been a year as per expectations. And we believe that currently, although the bulk of the revenue, which has come from this rate would continue to grow. We also expect that the Passenger Rail Systems division would start, of course, contributing from the current financial that is FY '25, but the real point of inflection for the PRS will happen from FY'26 and further in FY'27. So with those openi

ng comments, I'm happy to take any questions.

Moderator: The first question is from the line of Balasubramanian from Arihant Capital Markets Ltd. Please go ahead.

Balasubramanian: Congratulations for good set of numbers. My first question, so I'm looking at Railway Wagons data on Railway website. I have seen strong like increase in the volume side, not only Titagarh, Our competitors also, I just want to understand what the transition happening in the industry -- and like whether the division will improve from here onwards? And is there any supply chain or any execution disruptions we can foresee next 1 or 2 quarters because of this election? These are my first questions.

Umesh Chowdhary: Okay. Thank you very much. So -- as far as, yes, you are right that the overall industry performance and the overall demand for wagons to that extent has been quite robust. It has been growing. And as I mentioned, that we were at a run rate of 700 wagons last year. We are looking at increasing that run rate to around 950-odd wagons this year.

So definitely, there is the ramp-up, which is planned. But as far as Titagarh is concerned, and as far as the supply chain constraints, they are a normal part of the business. They keep on happening from time to time, no significant supply chain disruptions are expected, which are likely to hamper our targets.

Balasubramanian: Okay, sir. On the Passenger Rail Systems side, like what kind of volume numbers per month we are doing right now? And you have mentioned about from Q2 onwards, we can expect Surat and Ahmedabad Metro execution side. So what kind of ramp-up is expected -- right now, margin side is around 2% to 3% kind of range only. So earlier guidance we have mentioned around 4% to 5% margin expansion, roughly it's around 7% to 8% kind of range. Like whether we can expect from like Q3, Q4 or it will take FY'26 in that time?

Umesh Chowdhary: Yes. So interesting question. So if you would see the numbers we had done about 14 -- dispatched 14 trains or so last financial year, which is an average of about 4 cars per month. 14 cars -- trains are each train is about 3 cars per train. So the run rate that we have achieved on a blended basis for the entire FY'24 is about let's say, on a ballpark of 4 cars per month.

We expect that the total capacity that we are creating for the Metro business is 36 cars per month that will be the total capacity. And Vande Bharat line that is being set up will be an additional 36 cars per month. So the total estimated capacity that we are likely to achieve, which will take maybe about 2 years or 2.5 years, is about 72 cars per month.

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However, we are confident of being able to achieve in the metro line, which is being set up now, we are confident to achieve around 15 -- between 15 and 20 cars per month by the end of this financial year. So at a breakeven level or at a sustainable level of about 15 cars, we expect that the margins for the PRS should be on low double digits, about 10%.

And when the propulsion that we have announced is also combined with the rolling stone -- with the passenger rolling storm, which will take maybe another couple of years. We will see a margin expansion of another about 4% to 4.5%, 5%. I hope that answers your question.

Balasubramanian: Sir, one of Capital Goods player is setting up a metro project in India to cater into international market as per the recent con call. Any thoughts on the export side, what kind of opportunities do we have?

Umesh Chowdhary: Definitely, a metro coach is easily exportable. The reason is, if I give a kind of a comparison wagon, which has the same -- approximately the same volumetric capacity cost, INR35 lakh to INR40 lakhs. There is a metro coach with the same volumetric capacity is priced at INR10 crores to INR12 crores.

So the transportation costs as a percentage of the equipment cost is much lesser in the metro.

And the cost arbitrage available in Favor of India is high. So once we have been able to establish ourselves very well in the Indian market, we will definitely look at export. Having said that, we have already got some export orders for components and we are now doing in traction converters and other electrical components for coaches for Europe, which will be produced in Calcutta and exported to Europe.

Moderator: The next question is from the line of Akash from Dalal & Broacha. Please go ahead.

Akash: My first question would be on the freight side, sir. I would like to know how many total [wagging 11:48] we did this -- we did for this whole year, for this quarter as well and the broad split between private and public?

Management: May I request the CEO of the freight rail system business, Mr. Chaudhary, to answer this question.

Management: So this year as you already mentioned in totality we did around 8400 wagons and in the quarter last quarter Q4 we did around 2,700 wagons and the split is roughly around 55% to 60% of the Indian railway and what 40% to 45% of the private.

Akash: Okay, sir. And any margin improvement do you see when you ramp up your capacity from the 700 monthly run rate to 950,000 wagons per month run rate in the coming fiscal?

Umesh Chowdhary: Just to add. Yes so as we have always maintained an indication of around closer to 12% EBITDA for the freight business. We are also doing a lot of in-house component development. So that's also going to improve the EBITDA margin a bit. And of course, with the overall increase in the volumes. So we expect a margin improvement maybe by 50 basis points to 1% in the coming quarters from the existing level.

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So I would not -- I would like to be very static about the quarter-to-quarter, but we are definitely, if we take the whole year on an average, I think that we should definitely see some margin improvement.

Moderator: So the line for Mr. Akash has dropped. May I request that we move to the next participant. The next question is from the line of Rahul Jain from JM Financial PMS.

Rahul Jain: Congratulations on the good set of results. My first question is, sir, now with you already been doing rail production of 1,000 per month and the demand in the industry, whether it's Indian railways or from the private side, it's robust for the coming years. would you look to expand the current capacity in FY '25 or '26 to take it to maybe 20%, 30% or 40% higher compared to the current production levels?

Umesh Chowdhary: So as far as the current demand of the Indian railway is concerned, which is at about 30,000, 35,000 freight wagons a year, we believe that the market share of 12,000 is a decent one considering the overall market scenario. But we also believe that the government has announced in the -- even in the interim budget that there would be additional freight corridors, which would be planned.

And we do believe that if these freight corridors come up or even if there is a larger shift from road to rail in order to make Indian economy more cost competitive which will be an essential for enabling the Indian economy to become the third largest economy in the world. And if there is a shift in the demand to a higher number. And definitely, we would look at the capacity expansion. But for the current capacity, we believe that this is a reasonable capacity already, it would mean a growth from last year of almost 35% or even more.

Rahul Jain: Right, sir. Sir, on the same line, if we do a debottlenecking exercise, how much capacity can be expanded with no cost or minimal cost for the [inaudible 0:15:44].

Umesh Chowdhary: That would be a very theoretical exercise to be discussed over a conference call because manufacturing is a complex process. And it will be very difficult to give an answer, which is real or accurate in a call like this.

Rahul Ja

in: Okay, sir. Not a problem. Sir, my next question will be, what will be the capex for FY '25 and '26, if you can highlight the number?

Umesh Chowdhary: We had already mentioned in public domain that the total capex that we have earmarked as a company was about INR1,000 crores, out of which some amount has already been spent, which is going towards the capacity building for the passenger coach, the enhancement upgradation of the country, plus the backward integration efforts and also some special purpose projects like the wheel project, etcetera. So that is -- that remains unchanged.

Rahul Jain: Okay. So can we take around INR500 crores, INR700 crores per annum or maybe slightly more in the next 2 years per annum basis?

Umesh Chowdhary: We've given the information I can share with you is what we have shared already in public

domain, which is a INR1,000 crores over the next couple of years.
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Rahul Jain: Okay. Sir, my next question will be what is the breakup of the order book between private and public on the IFRS freight rail system side? And also, if you can give the revenue breakup for the year? On the sale?

Umesh Chowdhary: We've already given the numbers in the presentation that has been uploaded, and if I may request you to refer to the presentation, we would only be able to disclose the numbers, which have been disclosed or shared in the presentation for propriety as well as competitive reasons.

Rahul Jain: Sure, sure, sir. Sir, any new products are you looking at on the backward integration side or any other vertical?

Umesh Chowdhary: We are continuously looking at expanding the value chain like we have always communicated, there are 2 epicentres to our strategy. One is the freight wagon, the second is the passenger coach. And around that, whatever value can be captured around that -- those are 2 centres. So radar is trying to capture that. Whether it is by way of the backward integration for components, which is meaningful, which either helps us to debottleneck or any supply chain constraint or substantively increases their efficiency or cost gives us cost advantage or whether it is by way of forward integration in terms of entering into services.

Moderator: The next question is from the line of Parvez Qazi from Nuvama Group.

Parvez Qazi: Congratulations for a great set of numbers. So my question is regarding the ports division, and we do expect to work for the Bangalore Metro order to start. So what would be the execution time frame for this order?

Umesh Chowdhary: Yes. Thank you, Parvez. So as far as the execution of this order is concerned, we are expecting the first train be delivered by the beginning of July in the Q2 of this financial year. And our stainless steel production line would also start within the next few days, and we will announce as it is -- as and when once it is done. So the production will ramp up. So by and large we are expecting to reach a run rate of two trains which is in this case it's six cars per train. So two trains per month within this financial year.

Parvez Qazi: Great. Which would mean that largely we should be able to complete it within 2 years if I'm not wrong?

Umesh Chowdhary: Yes, absolutely.

Parvez Qazi: Absolutely. And with regards to the other two metro rail orders that we have when do we expect the production for them to start Surat and Ahmadabad?

Umesh Chowdhary: The production of that as we have mentioned in our results, in the notes to the results, we'll start this month. The designing and the progress is very much on track and we will start the production this financial year.

Parvez Qazi: Great sir. Thanks and all the best.

Umesh Chowdhary: Thank you very much.

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Moderator: Thank you. The next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: So my first question is on the metro side. You did highlight there's an expansion which we're

moving to almost 36 per month for metro and 36 per month for Vande Bharat. Just wanted to understand the current capacity utilization. And second thing the order prospect in metro in the next 12 months, 18 months which we are bidding or expecting to come out in market?

Umesh Chowdhary: Sure. So as far as the current capacity is concerned the aluminium metro that we produced was of aluminium and we have switched over to manufacturing stainless steel of course having the capability to produce aluminium simply because it's more cost efficient and we have to compete and make margins in the business compared to our competitors.

So this line that we are setting up will be in production as I said, in a few days, few weeks, and this will give us a capacity on a gradual basis to get up to 36 cars per month. In the beginning, we are looking at getting to around 15 cars as I mentioned a little while ago. Within this year, we will be able to achieve this -- within this financial year we should be able to achieve between 15 and 20 cars per month there.

The Vande Bharat line will be Brownfield expansion that is undergoing. The capex plans have already been firmed up, plant and machinery have already been ordered and we are expecting the production of that to start by the end of this financial year.

Amit Anwani: Tender process?

Umesh Chowdhary: So as far as metros are concerned you would have seen in public domain and this information is

also available on the website of the Ministry of Housing and Urban Affairs. There are a number of metro projects that are underway and both our passenger business and the freight business actually while being in the capital goods sector they are to an extent like the consumable for the infrastructure.

So wherever infrastructure that is railway tracks are being created or capacity is being created for freight in order to utilize that capacity the last mile of the investment is the rolling stock where we come in. So it's a very easily kind of identifiable number of how many rolling stock requirements should be there based on the metro projects that have been sanctioned.

So there is Chennai, there is Mumbai, three lines that are going on. There is Bhubaneswar, there is Patna, there is further Delhi. So there are a number of projects that are there in the pipeline and we believe that urban mobility is going to be the order of the day with even the tier -- not only the Tier 1, but the Tier 2 and Tier 3 cities demanding urban mobility. So we do believe that the metro segment should be a segment which we will continue to be in demand for the future.

Amit Anwani: So my second question you highlighted about the work on propulsion system. So just wanted to understand we did had some agreement with ABB for propulsion system. And now you're talking about propulsion system. So more colour on this? How much is in-house right now and what is the bought out and what kind of products in the value chain we are going to make in-house over the next 2 years and about this propulsion system which you highlighted?

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Umesh Chowdhary: So we've already started propulsion system production. The facilities have already been established. Propulsion system consists of various equipments. Till now till Pune contract the entire equipment of the propulsion were bought out for us, but with this ABB agreement and also with the contracts that we have received from the railways plus some technology that we have received from our Italian investment and so on.

So with all of this, we believe that it is a journey that we have embarked upon and propulsion equipment also requires a greater time for approvals and stability and so on, but thanks to the strategic tie-ups with different partners as I just mentioned. We believe that in around 3 years time we should

be able to in-house most of the propulsion equipments that we are now purchasing.

Apart from some very strategic projects where we would continue to purchase the propulsion equipment by and large, for example, in the case of Ahmedabad we are already using the propulsion which comes from ABB and the TCMS which will be done by ourselves with the technology transfer from ABB.

So this will be a gradual process. Again, I would not be able to bifurcate it for both technical and competitive reasons on a miniscule basis, but overall we have a very clear road map that in 3 years' time we should be able to have a substantial part of this propulsion for the rolling stock produced by us as backward integrated volumes.

Amit Anwani: Right. Sir lastly, on any scope of work for us on the Vande Bharat standard conversion which is announced, if at all, that comes on stream?

Umesh Chowdhary: I'm sorry, I did not understand that.

Amit Anwani: So any scope of work for Titagarh for the Vande -- conversion of the old coaches into Vande Bharat standard which was announced in the interim budget, if at all that comes on stream, are we also going to be part of it?

Umesh Chowdhary: We would have to see the tenders and the detail of the work. It is not clear whether it is replacement of the old coaches with the new Vande Bharat trains for conversion, it would be difficult to convert old trains into Vande Bharat because both are different technologies. But having been in the Vande Bharat field every business opportunity, as I said, we are working on the concept. There are two epicentres passenger coaches and freight wagons. Whatever is getting captured in the radar of these epicentres will be definitely looked at us as a potential opportunity.

Amit Anwani: Thanks for taking my questions.

Moderator: Thank you. The next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah: Sir, a couple of clarifications. So if Pune metro order completed in March '24?

Umesh Chowdhary: Yes. So the production of the Pune metro is by and large completed in March '24. We have already dispatched 90% plus of the contracts -- contractual trains. Some of the trains which

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would be -- the production is over as I said that some of the components have to be fitted and

the last train in the first contract are always -- they are missing things that have to be done, retrofits that have to be done. So that will be completed in due course, but I would say, substantially completed.

Vaibhav Shah: So some revenue would be -- we would be booking in FY '25 as well a partial revenue?

Umesh Chowdhary: I would not be able to give you the exact number there, but it would be very, very miniscule. I would not say it would be very substantial.

Vaibhav Shah: Okay. And sir, secondly, if I'm not mistaken the actual revenue from Surat Metro largely that would start in '26, right?

Umesh Chowdhary: It is passenger coaches or these are capital good equipment which are booked as per the account -- relevant accounting standards which follow the percentage of completion method. So the dispatch -- the production will start within in this current financial year which is FY '25. And probably the first train also would be dispatched within this financial year. So the revenues will be recognized as per the relevant accounting standards.

Vaibhav Shah: Okay. And sir, secondly for the IR wagons order of 24,000 wagons, so ballpark how much would have been completed until March '24?

Umesh Chowdhary: We would only be able to disclose the numbers that have been said in the presentation. So all the number details that can be shared have already been put in the presentation. I would request you to kindly refer to that.

Vaibhav Shah: Okay. And sir, lastly, what would be the order inflows for us in FY '24, overall?

Umesh Chowdhary: Sorry. Can you repeat that question?

Va

ibhav Shah: The total order inflow that we won in FY '24?

Umesh Chowdhary: So I think, again, I'm speaking from memory, but it's a very simple number that from the last opening order book of 1st April '24 to the revenue and the opening order book of 1st April '23 - for the closing order book of '23. But maybe, Anil, if you have the exact number, you can share it. Otherwise, we can -- proceed -- you can just take it on the presentation as well or we can share it?

Anil Agarwal: You will share it better, sir. I don't have right now exact number.

Umesh Chowdhary: It's easily desirable from the number.

Vaibhav Shah: So basically, there is no large majorly no change of scope in existing orders. So whatever the difference comes that is the actual inflows?

Umesh Chowdhary: Exactly. Exactly.

Moderator: The next question is from the line of Shyam Garg with Ladderup Finance Ltd.

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Shyam Garg: Most of my questions are answered. Thank you.

Moderator: The next question is from the line of Mehul Mehta from Nuvama PCG.

Mehul Mehta: My question is with regard to capital -- working capital employed. How are we looking at like going forward, like because I believe, like in terms of receivables, there has been substantial increase maybe in proportion to like it's just proportionate to revenue growth. So how are we looking at going forward?

Umesh Chowdhary: So as far as the working capital cycle is concerned, there can be always -- because the debtors are reported at a point of time, it also depends on the sales pick up, etcetera, etcetera. As I just mentioned that March was the month where we made the highest number of wagons that has been ever recorded in the history of the Indian wagon industry. We are the only company who has actually crossed the 4 figures mark barrier twice during the financial year. One was in December the second time was in March.

But we do not see much challenges. We would be very much be able to maintain the working capital, the number of working capital days which we have been able to maintain in the past. So we don't see challenges in maintaining that.

Mehul Mehta: So don't get me wrong. But like -- as compared to September ending, we have improved in terms of like receivables days, like, I believe, like it was INR600 crores at the end of September '23.

And now it is the INR500 cross plus like. So that's sound, but overall, because the way we have order book to execute that, like so working capital cycle days, I mean, that cycle should continue, like it should not be like on the higher side. Is that correct?

Umesh Chowdhary: Yes. As I mentioned that these are all at points of time. So the points of time can be depending on the customer, depending on the invoicing, depending upon the payment terms of that particular contract. It can change. But as I just mentioned that in terms of the overall working capital management, we do not see that as a challenge at all, considering the terms of payment and the working capital cycle that we follow.

Mehul Mehta: Sure. Got it. Another is how is capex outlook like say, for current year FY '25 and FY '26, how should we look at it?

Umesh Chowdhary: I just mentioned this a little while ago to one of the queries raised, but the total capex that we

had announced as a group is about INR1,000 crores, including some part of it, which has been spent in FY '24. So by up till FY '26, a total of INR1,000 crores would be spent to build up the capacity for producing Vande Bharat propulsion, the stainless steel metro and also some backward integration activities that the company has taken up.

Mehul Mehta: Sorry for repeating the question. Last question from my side is in terms of, if I look at dividend payout, it is about single digit. Like so now, I mean, we can look at like in the kind of growth and like free cash flow. Is it that like we can consider like maybe like a it will be on th

e increasing

side or we should continue with this?

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Umesh Chowdhary: That is again, a decision that is taken from year-to-year by the Board, and I will not be able to comment on that. But what I can only say is that right now, the company, if you really see that the company has grown over the last 5, 6 years, but the momentum of the growth would continue because the current revenue that has been recognized in FY '24 is primarily from [0:35:23 freight] and the passenger division is something which is kind of going to take off in the next couple of years and grow from there or fly higher from there.

So based on the overall growth that is there, it was deemed appropriate by the board to strike the right balance between the dividend payout and conserving cash for the growth requirements.

There was -- it was an interesting analysis shared with me that the total top line of the company in FY '18, I think, was almost similar to the PAT of the company in FY '24. So that signifies the growth that has been achieved primarily thanks to the tailwind in the industry, the infrastructure spend and the boost to the railways that have been driven by the government. And the company has been in a position to be able to position itself rightly and in time to be able to capture that opportunity.

Moderator: The next question is from the line of Shrinidhi from HSBC.

Shrinidhi: Congratulations on great set of numbers. Sir, would it be possible to update us on development of this traction motor that you are supplying for Indian Railways? How is that business scaling up?

Umesh Chowdhary: Shrinidhi, so definitely, the traction motor is now in the production. We are ramping up the production. We have a capacity to produce up to 150 traction motors, the installed capacity. And our target is that within this financial year, we should get to at least 60% to 70% of that capacity utilization on a monthly basis.

Shrinidhi: And do you think this business can scale up as you're looking to add more capacities in this business?

Umesh Chowdhary: Definitely, you see, this is a business which is growing very fast and all the capex that has been done, all the planning that has been done, has been done with the provision to enhance capacity.

So -- but because it's a new business that we have entered into, we are kind of balancing it out and we are taking firm steps even if there are smaller steps, we are taking firm steps. So that we can establish ourselves for the long run, and we are not wanting to play a T20 match here, we are looking at the test match. So we are not looking at this for the short term. These are opportunities that are going to sustain themselves for very, very long, and we'd like to be in the long game.

Shrinidhi: So the second one is on the Shipbuilding and Defense business. What are the medium-term plan out there? You have very good assets there. I think you were looking for a JV partner. Would it be possible to share some update on this part of the business?

Umesh Chowdhary: Yes, absolutely. We had announced in the past that these are -- this is a segment which offers great opportunity. It has been in the centre of the government policy in terms of indigenization, Atmanirbharta and all of that. So we believe that to really be able to get the real potential to -- in cash the real potential of this business. It may be necessary at some stage to make this

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independent, maybe with some strategic partner or otherwise. And definitely, this is something which is work in progress, and we would look at taking concrete steps towards the right direction on this business also within this financial year.

Moderator: Thank you. The next question is from the line of Nikhil Kanodia from B&K Securities. Please go ahead.

Nikhil Kanodia: Sir, most of my questions have been answered.

So one thing, if I heard it correct that you are

still looking out for injecting some strategic partners for a shipbuilding business?

Umesh Chowdhary: Your voice is actually very muffled. I'm sorry, I'm not able to get your question clearly.

Nikhil Kanodia: Sir if I heard correct that you are looking for some strategic partnerships in your defense and shipbuilding business?

Umesh Chowdhary: What I mentioned is that including the possibility of induction of a strategic partner or otherwise. We are definitely looking at doing the right thing to grow this business. It is a niche business in Titagarh Rail Systems.

And as the name of the company suggests that the company is more focused towards rail systems and to be able to really encash, the real opportunity for the defense and ship building, it would be necessary to take some steps whether that is on the -- based on the best analysis conducted and the approval of the board and then ultimately by the shareholders whether by way of doing it ourselves or by induction of strategic partner that is something that is going to be crystallized within this financial year.

Nikhil Kanodia: Sir, the other thing is -- just one request. So I couldn't find your presentation on the website. So if you can confirm whether it has been uploaded on your website?

Umesh Chowdhary: I'm sure this should have been. Anil, can you confirm?

Anil Agarwal: Let me check it out. We have already sent it to the stock exchanges. Let me find out if there is any issue or not.

Umesh Chowdhary: In case it would be available at the stock exchange, but if it is not, if there is some bug, we will rectify it.

Nikhil Kanodia: Yes, it is not available on the stock exchange website as well. So I guess that's the reason why there are many questions on the order book as well.

Umesh Chowdhary: We will share it right after this call.

Nikhil Kanodia: Okay. Those were my questions. Thank you for answering them and all the best sir.

Moderator: Thank you. The next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.

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Vaibhav Shah: Sir thanks for the follow up. Sir, can you throw some light on the pipeline for Vande Bharat order that we expect in the next couple of years?

Umesh Chowdhary: Very interesting question, sir. So we've heard the railway minister and the railways and the government speak about waitlist free railways in the next 5 years. And we've also heard numbers in the press of very large quantities of Vande Bharat trains that would be required to be built in order to achieve that. So we are building the capacity to produce, as I said, 36 cars per month and we have an order book of 1,280 cars and we believe that this demand should pick up the way Vande Bharat trains have gain the popularity. There would be the Vande Metro opportunities, there will be MRVC opportunity.

So basically, the intercity transport and we also believe that the trains that we are designing and we will be producing which is the Vande Bharat sleeper trains would be quite a game changer in terms of the way people would like to travel. So as far as the order inflow is concerned we can only say that we are very excited with this time of moment that we are in where the railways is undergoing a complete transformation and to be in this a small part of this journey of transformation.

Vaibhav Shah: Okay. And sir, secondly, this would be largely on the steel side, the capacity that we are setting up for Vande Bharat?

Umesh Chowdhary: What I just told you is the stainless steel one. We have the capability to do aluminium coaches. We've already done Pune metro aluminium coaches. If there is the aluminium coach opportunity that gets presented by the railways or by other customers. We are the only company in India which are the best suited to be able to put our -- raise our hands and put forward to walk towards that opport

unity.

Vaibhav Shah: So we can expect either of steel or aluminium opportunity on the Vande Bharat side in future?

Umesh Chowdhary: We can expect either or and both. We would love to see both, but we do not know. I mean, of course, these are all newspaper reports that we are speaking about. We would only know what finally happens in terms of the railway decisions and the government's policy and we see the final tenders come out.

Vaibhav Shah: Okay. And sir, lastly who would be our major competitors both for metro and for Vande Bharat on the domestic front?

Umesh Chowdhary: As of now the current coach manufacturers apart from the government railway which is PSBUs which is ICF etc is Alstom and BML. So we have seen them as the only contenders or the tenders that we participate in.

Vaibhav Shah: Okay. Thank you sir.

Moderator: Thank you. The next question is from the line of Priyesh Babariya from Max Life Insurance.

Priyesh Babariya: Just one question on the wagon side. From the demand perspective, so I understand we typically speak about DSC that's likely to be a driver for the next couple of years. However, when we see a couple of reports that says that currently capacity utilization for this Eastern DFC and Western DFC remains very low. So -- and they suppose if that remains very low and the additional pipeline for the DFC will likely to get delayed. So any thoughts on this?

Umesh Chowdhary: So I think in order to understand this -- in order to understand this demand the overall market needs to be kind of discussed. The Indian logistics cost is one of the highest logistics costs as a percentage of GDP. The market share of the Indian railways is very low compared to the other modes of transport. So these two data points combined the only way that Indian economy can become more competitive is by moving the mode of logistics from road and air to rail and water, water having its own limitation rail is the only mode which can really take over the share of the logistics.

It is much more environment friendly. It is much more fuel efficient and faster once these lines are operational. So the fact that -- and the data that you are saying I'm not seeing this one, but not analyse this about capacity utilization of DFC being low, would probably be only because the entire stretch would not be complete or the entire utilization is not being done.

But I think that there is no reason for the railway capacity utilization being low because it's the lowest cost of transport the most efficient mode of transport for bulk commodities. So to sum up, I don't see that there should be a challenge in terms of the additional freight corridors coming up merely because for a few months, few quarters, the capacity utilization of the existing Eastern and Western dedicated freight corridors is low.

Priyesh Babariya: Sure sir. That's all from my side. Thank you so much for answering the question.

Moderator: Thank you. The next question is from the line of Bharat Sheth from Quest Investments. Please go ahead.

Bharat Sheth: Sir, understanding from the propulsion point of view, so what is the cost of these propulsion in the metro and how do we overall with the kind of capex and ROI we like to expect to generate, what would be the benefit in terms of EBITDA margin?

Umesh Chowdhary: There are different parts of this question. As far as the percentage of propulsion in a coach is the cost of propulsion in a coach is anything between 20% to 30% depending upon the kind of propulsion, depending upon the speed of the train, depending upon the type of the propulsion. So -- but that is the range of the propulsion -- cost of propulsion as a percentage of the metro coach. In terms of the EBITDA I already discussed this a little while ago that the EBITDA -- once we are able to reach a certain volume in the metro should give us about 10%.

An

d once we are able to integrate it with the propulsion we could see an expansion of the EBITDA by about 4% -- between 4% to 5%, I would say, over a period of time once the capacity is again are fully utilized. The ROI, etc is something which -- it would be much, much higher because as I just mentioned that we are developing very large capacities considering the capex that we are spending and that is primarily because a large part of the infrastructure has already

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been created by us in the past. So we are looking at a good ROI for the propulsion and the metro and the Vande Bharat rolling stock complaint.

Bharat Sheth: Sir, one more thing, this tie-up with EBITDA is mainly for Vande Bharat and not metro. Is that a fair understanding?

Umesh Chowdhary: So it is the other way around, so it is for metro not for Vande Bharat.

Bharat Sheth: And for Vande Bharat we have tied up with Italian partners. So we will continue to...

Umesh Chowdhary: Vande Bharat is with the BHEL which is a consortium built with BHL where the propulsion is coming from BHEL.

Bharat Sheth: But we will continue in that case I mean, with our Italian partner as well as JV with the ABB to manufacture both the propulsion or...

Umesh Chowdhary: Yes. For different types of propulsion we would be following different strategies. It would be difficult to explain exactly because these are highly technical matters, but effectively what we are trying to do is ensure that we have the entire bouquet of products, entire range of product in the propulsion. And we are taking and choosing the best option that we can from both technology cost and availability perspective from different options of technology.

And we are also, I think, I would love to share with you that the engineering capability that we

have -- design and engineering capability that we have built and we are continuing to build is also going to help us develop our own technologies. We have the full fledged design center in Calcutta. We have a joint venture design center in Hyderabad, and we have also opened a design center in Bangalore. So we have multiple design centers which are supporting us for development of these propulsion and for the development of the rolling stock as well.

Bharat Sheth: Okay. Great sir. Sir on freight side pardon my Zoran earlier whenever we used to get from railway these wagons wheels were used to be supplied by the railway as well as steel material. So now under the new thing, how this thing or we are at liberty to buy from wherever we want?

Umesh Chowdhary: So different contracts have different conditions. When we supply to the railways normally -- there is no free supply anymore. Normally, we are encouraged to buy these from the railways own plant in Bangalore. But again there is no one size that fits all. There are different contracts that we get which have different criteria, but to answer your question there is no free supply regime anymore.

Bharat Sheth: I understand. Now that we can use our whole network, I mean to procure the material at reasonably much cheaper than what earlier we were getting. So that -- how that will really play out on the one is on the working capital side and second thing on EBITDA improvement with our procurement capability?

Umesh Chowdhary: To a great extent that has already happened, sir, that we have already seen margin expansion, EBITDA expansion. And this is an ongoing process. This is not something which will be a point of inflection like a turn on or turn off. This is an ongoing process wherein we continuously as

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my colleagues Anil Agarwal mentioned that we are continuously endeavouring to improve our EBITDA margin.

Earlier we used to guide for 8% to 10% EBITDA margin. The very size that we have been able to achieve and we are guiding for 11.5% to 12% EBITDA margins on

the freight side in itself is

being achieved because of operating leverages and -- which also includes the right kind of procurement abilities and capabilities.

Bharat Sheth: Is it possible to share, how much is the order book dedicated freight corridor wagons are there?

Umesh Chowdhary: It is not possible to do that, sir, because the railways do not buy separately. It is all going into the same pool. And the order book details are all shared in the presentation which are uploaded in the BSE website. And the numbers that I would be able to unfortunately due to, of course, as you understand regulation share are the ones that are available in the presentation.

Bharat Sheth: So our current blended realization is how much sir approximately and if we have to...

Umesh Chowdhary: It would be in terms of presentation, sir. All this data would be in the presentation.

Bharat Sheth: And this dedicated freight corridor is on higher side or if you can give some trajectory in staking order?

Umesh Chowdhary: It's not possible to do that because there is no separate procurement as I just mentioned.

Bharat Sheth: Thank you very much and all the best.

Moderator: Thank you. The next question is from the line of Shrinidhi from HSBC. Please go ahead.

Shrinidhi: Thank you for the follow up opportunity. Sir just one small question on the demand from the private wagon industry. So do you continue to see strong demand in that part of the market, the way we witnessed last year?

Umesh Chowdhary: Shrinidhi I think the private demand or the overall demand for the wagon if you see historically borrowing blips positive or negative ones from time to time is about 15% of the -- between 10% and 20% of the overall demand of wagons is procured by the private sector and the balance is procured by the Indian railways.

And I believe that, that is something that would -- that is a trend that is likely to continue. Again, I qualify that barring positive or negative quarters or months which can happen or periods of time that can happen on a slightly longer-term basis spanning to maybe over 4 quarters the demand pattern is likely to remain the same. This, of course, is an answer that I'm giving out of our experience in the industry and there is no particular data to substantiate this. It is based on how we have seen the market behaved in the past.

Shrinidhi: So sir, last year, we saw a share of private going significantly up, do you think that will normalize to the trend that you alluded to?

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Umesh Chowdhary: That was the supply. That was not the ordering. The ordering would also remain what I just mentioned to you. But again, it will be blended over a period of time. So that's the reason why

we also maintain a healthy mix between our private and the government of the railway supplies so that we can present on a longer basis and sustain this kind of capacity utilization on a longer period.

Shrinidhi: Thank you for answering my questions and all the best sir.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Umesh Chowdhary: Thank you very much. It was very, very interesting and I would say educating to get some perspective and some ideas from the various questions that were asked. I hope we've been able to answer the questions that were there. And our Investor Relations team is available for any further reach out that may be required from anybody.

I would like to convey the year has been satisfying. I would like to convey my deepest gratitude to everybody, to all the stakeholders, to their employees, to the stakeholders, to the customer for supporting us and continuing to support us. And we hope and look forward to this continued support in years to come. Thank you.

Moderator: Thank you. On behalf of Antique Stock Broking that concludes th

is conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

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20th May, 2024

BSE Limited (BSE)

The Department of Corporate Services

Phiroze Jeejeebhoy Towers

Dalal Street,

Mumbai – 400 001

Scrip Code: 532966 National Stock Exchange of India Limited
(NSE)

The Listing Compliance Department

Exchange Plaza Bandra -Kurla Complex

Bandra (E), Mumbai – 400 051

Scrip Code: TITAGARH

Dear Sir/Madam,

Sub: Q4 FY24 Earnings Conference Call

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of the Q4 FY24 Earnings Conference Call of Titagarh Rail Systems Limited ('the Company') held on Thursday, 16th May 2024 at 4:00 P.M. The same can also be accessed on the Company's website at:

https://www.titagarh.in/storage/report/actual/Transcript_Q4FY24_Earnings%20Conference%20Call.pdf

Please take the above on record.

Thanking you,

yours faithfully,

For Titagarh Rail Systems Limited

(Formerly Titagarh Wagons Limited)

Dinesh Arya

Company Secretary & Chief Compliance Officer

M. No. FCS 3665

Call: Jul 2024

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"Titagarh Rail Systems Limited
Q1 FY '25 Earnings Conference Call "
July 31, 2024

MANAGEMENT : MR. UMESH CHOWDHARY – VICE CHAIRMAN AND
MANAGING DIRECTOR – TITAGARH RAIL SYSTEMS
LIMITED
MR. PRITHISH CHOWDHARY – DEPUTY MANAGING
DIRECTOR – TITAGARH RAIL SYSTEMS LIMITED
MR. SAURAV SINGHANIA – CHIEF FINANCIAL OFFICER
– TITAGARH RAIL SYSTEMS LIMITED

MODERATOR : MR. PARTH PATEL – ORIENT CAPITAL

Titagarh Rail Systems Limited
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Moderator: Ladies and gentlemen, good day, and welcome to the Titagarh Rail Systems Limited Q1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Parth Patel from Orient Capital. Thank you, and over to you, sir.

Parth Patel: Thank you, Neha. On behalf of Titagarh Rail Systems Limited, I extend a very warm welcome to all participants on Q1 FY '25 Financial Results Discussion Call. Today on the call we have Mr. Umesh Chowdhary, Vice Chairman and Managing Director; Mr. Prithish Chowdhary, Deputy Managing Director; Mr. Saurav Singhania, Chief Financial Officer.

Before we begin the call, I would like to give you a short disclaimer. This call may contain some of the forward-looking statements, which are completely based upon our beliefs, opinion, expectations as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties.

And with this, I would like to hand over the call to Mr. Umesh, sir. Over to you, sir. Thank you.

Umesh Chowdhary: Thank you. Thank you, Parth. Very good morning to everybody and thank you very much for joining this quarterly earnings conference call of Q1 FY '25. To begin with the -- as far as the quarter has been concerned, the numbers have already been published. I will speak about the two segments separately. As far as the Freight segment is concerned, the performance has been slightly muted compared to the Q4 of FY '24.

However, if you compare on a year-to-year basis from the previous year, we have been able to improve our performance. Overall revenue is about 12% higher compared to the last year's same quarter. Traditionally, the Q1 is a slower quarter in our industry, but this year was exceptionally

-- an exceptional quarter because of the severity of the heat wave in Eastern India. There was substantial absenteeism, which was also aggravated by the election season, as a result of which, there was -- not only in our case, but also in the supply chain base, there were disruptions. However, things have already sprung back, and we are picking up. And we are still 100% sure and confident that we'll be able to achieve our targets.

We expect that from the last year of 8,400 wagons, we'll be able to achieve a growth and get to definitely a 5-digit kind of a number. As far as the Passenger segment is concerned, as was already shared in the last quarter, we had completed -- so if you compare it on a year-to-year

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basis, there has been about INR100 crores gaps in the revenue that we had achieved in June '24 versus June '25. That is only because of the fact that Pune Metro was executed in that quarter. And now we have just begun the production of Bangalore Metro in this quarter. The first train for Bangalore Metro will be dispatched in Q2 of FY '25, and the gradual ramp-up is absolutely on track.

As we had planned and targeted that we will be able to reach production run rate of between 10 to 15 cars by Q3 or Q4 this year. And that will continue to grow as Surat and Ahmedabad production happens and Vande Bharat starts next year. A few of significant developments on the PRS is we have been able to export our first traction converters to Europe. This is in the propulsion side of the PRS. The shipment happened a few days ago. And of course, the production line that has been set up, the stainless-steel production line has begun operations. I think that's a broad summary of

the quarter, and I'm happy to take any questions. Thank you.

Moderator: Thank very much. We will now begin the question-and-answer session. The first question is from the line of Vikas Reddy Chinnam from Lakshmi Kala Investments.

Vikas Reddy Chinnam : Sir, congratulations. And normally, Q1 is a slower quarter in the industry, right?

Umesh Chowdhary: That's right. Absolutely.

Vikas Reddy Chinnam : Yes, yes. Sir are we confident to reach our earlier targets which you have taken the 12,000 freight wagons per year, which is 950 to 1,000 wagons per month. So are we confident to reach our target?

Umesh Chowdhary: Yes, we are fairly confident that we will reach the target of 950 to 1,000 wagons a month, and we are also confident that we will do a substantive growth almost from the previous year. And the first quarter that has been, as I said, an average of around 700 is not going to be the constraint going forward.

Vikas Reddy Chinnam : Yes. As I can see, in the passenger rolling stock in this FY '25, there is a decrease as we compare year-on-year, 63% revenue decline. So could you just elaborate and what is the execution in coming quarters?

Umesh Chowdhary: As I had explained in the previous conference call also, and also, we had given it in our results, we -- in the passenger rail segment, we have completed the Pune Metro dispatches, and the Bangalore Metro was to be started. It was delayed because of nonavailability of the visas, this is in cooperation with CRRC. We are subcontractors of CRRC for Bangalore Metro, and there were some problems for getting the Chinese visas. That was resolved. The production has started. And we are confident of being able to ramp to 10 -- between 10 and 15 cars per month within this financial year.

Moderator: The next question is from the line of Sudeep Anand from Systematix Group.

Sudeep Anand: Sir, just one question on IFRS. So if you look at the per wagon cost of -- per wagon revenue of last quarter was somewhere around INR37.7 lakh, while if we calculate this quarter, it's around

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INR40.6 lakhs. So is it because of higher execution of private wagons? Or was it -- what's the mix if you can just give us?

Umesh Chowdhary: So the information that can be disclosed has already been disclosed in terms of the numbers in the investor presentation. And yes, absolutely, you're right, that the mix of private versus railways or even within the railways, the type of wagon that has been executed during the quarter continues to change the overall revenue. So that is not a kind of a constant KPI that can be taken in the wagon pricing because there are different types of wagons that whether the railway buys or the private sector buys, and each one of them has a different pricing.

Sudeep Anand: Okay. And another on PRS, how do we see the pipeline of metro contracts? So any new metro order which is expected to come or where we have bid, any color on that?

Umesh Chowdhary: So there is -- absolutely there -- in public domain, it is there that there are a number of metro

tenders that have already been floated. There are ongoing, as we speak, 6 tenders of different cities that are in the pipeline. There have been -- tenders have been floated or prices have been submitted, whether prices are yet to be opened. And also in terms of the government's clear policy to push the metro or urban mobility forward, we believe that several cities will be undergoing an expansion or further capacity enhancement in terms of carrying passengers for other mobility, which will continue to bolster the demand of metro coaches.

Moderator: The next question is from the line of Koushik Mohan from Ashika Institutional Equities.

Koushik Mohan: Sir, I just wanted to understand what is currently our capacity in this quarter that we are running for wagon side? And basically, where is -- what's the margin

in is also sustained in this quarter?

Umesh Chowdhary: So the numbers have already been given in the investor presentation. But broadly, I can share with you that, last year, we did an average, if you look at an annual average of 700 wagons. This quarter also, we were at the same average. In terms of the growth on a year-to-year basis, Q1 of FY '24 to FY '25, there is definitely a growth, which is, if extrapolated, is a very clear sign that the first quarter is actually a certain percentage which is not equal to the balance quarter. So in terms of the margin profile is concerned, we have always mentioned -- maintained that in the freight wagon, the sustainable margin and a quarter-to-quarter margin is not really a proper reflection or a proper again KPI for our business. But on the blended margin of 12%, 12.5% is something that we are confident to maintain.

Koushik Mohan: Got it. Sir, and also if I look at closely on your numbers. I can see there has been an increase in the employee cost as a percentage of sales. So are we increasing our employee count in the factory?

Umesh Chowdhary: Yes, absolutely. We are definitely increasing our employee count. We have started, and in fact, this is one thing which I forgot to mention. We started our design center in Bangalore. So we are moving -- the whole target of the company is rather than being a manufacturing company alone, we are looking at becoming a more technological company. And as a result of which, a lot of bandwidth creation is going on in terms of developing technology or making products of higher technology.

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The very fact that we've been able to achieve our first traction converter export, which is a very, very high technology item, I mean, on a technology scale to the wagons and other products, it is a completely different ballgame altogether. That can be only achieved with very high -- highly qualified and skilled people at all levels, whether it is at very senior levels or at even worker levels. So we are continuing to build up our talent pipeline. Last year also, we recruited hundreds of graduate engineers that we are training in also. All of this is reflective of this employee cost.

Koushik Mohan: Got it. Got it. Sir, we have an operating leverage for -- financing leverage because of interest was going down. So in the full year basis, what could be our total interest cost on the P&L?

Umesh Chowdhary: We are net debt free today. So our cost of interest is, on a net basis, is negligible or not there. Our cost comes primarily on account of the guarantees and LCs, et cetera, that have to be opened in our business, which is very high. And that also will be further optimized because of the credit upgrade -- credit rating upgrade that the company has been able to receive during this quarter from A+ to AA - by CRISIL.

Koushik Mohan: Got it, sir. And sir, I want to understand our visionary numbers that we would reach over next 5 years, how do we look -- Titagarh Rail Systems over the next 5 years?

Umesh Chowdhary: We have already given our outlook about our targets, the business plan that we are creating, capacity to produce between 800 to 850 passenger cars and 12,000 freight wagons. So that is the capacity that we are creating. As far as reaching the revenue targets are completely utilizing that capacity, of course, that factor of demand, market dynamics, economic situation, et cetera, et cetera, of the macroeconomic situation and interest rates. So definitely, but we believe that India is on a growth path.

The infrastructure in India is going to continue to grow. We have seen that even at a very large base of infrastructure spend, the government has further enhanced the budget for infrastructure, 3.4% of the GDP is being spent on further infrastructure growth. So we believe that the capacity that we are creating is something that is

going to get utilized or taken away or taken up by the government in its infrastructure pipeline building.

Koushik Mohan: Sir, and in Freight Rail System, how much is the shipbuilding numbers have been added? Because now shipbuilding sector is on booming side, I can see there a set-up with a lot of orders and all, how is that shipbuilding division doing altogether?

Umesh Chowdhary: Shipbuilding division is not a very significant part. And the numbers that have been shared in the presentation is that we have -- we can disclose also on this call. But what we can say is that

we had announced in the past that we had created a Board committee to look into the strategic future of the shipbuilding and the defence. And within the next period of time, short period of time, we will be coming up with the final plans for the shipbuilding and defence.

Koushik Mohan: Okay. And last one final question, sir. When can we expect our Passenger Rail Systems will be a major contributor to revenue? If my assumption is right, if I assume FY'25 Q3, we'll be starting progress on this? Or is it FY'26, should I assume?

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Umesh Chowdhary: As I had mentioned, our capacity that we are building will continue to get ramped up. We are confident of achieving between 10 to 15 cars in Q3 or beginning of Q4 per month. But the target that we have is in 2 - to 3-years' time. I would say, more like 3 years' time to reach 70 cars per month. So it will be not an overnight jump, but a gradual move towards on -- let's say, 3 cars per month of the previous year to 70 cars per month in 3, 4 years that we are going to achieve.

Koushik Mohan: In that, how much can be from Vande Bharat?

Umesh Chowdhary: We are not segmenting, but we have a large order. We have 1,280 car orders from Vande Bharat. And we believe that the demand for both Vande Bharat and the Metro will continue. And similar to wagon, it's not -- the capacity is fungible between Vande Bharat and Metro to an extent. And therefore, we would just stay with the passenger coach. But broadly, I would say, half and half is what we can envisage in the next at least foreseeable future.

Koushik Mohan: Got it. And sir, how are we looking at our improvement, because Passenger Rail Systems every time is a higher -margin business and in the blended level you're telling that we can make around 11-12 percentage on the EBITDA level. So how are we looking? This will be sustaining? And do we need any capex to be done in the future for our business now? Because in the past we have done heavy capex, right?

Umesh Chowdhary: It is a dynamic situation. I don't think that the decision -making or anything that can remain constant in a dynamic kind of scenario that the country is going through. As of now, as far as margin projections are concerned, what I had mentioned is for the freight wagon is 12% approximately.

For the passenger, whilst we had explained in the past calls also, without propulsion, the margins are at the level of 10%, 11%. With propulsion, it is increasing by another 4%. So with this whole propulsion integration, the future outlook would be to target margin levels of 14% to 15% in the Passenger Rail segment side.

Koushik Mohan: Sir, how about our deal size...

Moderator: I request you to come back for a follow -up question. The next question is from the line of Sandesh Shetty from HSBC Securities.

Sandesh Shetty: Sir, first question will be what will be the capex for the current year, for FY'25?

Umesh Chowdhary: So the capex that we had announced of close to between INR700 crores to INR1,000 crores, this will be primarily spent within the current year, and I would say in the first part of the next financial year, because in order to get the production lines going for Vande Bharat and the other propulsion and stuff like that, the capex will be front ended. So I would say

that the entire

INR700 crores to INR1,000 crores will be spent within this and between the first part of the next financial year.

Sandesh Shetty: So for next 1.5 years, INR700 crores to INR1,000 crores is what you're expecting... ?

Umesh Chowdhary: Including what we have already spent over the last 5, 6 months, I would say.

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Sandesh Shetty: Okay. And sir, you mentioned -- sir, for this quarter, the PRS margin has been around 6.5, so it's slightly on the higher side. So is it because the design component accrues a higher margin? Or is my understanding incorrect, sir?

Umesh Chowdhary: So the PRS follows a percentage of completion method according to the accounting standards. And with the new contracts coming in, that is how the margin recognition goes forward. Of course, the operating leverage plays a very important part because as was also rightly pointed out by another gentleman a little while ago, we are continuously building our talent pipeline. This business requires a very, very deep talent pipeline. And therefore, the fixed cost continues to get incurred.

And the operating leverage or the margin starts coming only when the right volume comes in our business. It's typically one that where the bottom line will follow the top line. So our focus is now to grow the top line. And as soon as that happens, the margin profile will improve. But the recognition of the margin happened, as I said, on percentage of completion method and this

is because the new contracts are coming up. We don't separately book margins for design or production.

Sandesh Shetty: Okay. Got it, sir. And sir, one last question. Sir, you mentioned that you have sent your first consignment for traction converters. This is an export order. Sir, going forward, how do you see this traction converter exports panning out like Titagarh, you have sent it to Firema, so it's like a captive sister concern. So do you look at other opportunities also outside of Firema for exports? How do you look at that opportunity, sir? That would be the idea.

Umesh Chowdhary: As far as the exports are concerned, once your product gets invested, once it gets approved, it just becomes -- the world opens up as the market. And yes, the first one has gone to Firema, but it is going -- it has to go through all the approval processes, including acceptance by the final customer, which is the Rome region or the Lazio region for the trains that will run in the capital city of Italy. So therefore, the quality standards, the technical standards, the facilities, all of that have to be up to the mark in order to achieve this kind of approvals. Once that is done, then whether it is Firema or anybody else, the market opens up.

We also understand from newspaper reports that the government is really focusing and is likely to come up with teams to support exports of railway components. And we believe that further will give us some kind of an advantage or some kind of a boost to enhance our international presence or international markets.

Moderator: The next question is from the line of Balasubramanian from Arihant Capital.

Balasubramanian : Sir, one of EMS players talked about some delay in metro projects especially in Mumbai as well as a delay in 200 Vande Bharat trains and because of shortage of supply systems -- subsystems.

So what's your thought process on the shortage of these subsystems ? And like what's the -- in this budget also government have not much focused on railway side. And like what kind of growth aspects we can expect in this financial as well as next financial as well as what kind of execution challenges, we have as of now?

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Umesh Chowdhary : So as far as supply chain constraints are concerned, they are a part of the business, and they happen on a day-to-day basis. That is not

something that is new. And that is exactly where the work of the companies are, the management of the company is to ensure that these constraints are removed, but we can divide it into manageable challenges and unmanageable challenges, and I can confirm that there are no unmanageable challenges. They're all manageable challenges that we are facing, or we have faced in the past.

And in fact, if I can also confirm that there is no particular specific challenge which kind of it is a showstopper and it's a day-to-day affair. In terms of the infrastructure for Mumbai, etc we are all aware that was also on account of certain delays for certain plant regions, etc and this is again a very normal process of any metro or infrastructure project, but the work is going on very well. There are 3 metro tenders, metro coach tenders that have been floated by Mumbai Metro as of this moment and we do not see that is going to be a challenge.

And the third point in terms of the focus of the government on railways going down, I really do not -- I do not understand where this question comes from. Because if you look at the budgetary allocation on a very high number that was existing last year there has been a further enhancement. So the focus of the government on the railways, I don't see has come down. We must also appreciate that infrastructure is a long-term project.

So let's say the Vande Bharat contract that we received is going to be executed over 4, 5 years. So every year the orders are not something that will continue on the same level, but it is a cycle where in the first orders have to start execution and then the second one is coming. So it is pretty much I would say on the track as per the game plan that we had envisaged, or we had hoped for. And we do not see any negative or any concerns in the overall budget that was presented for the railways...

Balasubramanian : Got it. Sir, on the wheel sets plant one of the partner with Ramkrishna Forgings they talked about INR1,800 crores kind of capex. Earlier like if we look at it 1 year back the capex that was around INR1,200 crores, INR 1,300 crores kind of range. Right now INR 1,800 crores like any further explanations we can expect -- one of our competitors also aggressively expanding this wheel sets capex side. So whether -- what kind of opportunity do we have and whether -- how you are confident to execute in those capex and business opportunities?

Umesh Chowdhary : Yes, I will not be able to speak on the competitors here because I'm not fully aware of what exactly is being done, but what I can speak about is our joint venture with Ramkrishna Forgings is absolutely on track. The overall capex of INR 1,800 crores is in two phases, and we are the only company, or our joint venture is the only company in the country which has a long-term contract from the railway. So I'm sure you are aware that our project is being set up on the back of a commitment from the railways to purchase 80,000 wheels per year for the next 20 years. So

that gives us certainty of the capacity utilization apart from our own requirement which in itself is substantial as well as the exports which is going to be there.

So the total capacity that is being created by joint venture is around 200,000, 220,000 wheels out of which 80,000 wheels is underwritten by the railways. And the balance is going to be consumed or sold to our own captive consumption requirement or to market requirements.

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Balasubramanian : Got it. Sir, my last question one of these younger players...

Moderator: Sorry to interrupt you sir. I request you to come back for a follow-up question.

Balasubramanian : Thank you madam.

Moderator: Thank you. The next question is from the line of Parvez Qazi from Nuvama Group. Please go ahead.

Parvez Qazi : So two questions from my side. First of all

, thanks for giving a very detailed outline towards your plan for the propulsion system and the various component business over the next 3 to 4 years. So my question is that over the next 3 to 4 years when we have expanded our capacity both in terms of production as well as on the technology side and have developed these products, what is the kind of additional market or revenue size which we can target which let's say, today, we are not able to target?

Umesh Chowdhary : Yes, morning Parvez . In terms of what we are not able to target and what we will be able to target is going to be the real -- what I explained in the beginning that we are moving from a manufacturing company to a technology to a product company. And today what -- if you compare it to the freight wagons or freight rail segment the drawings are primarily issued by the railways and the wagon manufacturing industry is supposed to follow those drawings and produce product as per that.

What we are doing now in the current scenario particularly in the PRS is we are creating products. We are doing R&D. We have a very strong engineering base now both in Calcutta, engineering -- design and engineering and R&D base and also engineering base, in Calcutta and now we have started with Bangalore plus in Hyderabad with joint venture with Firema. Plus we have the technological cooperation agreements with Firema and the two design offices that they have in Italy.

So on an integrated basis the overall technological development is a huge upgrade that we are looking at and we are successfully achieving. Plus we have strategic tie-ups for technology for some -- from companies like ABB for the metro TCMS and for yearly propulsion and all of that. So effectively it is going to be targeting a completely different segment of products that can be sold, designed, manufactured and sold whether it is to Indian market or to international market.

Parvez Qazi: Sure. And the second question is regarding the Ahmedabad and the Surat Metro orders. So we expect our production on them in Q3 and Q4. Would that be a right way to look at it?

Umesh Chowdhary: Yes, absolutely. I would say within this financial year, it would be more towards the beginning of Q4 of the current financial year. But we are absolutely on track to be able to do that. And if I could just add to the previous one. In terms of propulsion that we are doing, we are also investing a lot in developing intellectual properties. So right now, the one that we are doing is for electrical, and where we are trying to work further on energy efficiency, on lower power consumption.

And then keeping our options open and in fact have already started evaluating newer technologies, whether it is with respect to hydrogen or battery, etcetera, etcetera. So we would

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also like to mention this, that the whole technological level of the company is what is undergoing the change particularly in the PRS.

Parvez Qazi: Sure. And just one more question, if I may. Our current coach production capacity obviously is fully utilized based on the orders that we have. We are in midst of expanding our capacity, at the same time, obviously, new metro rail orders are coming, as you mentioned, 6 tenders are in the pipeline. Plus we haven't seen any Vande Bharat train order coming for the last 1 year, I'm assuming something might come up that also. So how do we see or how do we position ourselves in terms of future ordering? Do we wait now or continue to bid and then try to calibrate our production with the new orders that we get? And what is our strategy as far as future order intake in the passenger segment?

Umesh Chowdhary: It is a very dynamic market. Firstly, as I mentioned, infrastructure is not something that is like a revenue requirement or an ongoing consumable kind of a requirement. These are requirements that come

up on a lumpy basis. So Vande Bharat is not something that we expect to come out on an annual basis. The first train tenders were given. However, I believe that the aluminum coach is something which that time the railways did not finalize, the railway had announced -- aluminum Vande Bharat that might come up. And if that does come up, then it will be a target market for us, because we are the only company in India which has produce aluminum coaches for the city of Pune metro.

In terms of our participating in tenders, we continue to participate in tenders. The aggregation level or the strategy for each tender is defined on the merit of that particular tender, how it is adjusting or how it is fitting well with our overall capacity. And wherever we see sustainable demand, we go for the capacity expansion, we do not want to kind of expand or invest and expand capacity for demand that we do not see are sustainable. So as of now, what we have invested is to build up a capacity of, as I said, 800, 850 cars per year, which we believe is demand that exists on current levels.

When the Vande Bharat demand further enhances with the changes of the rolling stock that the government has announced or if the government moves towards, as they have announced, with wait free travel, which will require several more trains. We will definitely look at further the capacity expansion, or if there is also the aluminum Vande Bharat opportunity that comes up. But as of now, we are only focusing on the existing planned capacity expansion that we have undertaken to achieve 800 to 850 coach capacity, which we want to do within the next 3 to 4 years.

Moderator: The next question is from the line of Aditya from Sowilo Investment Managers. Please go ahead.

Aditya : Okay. So my question was more on the lines of there was some news flow, how you mean the Vande Bharat order, which was split between Titagarh and its competition. They were facing some challenges on the propulsion side and there could be some diversion of orders to Titagarh. Could you throw some light on that?

Umesh Chowdhary: So we would not be able to comment, and we would not like to comment on any of these newspaper kind of reports, which are speculative. We are continuing to execute our portion of Titagarh Rail Systems Limited
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the 80 Vande Bharat trains. And we presume that the competition is doing their part of the job. If the railways ever wants us to expand the scope of supply on account of additional demand or any which way, we will definitely examine that.

Moderator: The next question is from the line of Jayesh Shah from Ohm Portfolio Equity Research. Please go ahead.

Jayesh Shah: While sir, you have talked about the Ramakrishna JV. I just wanted an update on all the JVs that you have with ABB and Amber, any significant development? And is my understanding right that the revenues will kick in only by FY '26 or later? Thanks.

Umesh Chowdhary: Yes. So as far as the JVs are concerned, the only joint venture that we have is with Ram Krishna for setting up the wheels, wheel project. The revenue for this will start from 2026 -- FY '26 but will really ramp up in the year after. In terms of the partnership which we have with Amber, Amber is primarily the one that we have is -- they have also joined as a partner in the Italian company, Firema and we are discussing about various components. So one is on the strategic side, the second is on a joint venture. So both ABB and Amber is more on a strategic side, which Amber can culminate into being a joint venture for the component business which we are evaluating for different subcomponents of coaches.

As far as ABB is concerned, it is not a joint venture, it is a technology transfer, which is going on very well and we'll be fitting in these propulsion in both the Surat and Ahmedabad metro. So both Surat and Ahmedabad metro will be using

the propulsion that is coming in this technology or the strategic agreement that we have with ABB.

Jayesh Shah: And there is a JV with BHEL as well?

Umesh Chowdhary: That is a consortium, sir. So that is the consortium for the Vande Bharat, which is being executed.

Jayesh Shah: Okay. Thank you. That's all. Best wishes.

Moderator: Thank you. The next question is from the line of Ameya Sharda from Purnatha Investment Advisors. Please go ahead.

Ameya Sharda : Sir my question was more on the Bangalore Metro side. I just wanted to understand that the orders -- revenue -- or the size is very less as compared to the number of coaches that you're delivering. What is the reason for that, I mean as compared to other metros which are helping us.

Umesh Chowdhary: Yes, absolutely. So as I had explained that this is -- we are doing these coaches as subcontractor of CRRC. So we are only doing the materials on a free supply basis. So therefore, the value of the order is only for our part of the conversion or the manufacturing of the coaches. That's the reason that the material cost is not getting added to the revenue.

Ameya Sharda : Okay. So I mean is this directly flow to the GP side of the P & L, right?

Moderator: I would not say that it goes completely to the GP. The manufacturing cost, of course, is there. But yes, to that extent the EBITDA is distributed over a smaller base.
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Ameya Sharda : Okay. So -- but it is not the case that we'll be able to execute the orders faster and then we'll have to do the same amount of work, but the materials will be provided by CERC.

Umesh Chowdhary: Yes. That's right.

Ameya Sharda : Okay. Thank you so much sir.

Moderator: Thank you. The next follow-up question is from the line of Kaushik Mohan from Ashika Institutional Equities . Please go ahead.

Kaushik Mohan: Sir, just only one question. So can I understand who and all are there as our competitors in wheelset business as per your knowledge? Currently, what is the capacity as India needed also?

Umesh Chowdhary: So as far as forged wheels are concerned the only company that is manufacturing forged wheels in India is Steel Authority of India. And also the RINL, which is again Steel Authority of India or rather the Government of India. So there is no private sector of forged wheel manufacturer in India. As far as cars wheel is concerned, again, it's only the railways. They have 2 plants in Patna and in Bangalore who are producing. So effectively, there is no forged wheel manufacturing. And in fact, if you look at the construct of the tender that was floated by the railways a couple of years or a year ago was for setting up indigenous forged wheel capacity.

So because people were not willing to set up and it doesn't -- it was not making economic sense to set up capacities without having kind of a guaranteed offtake that is the reason that the government came up with a very innovative -- for making India Aatma nirbhar. So the wheels, as we have seen in the different reports were being imported continuously. And including last year, we read reports that more than INR500 crores of wheels were imported from China. So the government wanted to become self-reliant in the production or kind of in the availability of forged wheels. And they came up with a tender that whoever sets up or wins this tender will be given a guaranteed offtake for 20 years at the rate of 80,000 wheels per year. And that's how the tender was constructed, which we and our joint venture won and therefore setting up this project.

Kaushik Mohan: And what is the progress in the factory cycle? Like is it wheelset factory getting constructed or where it is exactly located?

Umesh Chowdhary: Absolutely. So this is being -- this is going on absolutely on track. This is being set up as it's already been announced by Ram Krishna Forging

in Chennai and the progress is absolutely on track.

Kaushik Mohan: Got it. Sir, that means that we will be in wheelset range from forging till the end product, where we'll be the supply to the government as well as internal consumption. Is my understanding, right?

Umesh Chowdhary: As well as exports and to the industry at large.

Kaushik Mohan: Okay. 80,000 is for the government. And what is our internal consumption that we have?

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Umesh Chowdhary: That will be varying from both passenger and wagon. So as of now, the wagons are primarily on cast wheels but the private wagons that we supply are on forged wheels. So overall, if we look at one wagon or one coach, whatever rolling stock we produce requires 8 wheels. So therefore, it's a simple mathematics that can be done that what will be the overall requirement. Now one part of it will be the railway part of the cast wheels supplies and what will be the forged wheel is something that will be evolving over a period of time.

Kaushik Mohan: Okay. Sir, and the capex, what kind of capex is needed? And how well this -- on the EBITDA level this entire division concept? Do we have any advantage, positive advantage between Chinese players and as well as in Indian player?

Umesh Chowdhary: So we have already -- since this is a joint venture, we have already made announcements in terms of the overall cost of the project and overall size of the project and everything. And I would restrict my comments to the announcement that has already been made. As I would say, it's a joint venture of 2 listed companies and we would like to respect the disclosures of either of the company so that it is mid and equal terms.

Kaushik Mohan: Got it sir. Thanks sir. I will get back in the queue.

Moderator: Thank you. The next follow-up question is from the line of Vikas Reddy Chinnam from Lakshmi Kala Investments.

Vikas Reddy Chinnam : Sir, my last question. Sir, railways are a priority in the 2024 budget. As we can see, rolling stock

has increased by 10% and wagon stock is increased 60% to 38,000 wagons. And what is the order visibility in FY '25? Are we expecting any big? Please comment.

Umesh Chowdhary: As I mentioned that these are not consumables per se, they are all capex or infrastructure and the demand. We need to look at the bigger picture. In my opinion, the way we look at it for the demand projection is that the railways is currently carrying 1.5 billion tons of traffic, and this is a clear target that has been set by the government that they will carry 3 billion tons of traffic by FY '30. Now even if we for a moment to kind of consider that there will be 90%, 95%, whatever achievement the number of wagons that will have to be added would be quite substantial.

So we believe that the demand for wagons over a period of next years should not clearly slow down. As far as we are concerned, we have given it in our presentation. We have a decent order book. We are covered for almost close to 1.5 years, 2 years of order book. And the orders keep on coming, and the railways have started floating smaller tenders in batches in order to meet up their requirements. So we do not see a challenge in getting enough demand traction from the railways and the private sector for wagons.

Vikas Reddy Chinnam : Yes. And in opportunity pipeline in investor presentation, as we can see here, the value opportunity is INR 55,000 crores. So how much we can expect and what is the visibility?

Umesh Chowdhary: As I mentioned, these are tender -oriented businesses. So we'll have to see from a tender -to-tender basis what will be the expectations and what will be the achievements. But in general, for the wagon market, in the past, we had about 20%, 25%, 26% kind of market share. So we believe that kind of market share is something that we will be able to maintain going forward

also.

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Vikas Reddy Chinnam : Yes, sir. And lastly, the shipbuilding and defence sector is -- the growth is robust ahead. So can you throw some light on it, sir, when...

Umesh Chowdhary: I just mentioned a little while earlier to one of the questions that we had announced last year that we have constituted a committee to define the road map and the strategy for the shipbuilding and defines part of it. As of now, it is a very niche and a very small part of the business. And being within the railway, it is not also core.

So we are looking at -- and very in the next near future, we will come up with the final strategy for the shipbuilding and defence and how we can grow that business on an independent basis, whether it is by way of strategic investors, strategic partner or ourselves. So that is something that we, I think, about 4 months, 5 months ago had constituted this committee, and it was announced to the market, and we will be finalizing this very shortly.

Vikas Reddy Chinnam : Yes, sir. Eagerly waiting for Vande Bharat coaches on tracks. Thank you so much and all the best.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, we'll take this as the last question.

And I'll hand the conference over to Mr. Umesh Chowdhary, Vice Chairman and Managing Director, for closing comments.

Umesh Chowdhary: Thank you very much. And thank you, everybody, for the very insightful questions, very interesting questions that were asked. We are always available for any further details that -- our Investor Relations team is at your disposal if there are any further details that you would like to know. We continue to remain very excited about the infrastructure story of the government. The way we are moving towards the vision of becoming Viksit Bharat that can only happen with large -scale infrastructure. And Titagarh Rail Systems is very well poised to be a part of this infrastructure growth story of the country.

I had mentioned -- if I can just kind of over the last 3 years, 4 years, we have very clearly set priorities. And about 3 years ago, I remember I had said when our order book was INR500 crores, INR 600 crores, I said that our priority now is to build order books. Now the priority is on execution. But now also the priority is on technological upgradation.

So one of the big focus is that, for the future growth of Titagarh Rail Systems, what we are going to focus on as a company, is to upgrade our technological levels to become a more engineering design -based product company, so that we can really -- both in terms of our own internal expertise to design our products, to make high technology products, but also in terms of making sure that the infrastructure that is being built in the country, is also of the latest international standards, and we are able to do that as an Indian company and India is not dependent on the foreign companies to be able to do that.

So that is the focus. And we are very hopeful that with all the support that we have received from everybody, from government, from the employees and the investment community, investors at large, we'll be able to achieve that target in the next years to come. Thank you very much.

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Moderator: Thank you. On behalf of Titagarh Railway Systems Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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"Titagarh Rail Systems Limited Q2 & H1 FY '25
Earnings Conference Call "
October 29, 2024

MANAGEMENT : MR. UMESH CHOWDHARY – VICE CHAIRMAN AND
MANAGING DIRECTOR
MR. PRITHISH CHOWDHARY – DEPUTY MANAGING
DIRECTOR
MR. SAURAV SINGHANIA – CHIEF FINANCIAL OFFICER
MODERATOR : MR. PARTH PATEL – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to the Titagarh Rail Systems Limited Conference Call.

As a reminder, all participant s' lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Parth Patel from Orient Capital. Thank you and over to you.

Parth Patel: Thank you, Mike. On behalf of Titagarh Rail Systems Limited, I extend a very warm welcome to all participants on Q2 and H1 FY '25 Financial Results Discussion Call .

Today on the call we have Mr. Umesh Chowdhary – Vice Chairman and Managing Director; Mr. Prithish Chowdhary – Deputy Managing Director; Mr. Saurav Singhania – Chief Financial Officer.

Before we begin the call, I would like to give you a short disclaimer. This call may contain some of the forward -looking statements, which are completely based upon our beliefs, opinions, expectations as of today. These uncertainties are not a guarantee of our future performance and involve unforeseen risks and uncertainties.

And with this, I would like to hand over the call to Mr. Umesh sir. Over to you, sir.

Umesh Chowdhary: Thank you very much, Parth. A very good afternoon to everybody. And thank you once again for joining us to Discuss the Q2 FY '25 Earnings .

We are happy to share with you that the quarter gone by has been the best ever quarter in terms of the top line, marginally better than the previous best, which was last year. And we have registered a decent growth in our EBITDA, in all parameters. I would not repeat the numbers since they are already available in the presentation and in public domain, but I will just restrict myself to give you a little update about various issues and various projects that are going on, which I am sure would be of interest to everybody who's there on the call.

As far as the freight wagon is concerned, the first segment of our business, we have done close to 900 wagons per month on an average in the last quarter. So, the total wagons that have been sold are close to 2,670 to be precise, so an average of 890 wagons or 900 wagons. We are fully confident that this quarter, or maximum in the next quarter, we will start producing and

dispatching wagons with the run rate of an average of 1,000 wagons per month, that is 3,000 wagons per quarter.

The order book pipeline from the railways, based on our understanding based on our discussion, looks healthy. The railways are very much on track to achieve their 3 billion tonnes of freight loading by the year 2030, which means that their wagon requirement should only be the same or

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accelerate going forward. So, therefore, we have made sure that within this quarter or latest by the next quarter we are able to consistently touch or exceed 1,000 wagons on an average basis per month.

On the other side, we have also taken up expansion of our foundry capacity because of the constraints for the bogies and the couplers. We had ordered new lines or balancing equipments for the foundry. And we believe that by the Q1 of FY '25-'26, the foundry capacity will be fully capable to meet with our wagon production of 1,000 wagons per month. Which means the dependence on the outsourced bogies and couplers would come to an end for maintaining the current planned level of production.

On the other side, the PRS, the passenger rail system, we have three segments within this segment which we operate; one is what we call the commuter trains, which is the Vande Bharat, one is the metro coaches, and the third is the propulsion and electricals.

So, I will

start with the metro. As we have already discussed and disclosed in the past, the Pune metro project got completed, and thereafter there was a gap because we were setting up the stainless-steel production line and the production for the Bangalore metro had to be started. This production was delayed by a few months due to certain problems that could not be envisaged or resolved very quickly, primarily it was relating to availability of visas for the Chinese engineers, as the Bangalore Metro is being done along with CRRC, and the Chinese engineers' presence was essential in Calcutta.

Now, of course, the visas have been issued. Also, the equipments that were procured from China, some of the robotic equipment and some fixtures, they could not be installed. But now that is all done and the production, both for the new stainless-steel car body line as well as the fitting assembly and testing line has begun. We are expecting that within December, within this quarter, the current quarter, we will dispatch the first train of Bangalore Metro. And we are well on track to be able to do that.

On the other project, which is the Gujarat Metro, we are planning to give the first train to Ahmedabad in the last quarter of this current fiscal or latest by the first quarter of the following fiscal, which is quarter of April 2025. The design of this was launched and was presented to the honorable Prime Minister when he was inaugurating the Phase -2 of Ahmedabad Metro, that was already in the media. And it has been very well appreciated by the public and by the authorities. It is the first train that is being fully designed and manufactured in stainless-steel by Titagarh as the CRRC or the Bangalore Metro was a design of CRRC.

On the second SBU which we have is a commuter train or Vande Bharat. Here, again, the progress of the designing activity has progressed very well. However, the operational requirement of the railways necessitated that the new Vande Bharat sleeper trains be used as a replacement for the old Rajdhani and Shatabdi, etc., the sleeper long distance trains which operate now on 24 cars and this contract was for 16 car configuration. As a result of which, some time was spent to discuss the technical, commercial and all the other contractual provisions,

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although the contract clearly provides for the railway to be able to do so. We are coming close to a conclusion for this, and we expect that the first train which was scheduled to be delivered in June 2025, will now be delivered by December or January 2025/'26.

Of course, we will be able to make up going forward because it's a long series production. On the other side, both our design work as well as infrastructure building work is going on exactly as per plans. The equipments that we had ordered for the commuter train line, particularly Vande Bharat, will start arriving from November, December this year, and starting to get installed. We are planning to start the production of the car body for Vande Bharat, which is the first step within end of Q4 of this financial year or beginning of Q1 of the next financial year.

As regards the propulsion and electricals SBU is concerned, as we have already highlighted in our presentation, we have ramped up the production of traction motor. We are further ramping it up and the target is to cross an average of 100 traction motors a month, which we will be able

to do within Q4 of this financial year. Thereafter, we will look at further expansion as the requirement for traction motors is substantive in the railway system. We will look at ramping it up further, maybe in another couple of quarters or three quarters to 150 traction motors a month. On the other side, we exported our first converters to Italy, which has been very well received by the customer. And that production line has already started. For the EMU

and MEMU traction

system, we are now in the final stages of approvals, and testings and approvals. And we are expecting that in Q4 of the current financial year, our prototype propulsion will be dispatched to ICF for the other railway customers that we have. On the metro propulsion side, the TCMS work for the Gujarat metro with ABB is moving as per schedule, and there are no delays or no risks that are associated.

In a nutshell, this is as far as the overall business is concerned. A very quick word on the joint venture on the wheels. The project is going on as per schedule. It is moving very well on track. The civil work and the machinery installation should get completed by end of calendar year 2025, and the trial production should begin thereafter.

So, that is an overview of the quarter gone by. And I am very happy to take any further questions that may be there from the participants. Thank you very much.

Moderator: Thank you, sir. We will now begin the question-and-answer session. We have the first question from the line of Gagandeep from Investec Analytics. Please go ahead.

Gagandeep: Congratulations for good set of number. So, my question is specifically on freight car division.

We performed decent in this quarter in terms of volume, can you help me to understand going in next one or two quarters what kind of ordering flow do you see in this segment and what kind of ambition do we see here in second-half of Financial '25?

Umesh Chowdhary: Thank you very much. As far as the performance for the coming couple of quarters is concerned, as I have already said that within this current quarter, that is the December quarter or latest by the March quarter, we will stabilize at run rate of 3,000 wagons per quarter, or 1,000 wagons per

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month going forward. In terms of new orders, we already have an order pipeline to see us through for almost the next few quarters. We have already disclosed some numbers in the presentation. There are continuous tenders that are coming up with the railways and we believe that now we would like to be building up further order books and we are moving towards doing that.

Moderator: Thank you. We have the next question from the line of Ameya Sharda from Purnartha Investment Advisors. Please go ahead.

Ameya Sharda: Sir, could you just highlight the timeline for Bangalore and Ahmedabad and Surat metro, what is the expected timeline by which you will be able to deliver the trains?

Umesh Chowdhary: Yes. As I mentioned, sir, that the Bangalore metro, the first train will go out this quarter. And thereafter, every month we will be dispatching between one and two trains after a gap of a month maybe. So, that will be on streamline production. The first train of Ahmedabad is likely to be dispatched in the vicinity of April or May 2025. Then there will be testing and commissioning, and thereafter the regular supplies maybe in a gap of three months we will start again as per the delivery schedule, which will be followed with the Surat metro.

Ameya Sharda: Sir, can we expect the Bangalore metro to be delivered entirely in FY '26 or will it go beyond that?

Umesh Chowdhary: No, it will not be entirely in FY '26, so this Bangalore metro, unlike the other metro is for six car configuration. We have order of 34 trains, and we will be starting with delivery of one train per month. And then gradually increasing it may be in another four or five months to two trains per month. So, will it be spilled over to FY '26-'27 as well?

Ameya Sharda: And we will be doing the Bangalore and Gujarat metro simultaneously, right, or first Bangalore and then Gujarat?

Umesh Chowdhary: No, no, it will be simultaneous.

Moderator: Thank you. We have the next question on the line of Vikas Reddy from Lakshmi Kala Investments. Please go ahead.

Vikas Reddy: Sir, congratulations on a good set

of numbers and maintain good freight wagons production.

Sir, my first question is, as I can see in the last exchange filing that you have short closed the 3,089 BCNA wagons. What's the reason behind that? And are we looking good margins in PR segment for the short, closed Wagons?

Umesh Chowdhary: So, as we have already disclosed in the same filing that the reason for the short closing was that this was relating to an earlier tranche which was carrying on as a backlog. And if we took up the execution of that now, it would not be financially rewarding to us and it would also block up our entire capacity. And considering the overall demand situation and also the fact that the railways

had already initiated the exercise of the option quantity, by which the first part of the auction quantity of 700 -odd boxwagons was released, in the overall balance of economic sense it made
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better sense to short close this 3,000 wagons. Therefore, it was done. There is no additional impact that it will make, because we already have an order book of more than 14,500 wagons as on the 1st of October. So, the company's performance is not at all impacted on this account.

Vikas Reddy: My second question is, in the month of August, Indian Railways cancelled Rs. 38,000 crores of Vande Bharat to Alstom India for 100 Vande Bharat aluminium sets. So, if the rebidding happens, are we interested to participate further? And we are only the company to Make in India and Made in India.

Umesh Chowdhary: So, not only we are the only company in India to be Made in India, but we are the only company in India which has made aluminium coaches in India. The Bangalore metro coaches that we have manufactured and supplied are the only trains that have been made in aluminium. Sorry, the Pune, not the Bangalore, the Pune. So, as and when this tender does come up, we would definitely be interested. Of course, each tender is evaluated by us on the merit of the tender at that particular point of time. But in principle, this is something which is very much up our ally.

Vikas Reddy: And my last question, sir, in the decline in passenger rail segment in this Q1 and Q2 quarter, so when can we expect the PR segment to start contributing to revenues, sir?

Umesh Chowdhary: As I just mentioned, the production will be streamlined from Q4 of this year and will start growing from Q1 of the next year when Ahmedabad also starts.

Moderator: Thank you. We have the next question from the line of Rajesh Bhandari from Nakoda Engineers. Please go ahead.

Rajesh Bhandari: Good afternoon, sir, and congratulations for the good numbers. The orders that we have for Vande Bharat metro line, can we expect by '25 -'26 the turnover may even be more than double?

Umesh Chowdhary: That is a very difficult question to answer because that entails giving forward-looking guidelines, but we have already given you the overall position. In FY '25 -'26 we will start the Bangalore metro. We stabilize the Bangalore metro; we will start the Ahmedabad metro. So, Vande Bharat will get stabilized in '26 -'27, because the first train is likely to be done by December '25 or January '26. So, really I would say that the full impact of the PRS advantage will start coming to us in FY '26 -'27.

Rajesh Bhandari: So, sir, is the cost of one such train about Rs. 60 crores to Rs. 70 crores?

Umesh Chowdhary: The Vande Bharat metro if it is of 16 coaches then it will be around Rs. 120 crores, and if it has 24 coaches then the cost will increase pro rata.

Rajesh Bhandari: So, by '26 -'27 then as a company we should be in a very comfortable position because of the kinds of orders we have and expected.

Umesh Chowdhary: Sir, we believe we are also in a good position now.

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Rajesh Bhandari: No, of course, sir.
Umesh

Chowdhary: But thank you very much for your wishes.

Rajesh Bhandari: And sir, regarding our debt, when can we expect to be zero debt company?

Umesh Chowdhary: Sir, we are a net debt free company. If you see the cash and the bank deposits with the debt, we are almost a debt free company today.

Rajesh Bhandari: And any plans of bringing any QIP?

Umesh Chowdhary: No, we do not have any such plans, if any such plans come up in future we will definitely let you know.

Rajesh Bhandari: Okay. And regarding wheels, next year we will be starting with RK Forge, so in this do we expect that we can also get orders from out of India?

Umesh Chowdhary: Yes, that's right. The capacity that we have planned, the advantage that we have is the Railways has written manufacturing of 80,000 wheels per year for at least next 20 years.

Rajesh Bhandari: You mean Indian Railway?

Umesh Chowdhary: Yes. 2,20,000 wheels project that is being set up, in that 80,000, meaning almost 40% to 50% wheels are already presold for the next 20 years.

Rajesh Bhandari: To the Indian Railways?

Umesh Chowdhary: To the Indian Railways. Then there is our own requirement which is Titagarh's requirement. Then there is the export potential. So, definitely that project is looking very attractive and very encouraging.

Rajesh Bhandari: Previous I guess Ukraine had the monopoly in it, right?

Umesh Chowdhary: No, maximum used to be from China, Ukraine used to supply few quantity, but maximum was from China.

Moderator: Thank you. We have the next question on the line of Srinidhi Karlekar from HSBC. Please go ahead.

Srinidhi Karlekar: Sir, would it be possible to update us on the near-term awarding pipeline in the metro business?

Umesh Chowdhary: Sure, Srinidhi. So, there are many tenders which are in the pipeline right now. There are several tenders which have already been floated, including tenders in Mumbai, Bhubaneswar, Chennai, etc. Our focus in the last few quarters was not to get new orders, but to stabilize our production lines. And our focus has been given in the last two, three quarters for that, or even more. Now our focus will again go back that the production lines have started, and we will be going in for Titagarh Rail Systems Limited

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more aggressive order booking spree. So, from let's say Calendar Year '25 onwards we will be looking at building up order book to the next levels.

Srinidhi Karlekar: You said that Chennai, Bhubaneswar and Mumbai you think most probably Calendar '25 awarding your full stock is possible?

Umesh Chowdhary: Yes, I think there would be many more tenders that will come up in the coming year, because even, I mean, every day we are seeing new tenders being on new projects being sanctioned. Even this morning there was news that in Hyderabad some new lines have been approved by the cabinet. So, there is Pune, there is Ahmedabad additional, there is Nagpur Phase -2. So, there are a number of metros that are coming up now. And the Government of India is really focusing a lot on urban mobility.

Srinidhi Karlekar: Right. And sir, on the Vande Bharat you kind of alluded to the change of configuration resulting in delays. So, would you say that largely technical and commercial discussions are done and how are they likely to impact expected margin you are likely to make on this project?

Umesh Chowdhary: There will be no impact on the expected margins in this, Srinidhi, because this is a part of the contract that the trains can be increased from 16 to 20 or 24. And by and large, this is only a reconfiguration. The only thing which is there is that, because of this change the first train might be delayed by between 6 to 9 months.

Srinidhi Karlekar: And sir, the last one if I may. Sir, on the freight wagon business, the private sector order addition seems to be quite soft. Any particular reason that you may want to allude it

to?

Umesh Chowdhary: No, it is not soft. The steel sector has been going slow in the last quarter, as we are all aware. So, to that extent, there are certain deferments of finalizations. But I do not see this as softness.

I would say that the buoyancy of the demand, as we see, is remaining as it was earlier. Maybe some decision making from one quarter to another can be deferred, but ours is not really a very strictly quarter -to-quarter business being a capital good. Decisions can get spilled over by a month or two months, which is very normal in the industry.

Moderator: Thank you. We have the next question from line of Harshil Sethia from Renaissance Investment. Please go ahead.

Harshil Sethia: Hi sir, can you just help me with the quantum of orders for the Vande Bharat train, what would be the order size? And is it wholly billed, the Rs. 6,000 crores, Rs. 7,000 crores?

Umesh Chowdhary: I am sorry I could not understand your question, if you could just be a little closer to the phone.

Moderator: Mr. Sethia, if you could go off the speakerphone, your audio kind of interrupts in between.

Harshil Sethia: Sir, whatever Vande Bharat trains we would be delivering would be via the JV with BHEL, correct?

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Umesh Chowdhary: It's not JV, it's a consortium.

Harshil Sethia: And this order size of currently which is Rs. 7,000 crores, so how would that be bifurcated?

Umesh Chowdhary: No, the order is not Rs. 7,000 crores. This is our share of the JV. The total order is larger. And our share of the order is what has been given in the slides.

Harshil Sethia: And sir, one more question that I had, the metro delivery order, so what would be the quantum of those orders in total?

Umesh Chowdhary: We have already disclosed that it's there in the presentation also, sir, you will be able to find it, Bangalore and Surat and all of that.

Moderator: Thank you. We have the next question from the line of Aakash from Dalal & Broacha. Please go ahead.

Aakash: Sir, I would like to understand when we say that we will be delivering our first metro train or rake next quarter, so that would involve how many coaches?

Umesh Chowdhary: The Bangalore is six coaches, unlike Ahmedabad and Pune which is three coaches.

Aakash: Got it. So, the next quarter would entail somewhere between five to six coaches being delivered, and the quarter after that, how much can we expect? Will we be able to increase our production rate?

Umesh Chowdhary: Yes, absolutely. The capacity that we have installed is much larger. And our target is to reach full capacity in the shortest period of time. But definitely, we will start delivering at the rate of one train per month, and thereafter increase it to two trains in the first phase, and thereafter further.

Aakash: Sir, I think earlier in one of the earlier concalls you had highlighted that the capacity would be somewhere around 25 coaches per month, right, by Q4 of this year?

Umesh Chowdhary: That's right, the capacity, we have already installed all our equipment and today all the equipment to be able to produce 25 cars per month is there. Now, because there was a delay by about four to five months or maybe around six months on account of the installation of the equipment, the general, the normal ramp-up time that is required is what is required. I had also said that we target to achieve a production range of around 15 to 20 cars per month to start with. We think we should be able to reach that run rate in Q1, end of Q1 of '26.

Aakash: Sir, I just wanted to understand the propulsion segment that we have, the propulsion motors or traction motors and converters that we supply. Sir, what would be our margins and realizations in that business?

Umesh Chowdhary: So, we do not give segment by segment margins as a matter of competitive strategy. But on an overall blended basis, we have

already given guidance that our two business segments, the FRS

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which is freight rail segment and the passenger rail segment, which is the freight rail segment we would continue to get a margin of between around 12% vicinity. And in the passenger rail segment, once we are able to get to normalized volume, then we will be able to get between 10% to 15%, depending upon the propulsion indigenization or making the propulsion as a make item rather than a buy item.

Aakash: Sir, if you could help us understand the opportunity and the TAM that we have in this propulsion segment, I mean, I would just like to understand that business.

Umesh Chowdhary: I am sorry, could you repeat your question once again?

Aakash: If you could explain us the total addressable market or opportunity that we are looking at in the propulsion segment, propulsion motors and converters.

Umesh Chowdhary: So, one train, I am talking of a newly built train, the propulsion constitutes to about 25% to 30% of the value of the train. So, if a coach is Rs. 10 crores, it requires propulsion of between Rs. 2.5 crores to Rs. 3 crores.

Moderator: Thank you. We have the next question from the line of Parvez Qazi from Nuvama Group. Please go ahead.

Parvez Qazi: Sir, my first question is on the wagon ordering, generally for the Indian Railways I think in H1 they have given orders for roughly around 7,000 wagons. So, in your discussion with railways, what do you see about their plans for ordering, let's say, in the second-half of FY '25 and also for FY '26? And the second question is, for the expansion of our coach manufacturing capacity, which is underway, I mean, what is the status? And by when do we expect that program to get completed? Thank you.

Umesh Chowdhary: Thank you, Parvez. So, I will answer your second question first. I already mentioned that in my opening comments that the expansion of the capacity is something which is almost complete.

And within this quarter or latest by the last quarter of this financial year, that is January to March, we will be able to achieve the 1,000 wagons per month run rate. As far as the ordering is

concerned, what the railways have been doing is that the special purpose wagons which are smaller in numbers which keep on coming up with the smaller tenders, the bulk wagon, which is the BCNA and the Box, that is always purchased through a large bulk multi-year tender now.

So, since the previous tender is still going on, the supplies are still to be done for another one year, plus there is an option for the Railways to exercise. So, we hope somewhere in middle or maybe earlier part of 2025, the bulk tenders will come. Having said that, smaller tenders are continuously coming, and we see multiple of those coming out from the Railways even now.

Parvez Qazi: Sir, actually I want, I am sorry if I didn't put the question correctly, I wanted to know about the status of the expansion capacity in the passenger coach segment.

Umesh Chowdhary: Okay, I am sorry. On the passenger coach segment, as I mentioned, our line for the metro coach has already been set up now, it has started production. I also mentioned that there was some

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delay on account of the commissioning and starting production primarily on account of the visa issues between China and India. Now that has been resolved and production has started. We are now looking at ramping up on a month-on-month basis to be able to reach at least between 15 to 20 cars in Q1 of FY '26, towards the end of Q1. So, our target is around June '25 we should be able to reach a production level of 15 to 20 cars per month. Thereafter, it will also depend a lot on the inflow of new order. And that's where I mentioned that our focus will shift a lot on bringing in new orders in the next year. F

or the Vande Bharat, our first train production, as I said, will be done by December '25 or January '26, and then gradually the production will ramp up. But the setting up of the line is going on as per schedule. Our line should be set up latest by April or May 2025 for the entire Vande Bharat line.

Moderator: Thank you. We have the next question line of Mohit Motwani from Tara Capital. Please go ahead.

Mohit Motwani: Sir, my first question is on your propulsion and electrical. So, in this particular quarter there was no metro coach or Vande Bharat coach delivered, so we made around Rs. 57 crores of revenue, and your presentation says Rs. 185 traction motors. So, fair to say the average realization for these would be around Rs. 30 lakhs per motor or a converter, would that be a fair assumption?

Umesh Chowdhary: Not really. While no metro coaches have been delivered, metro coaches have been produced, and this business is always accounted for on a percentage of completion method basis of accounting. So, therefore, there is a mixture of metro and propulsion which has been done. And in the propulsion also it is not only traction motors, but it is also traction converters.

Mohit Motwani: And in terms of your EMU and MEMU which you are planning to start from 4Q FY '25, if that is correct, any revenue targets that you have in mind for FY '26-'27, what can be the opportunity size for us?

Umesh Chowdhary: We have a very robust order book for propulsion, as we disclosed. We have a robust order book for proportion. I cannot disclose the number because it's not a part of our presentation. But we do have a robust pipeline of orders as well and an order book. So, we will be able to ramp up production in FY '25, overall, on the propulsion business.

Moderator: Thank you. We have the next question line of Nirav Vasna from JSK Portfolio Manager. Please go ahead.

Nirav Vasna: I have a question which is very specific pertaining to our freight division. So, today we are having an order book of around 14,500 wagons, which is to be delivered. And if I assume that the monthly run rate is going to be 1,000 wagons per month, you will exhaust this order book in max 15 to 16 months. The question is that, can our freight division be a vendor for supply of wagons to overseas customers after supplying a lot of products to India? This is one point that I wanted to understand.

Umesh Chowdhary: So, as far as wagons are concerned, we have exported wagons in the past also. Having said that, there is not a very large-scale market of export for wagons simply because the cost of logistics

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to export wagon is very high compared to as a percentage of the overall cost of the wagon, considering the weight and the volume of the wagon. But I would also like to mention that having a 15 month order book is not really a short order book cycle in the slide. Because unlike the passenger coaches -- if you could kindly go on mute, it will be easier for me please.

Moderator: Mr. Nirav, if you could go off the speakerphone, there's a lot of background sound in your audio. Thank you.

Umesh Chowdhary: Thank you. So, unlike passenger trains, where the gestation from the order book to the first train is almost two years, in the case of freight wagon the gestation from the order book to the first wagon is much shorter, it is more like three to six months. So, therefore, we do not see this as something that keeps us awake at night.

Nirav Vasna: And according to you, bulk tender or I can say big tender from Indian Railways for freight, any timeline that you can give wherein that can act as a feeder? Because as I understand, Indian Railways is now coming up with the concept of bulk tenders wherein once the tender is concluded, the vendors have order book visibility of around two to three years. So, any bulk tender according to you which is there

in the offering or any timeline that you can prescribe to that, that will be helpful.

Umesh Chowdhary: The bulk is already under execution, sir, and it is up to the Railways when they come up with the next bulk tender. But we expect that considering the targets of the Railway, considering the target of the government to reduce the logistics cost, overall logistics cost as a percentage of

their GDP, the tender pipeline and the bulk, whether it is bulk or short tenders, it is going to continue as it is.

Nirav Vasna: Alright. Thank you very much, sir. And wishing you and the entire team at Titagarh a Happy Diwali.

Umesh Chowdhary: Thank you very much and same to you, sir.

Moderator: Thank you. We have the next question from the line of Mr. Sudeep Anand from Systematix. Please go ahead.

Sudeep Anand: Sir, just a couple of questions. One is that, how do you see that demand coming from the private side during the quarter? And with the new corridor announcement, how do you see the future of it? And secondly, sir, what was our CapEx in Q2 and how much we are going to spend in FY '25? Yes, that's it for my side.

Umesh Chowdhary: So, as far as the demand is concerned, I think I had already discussed this a little while ago that the demand of the wagons in the private sector also remains as it is. It is not a very large part of the overall wagon demand. I mean, the Indian Railway continues to be the largest buyer of wagon. Having said that, the private sector demand we expect is going to continue in the same manner. As far as the CapEx is concerned, whatever CapEx was announced in the past has been

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what we are executing now. There is no new CapEx, substantial CapEx that has been undertaken by the company in the last quarter.

Moderator: Thank you. We have the next question from the line of Krish Nahar from Electrum PMS. Please go ahead.

Krish Nahar: Sir, I just wanted to know, is there any update on --

Moderator: Mr. Nahar, your audio is breaking up, if you could kindly go off your speakerphone. Mr. Nahar, can you hear us?

Krish Nahar: Sir, I just wanted an update on the Sidwal JV, when can we expect some revenue on that side?

Umesh Chowdhary: So, it is too premature because our JV agreement our association with Sidwal is to develop new products. We are still in the phase of finalizing the preliminary part of it. It is still far away from contributing revenue to our balance sheet.

Krish Nahar: And sir on the wheel side, we can expect revenues to reflect from FY '27 on the RK Forgings JV?

Umesh Chowdhary: That's right. As I mentioned already that's what we are expecting.

Moderator: Thank you. We have the next question from the line of Amit Kumar, an investor. Please go ahead.

Amit Kumar: Thank you for the opportunity and congratulations for a good set of numbers. I have a question that we will be starting to deliver Bangalore metro trains from this month per month. So, does that mean we will be delivering approximately three trains per month, that means 18 coaches? And for Ahmedabad we will be starting one train from April '25, so if you could provide me the value of per -train for Bangalore and Ahmedabad, is it same or is it different? This is my first question.

Umesh Chowdhary: Yes, please go ahead with all your questions and I will try to answer them together, sir.

Amit Kumar: The second question is like, what is the value of Vande Bharat and how many Vande Bharat will be delivered per month after December 2025? Because we will be starting first Vande Bharat in December '25, this is my second question.

Umesh Chowdhary: Sure. So, as far as the first question is concerned, we are talking of delivering one train per month to Bangalore to start with, and then it will be ramped up to two trains per month, and then we will target to even ramp up further. But we also have to incor

porate the other projects into production, which is Ahmedabad, Surat, and hopefully other projects that we will win down the line. So, it's not possible for us to disclose apart from what is already available in the media, particular contract value or per coach value of each project. But in the case of Bangalore, since we are only doing the manufacturing, the material is all coming on free supply. Definitely the

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top line of Bangalore will be lower to that extent compared to the top line of other projects. As far as Vande Bharat is concerned, there is a scheduled delivery after the prototype which is, again, partially available in public domain. I can only say that it will start with the first train, then the second train has to be given three months thereafter. Then each year there is a step-up of production which is first year is eight train, second year is, I believe, 11 or 12, and then it goes up to 20 trains per year.

Amit Kumar: And if you could provide what is the bid pipeline as of now, how many orders in terms of value or volume we have as of now?

Umesh Chowdhary: No, we have participated in several tenders. I would not be able to give you the details of that, apart from what is already disclosed in the presentation. But I would say that the overall business prospects that are there and the overall spending by the government in the metro in both PRS and the FRS segment is quite substantial. You can find some data of the likely upcoming tenders in the Page 31 of our presentation.

Moderator: Thank you. We have the next question from the line of Bharat Shah from Ask Investment. Please go ahead.

Bharat Shah: I just wanted to understand, after the bit of a lull during the election period and all that, is the overall thrust in energy of ordering in the railway back to normal?

Umesh Chowdhary: Bharat bhai, there was never any lull so to say, there were only restrictions which are normal restrictions in terms of placing of orders, etc. But what we have seen is that the government functioning even during the election period continued, particularly in the railway ministry in a very, very orderly and the same pace that they were keeping in the past. Ours is typically a CapEx production or item, which is very lumpy in procurement cycles. It's not a consumer product that will be consumed on a month-to-month basis and therefore has to be ordered. So, while the orderings will always continue to be lumpy, what we see as a KPI is, whether the momentum of the railway plans, expansions, discussions are continuing, and that is exactly on track as per what we hoped or expected.

Bharat Shah: Sir, which means it's business as usual, really speaking, the period of April to June or thereafter has not really affected our business in any way?

Umesh Chowdhary: No, absolutely not. The Railways working, when you are speaking specifically about the Railway working, no, the Railway working of the government working has really kept its pace and its momentum going.

Bharat Shah: And our different businesses have different dynamics, our passenger train, freight train, propulsion and the JVs, all have different kind of business dynamics, dimensions, timelines.

But broadly, what we were kind of envisaging somewhere around last year, that in a space of four to five years' time essentially our business revenues are not really, on a short term basis or quarter-to-quarter. But over five-year basis we were expecting our overall size of the business to triple, if not more. Does that picture/vision remain intact?

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Umesh Chowdhary: So, as far as numbers are concerned, I would refrain from giving any numbers. What I would like to say is that in terms of the vision, our vision remains more than intact. We would continue to be at this 1,000 wagon mar

k of freight wagons. And if the demand or the targets of the government increases, if the opportunity size increases, we would not be shy to increase the capacity further. In terms of the metro, we are still planning to be at the 36 cars per month capacity. Considering the overall, I would say that even the older metros will start coming up for replacement in a couple of years. So, we believe that this demand should be there, and the urban population of India is not going to decrease. And the same is for the commuter trains. So, overall, what we are planning is very much intact from where we are, we are looking at a quantum jump, particularly on the passenger rail segment.

Bharat Shah: Quantum jump in the passenger rail part you said?

Umesh Chowdhary: That's right, Bharat bhai, yes.

Bharat Shah: And freight business I assume will be relatively very more incremental.

Umesh Chowdhary: That's right, unless and until the new corridors come up. So, our belief is that the new power plant capacity, the thermal thrust that has been given by the government again will result in a substantial increase in freight loading by maybe another four years by the time these power plants are ready. And the new freight corridors that the government has been announcing also in the last budget, they would also start getting commissioned. And of course, the speed of commissioning is going to be much better than what we have seen in the past. So, that will result in or will lead to the next spurt of the level. Or let me put it in your terms, that will result in the next rerating of the demand. But as of the current levels, it's going to be more of an incremental one.

Bharat Shah: Right. And would it be fair to say that while, of course, inter-period variation and changes is the nature of the business, given the fact that it is order book driven kind of activity largely, over the five-year time frame, each year should reflect a meaningful growth over the previous year.

Umesh Chowdhary: Yes, it should, but it is not a linear graph. Because when projects, particularly for example Vande Bharat's wheel projects and all of that is continuing, then the graph of the growth does not become linear, it becomes a little choppy.

Moderator: Thank you. In the interest of time, that was the last question for today's conference call. I would

now like to hand the conference over to Mr. Umesh Chowdhary, Vice Chairman and Managing Director, for closing comments.

Umesh Chowdhary: Thank you very much. And thank you everybody for participating on the call, and once again, asking some very interesting questions, which always give us food for thought. Before closing the call, from my side, I would like to wish everybody a very happy, prosperous and healthy Diwali and wonderful New Year ahead. So, thank you very much for supporting the company, having your trust. And we hope we would continue to live up to that trust in the next year as well. Thank you.

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Moderator: Thank you, sir. On behalf of Titagarh Rail Systems, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Feb 2025

(no extractable text — likely a scanned image PDF)

Call: Jun 2025

CIN: L27320WB1997PLC084819

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6th June, 2025

BSE Limited (BSE)
The Department of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001
Scrip Code: 532966 National Stock Exchange of India Limited (NSE)
The Listing Compliance Department
Exchange Plaza Bandra -Kurla Complex
Bandra (E), Mumbai – 400 051
Symbol : TITAGARH

Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 ('Listing Regulations') - Intimation of Q 4 & FY25 Earnings Call

Further to our intimation dated 28th May, 2025 w.r.t. Earnings Call with the Analysts/Investors on the Audited Standalone and Consolidated Financial Results of the Company for Q 4 & FY25 and pursuant to Regulation 30 read with Part A of Schedule III of the Listing Regulations, please find enclosed the Transcript of the Q 4 & FY25 Earnings Call of Titagarh Rail Systems Limited ('the Company') held on Monday , 2nd June, 2025 at 04:00 P.M. The same can also be accessed on the Company's website at:

https://www.titagarh.in/storage/report/actual/earnings-call-transcript_02.06.2025.pdf

This disclosure is also being made available on the website of the Company at www.titagarh.in
This is for your information and record.

Thanking you,
yours faithfully,
for Titagarh Rail Systems Limited

Aditya Purohit
Company Secretary & Compliance Officer

Encl. as above

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"Titagarh Rail Systems Limited Q4 FY-25 Earnings
Conference Call"

June 2, 2025

MANAGEMENT : MR. UMESH CHOWDHARY – VICE CHAIRMAN AND
MANAGING DIRECTOR , TITAGARH RAIL SYSTEMS
LIMITED
MR. ANIL AGARWAL – DEPUTY MANAGING
DIRECTOR , TITAGARH RAIL SYSTEMS LIMITED
MR. PRITHISH CHOWDHARY – DEPUTY MANAGING
DIRECTOR , TITAGARH RAIL SYSTEMS LIMITED
MR. SAURAV SINGHANIA – CHIEF FINANCIAL
OFFICER , TITAGARH RAIL SYSTEMS LIMITED
MODERATOR : MS. PRACHI AMBRE – MUFG INVESTOR RELATIONS

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Moderator : Ladies and gentlemen, good day, and welcome to the Q4 and FY '25 Earnings Conference Call of Titagarh Rail Systems Limited.

As a reminder , all participant s' lines will be in the listen -only mode , and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Prachi Ambre from MUFG Investor Relations. Thank you, and over to you, ma'am.

Prachi Ambre: Thank you, Pooja. On behalf of Titagarh Rail Systems Limited, I extend a very warm welcome to all the participants on Q4 and FY '25 Financial Results Discussion Call.

Today on the call, we have Mr. Umesh Chowdhary – Vice Chairman and Managing Director; Mr. Anil Agarwal – Deputy Managing Director; Mr. Prithish Chowdhary – Deputy Managing Director; and Mr. Saurav Singhania – Chief Financial Officer.

Before we begin the call, I would like to give a short disclaimer. This call may contain some of the forward -looking statements, which are completely based upon our beliefs, expectations and opinions as of today. These uncertainties are not a guarantee of our future performance and involve unforeseen risks and uncertainties.

With this, I would like to hand over the call to Umesh sir for his opening remarks. Over to you, sir. Thank you.

Umesh Chowdhary: Thank you, Prachi. A very good afternoon to everybody, and thank you very much for joining this Q4 FY '25 and FY '25 Earnings Call of Titagarh Rail Systems. It is always indeed a pleasure joining this call to share the updates and to get feedback from the investors of the company.

The year gone by has been pretty much as expected in terms of the freight rail system of the company. Although it was the target of the company to stabilize at about 950 to 1,000 wagons per month, but unfortunately, due to the shortage of wheelsets in the last 2 quarters, the last 2 quarters were impacted. And as a result of which, we could not achieve exactly the number of wagons that we were wanting to.

Just to bring everybody up to speed. In the railway board contracts that we get, the wheelsets have to be essentially procured from Rail Wheel Factory, Bangalore, and they had some problems in terms of access and output of wheels. So right from the Q3 of F Y '25, there has been a shortage of wheels that has been plaguing the industry. We understand that from the month of June, that is the current month, the production of Rail Wheel Factory will get normalized. And going forward, this problem should not be existing.

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However, we are happy to report that FY '25 has been the highest -ever production of wagons that our company has seen or the industry, in general, has seen in India. We have produced, in FY '25, 9,431 wagons, which, to the best of my knowledge, is the highe st produced by any company in a single year in the country ever, which in itself is a record.

In terms of the order book, we have an order book which is, at our targeted production, will see us through for this current financial year. And we expect that by the end of the year, the new tenders should come up and will give us visibility for the comin g years as well.

In terms of the FRS, the Freight Rail Systems, just to conclude on the other updates, for the foundry side, which is very important part of backward integration and ensuring that the costs are kept under control, the company has taken up measures to enhanc e the self -reliability of the entire foundry capacity.

And as a result of this, we have, again, in the foundry, achieved record productions. T he production numbers have been disclosed. We have produced 27,240 metric tons in the found

ry

this year. And this, in itself, is a record production ever for the company.

Going forward, in FY '26, we would have completed the expansion of the foundry. We are

installing completely modern foundry production facilities in both our foundries, and this will enhance our production to a substantially higher number. We are targeting, in the first phase, to get to around 40,000 tonnes of castings, which we are confident of being able to achieve on a monthly run rate basis within the current financial year.

As far as the passenger rail system is concerned, once again, there were initial teething troubles that we faced as we had reported in the past in the setting up of the plant due to initially the Chinese visa problems, because a lot of technology transfer as well as equipments were coming in from China.

As well as the Bangalore Metro is a project that we are working and executing with CRRC. The project kickoff was delayed. However, the first train for this project was dispatched in December, January '25, so that is in the quarter. And thereafter, we have dispatched another train, and now the production for the car body and the assembly has started picking up.

The supply chain problems that were also existing for materials to come in from China have gotten resolved. And now we expect that the production for the Bangalore Metro within this quarter should get reasonably well streamlined. And from Q2 of FY '26, it will be fully streamlined.

We have started the car body production for the Gujarat Metro, specifically for the Ahmedabad Metro as well as for the Vande Bharat in the last couple of months. The Gujarat Metro was started in March. And the Vande Bharat has started in April of 2025. We are expecting the first

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train of Gujarat Metro, that is Ahmedabad Metro, to be done in Q2 of the current financial year. And the Vande Bharat is expected in end of Q4 or beginning of Q1 of the next financial year. The other great development that we've had is the propulsion division of the business has picked up. During the year, we have supplied 636 traction motors as a part of the propulsion and Electrical Sub-business unit of the PRS. This being a new division, to have reached a run rate of 636 in the first year is quite satisfying. We are now targeting to ramp this up to between 125 to 150 traction motors per month. So that is 1,500 to 1,800 traction motors per month from this financial year itself.

As far as the propulsion is concerned, the prototype set of the EMU propulsion is now ready. It is under the final testing and approval of RDSO. We are expecting and are confident that the first set of propulsion, which is the EMU propulsion, will be supplied within Q1 of this financial year or the beginning of Q2 of the financial year.

This is, in a nutshell, the business of the PRS. We are quite hopeful and confident that we will be able to achieve the run rate of between 20 to 25 cars a month within the financial year. And all the facilities are set up, and once the Vande Bharat production also comes in stream, we will be able to enhance this to double of that, which we expect to be able to do in FY '27, where our target would be to get to a run rate of between 40 to 50 cars per month.

In terms of the order book pipeline or the tender pipeline in the Metro segment, there are a number of tenders where the company has participated, and a number of tenders that are expected to be floated. As a matter of policy, we are not speaking about specific tenders or opportunities till the results of those are finalized.

During the year, the company has enhanced its activity in 2 new business areas. One is the SSS, which is the Safety and Signaling Systems. This business, while we have taken up as an SBU, is working more as a subset of the PRS as well. And we have already started participating in tenders where we have gotten quali-

fied for certain safety and signaling systems. And we are in the process of further entering into technology tie-ups and joint ventures to enhance our presence in the vast scope of business that exists in the safety and signaling systems within the railways and the metros.

And the 4th business segment that we have reembarked upon is the Shipbuilding and Maritime Systems, what we call SMS. As you would be aware, the company has been in the shipbuilding venture for a while and has very good credentials.

As a company, we have delivered several marquee projects, including vessels for National Institute of Ocean Technology. Some of these vessels had found its way into being one of the most coveted vessels, which were included in the presidential fleet review, which is a very prestigious thing.

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The company has also exported, through GRSE, vessels to Guyana under the Indo-Guyanese friendship schemes, and has done many warships as in fast patrol vessels for Indian Coast Guard, again, along with GRSE. As we speak, the company is delivering several vessels to the Indian Navy.

And considering the trust of the Indian government on attaining Atmanirbharta on their naval and the shipbuilding side and the incentives and the focus given in this segment as we had heard during the budget of the Honorable Finance Minister earlier this year, the company has reembarked on this venture, and has got a land in F alta, which is on the south side of the Howrah Bridge, which takes away the impediments that the company used to face in building more important or larger vessels as it did not have the air clearance owing to the Howrah Bridge. The company is now in the process of revamping that facility or building up on that facility. And of course, as was announced a few quarters ago, the company has also constituted a Board-level committee to define the strategy or the way forward for the shipbuilding and maritime systems, whether it would be part of the parent company or a subsidiary or a strategic joint venture, et cetera. We believe that within the next few months, we will be able to finalize and come back to the market as to what the final strategy, CAPEX plan and the business plan for the shipbuilding and maritime systems would be.

This is, in a nutshell, the past year and the future year's outlook for the company. And with this, I would open up the floor to any questions or any suggestions that might be there. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Balasubramanian from Arihant Capital.

Balasubramanian A: Good evening, sir. Thank you so much for the opportunities. Sir, my first question regarding signaling systems, who are our global JV partner? And what are the timelines for products and approval? And what kind of revenue visibility we can expect over 3 to 5 years? Those are my first question, sir.

Umesh Chowdhary: Thank you. So this is a new business unit. It will definitely take some time. We have started participating in some tenders. We have participated in a particular tender, the results of which is still awaited.

As regard the joint venture partners is concerned, we have different products that we are doing in this segment. We are in partnership or in dialogue in some cases with different partners. As was announced, we are working with a company called MERMEC in Italy for some of the products. There are other companies in different parts of the world for different products that we are working on.

We would not announce any of these on a premature basis. As and when we are able to succeed in a particular venture, we will definitely come back and announce to the market, both the exact Titagarh Rail Systems Limited

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specific opportunity, which materializes, along with the names and details

of the strategic partner

in that case. As a matter of policy, we would like to be conservative in our approach, not to announce something before it is completely finalized.

Balasubramanian A: Okay, sir. Sir, on the traction motor side, I think our revenue is around INR 300 crores. I think the opportunity size is around INR 2,000 crores as per the presentation. Like what are the steps to tap the opportunity?

Umesh Chowdhary: I missed your last part of the question, sir.

Balasubramanian A: On the traction motor side, I think our top line is around INR 300 crores, and the opportunity size is mentioned around INR 2,000 crores kind of opportunity size. And like how we are going to tap that opportunity? I think we are doing around 100 motors per month.

Umesh Chowdhary: Yes. I don't know where you get the revenue number from, but I will just give you about the opportunity. The opportunity indeed is quite large.

As far as how we are tapping the opportunity, as I just mentioned, we have already got into a run rate of about 125 traction motors a month. So we are confident of from an average of 50 motors per month last year, we will be able to increase it to between 125 to 150 motors a month this year. But that is only one part of the business segment of the propulsion and electrical.

Apart from that, once our EMU and MEMU propulsion is approved by the railways, that in itself, we have an order book of close to INR 400 crores on that. And there are several tenders in the pipeline for that. So we believe that this business, we have been working on this for a while now, and we are fully in state of readiness to be able to take off on this business. And within the next maybe 2 years or so, we will be fully into this business, and this will be one of the main lines of business for us.

Balasubramanian A: Okay, sir. Sir, on that wheelsets planned earlier, a year back, it's estimated around INR 1,300 crores, INR 1,400 crores. As far as RK Forgings, they mentioned around INR 2,000 crore kind of CAPEX is estimated. But the CAPEX, sir, keeps increasing. Because of the delays in the plant, and how do you see cost escalation side?

Umesh Chowdhary: No, there is no CAPEX delay. Earlier estimation that was given was a very basic estimate. Once the project report was finalized, including 2 phases of the project, the cost is what has been announced by RKFL. The project is going on pretty much on track and pretty much within the budget that was approved in the project report, based on which the project has been taken up.

Balasubramanian A: Okay. Sir, on the wheelsets side, like still we are facing issues. So when we can expect normalcy?

Umesh Chowdhary: I'm sorry, I could not hear you again.
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Balasubramanian A: Sir, actually the delay in wagon production is because of the wheelsets issues. And when we can expect normalcy overall in the industry?

Umesh Chowdhary: I already mentioned that in my opening comments, sir, that we understand from the month of June, the production of wheelsets will become normalized.

Balasubramanian A: Okay sir. Thank you.

Moderator: Thank you. The next question is from the line of Parvez Qazi from Nuvama Group. Please go ahead.

Parvez Qazi: Hi. Good afternoon, sir, and thanks for taking my question. So my first question is on the wagon ordering side. I mean you mentioned that we expect a tender from Indian Railways, maybe sometimes towards the end of this year. But wanted to get your views on private sector wagon ordering. How has it been? And which are the sectors which are driving private sector wagon order?

Umesh Chowdhary: Yes, hi, Parvez. So the market is aware that there was a moratorium that was put on the wagon investment scheme, which has actually dampened the private sector offtake over the last few quarters. This moratorium, we believe, should not last for long, because th

ere is a lot of appetite

from the private sector to buy wagons. And there have been continuous representations. And I also believe that it is a win-win situation that the wagon is invested into by the private sector. So as of now, the wagon procurement that was happening was primarily on SFTO scheme, which is Special Freight Train Operat or Scheme, and certain specialized wagons. But the bulk of the wagon demand from the private sector will really come once the wagon investment scheme is reopened. So we are waiting and seeing if and when the scheme is reopened, which we believe will be giving a large flip to the private sector in wagon investment.

Having said that, we have always maintained as a company that whatever the situation may be, 80% of the wagons are likely to be procured by the Indian Railways. And that's the reason why, as a strategy, we always did not want to put our eggs in a basket, w hich is not sustainable. And we always tr ied to maintain our order book ratio and our execution ratio in a manner that quarter - to-quarter apart, we should always have the larger chunk of the dependents and the focus on the Indian Railway wagon offtake.

As a result of that, today, we are in a position where we have at least a good order visibility and not dependent only on the private sector. Having said that, private sector is definitely likely to come back, and we are waiting for the wagon investment scheme ban or the moratorium to be reconsidered by the railways, hopefully, very soon.

Parvez Qazi: Sure. Thanks. Two questions on the Passenger business. One would be great to get an update on the Surat Metro. And second, over the medium to long term, what is the kind of annual potential in terms of revenues, et cetera, that we see from the Propulsion business? Thank you.

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Umesh Chowdhary: Sure. So as far as Surat Metro is concerned, these are extension of the 2 projects, which is Ahmedabad and Surat actually are extension of Gujarat Metro, 2 projects together, side by side.

And when I say that the Ahmedabad Metro will start in Q2 of this fi nancial year, it is going to be followed immediately thereafter by the Surat Metro. So the trains are going to be supplied in tandem of each other. So within this financial year, both these projects will attain their peak production and supply.

As far as the Propulsion business is concerned, to give you a very high-level order of magnitude potential and I'm talking about propulsion for sales. That is not propulsion for our own consumption. We believe that we can easily look at doing approximately 2,000 traction motors a year, which will give us a revenue of about INR 300 crores to INR 400 crores.

And as far as the EMU/MEMU and other propulsion systems for the railway is concerned, this should be another about INR 500 crores, INR 700 crores to INR 1,000 crores. Of course, it will take a couple of years, 2 to 3 years, to mature. But outside Propulsion business has a large potential, and our capacity that we are building, the capability that we are building is to be able to achieve our overall business of close to INR 1,500 crores only on the sales of propulsion.

Parvez Qazi: That's great sir. Thanks and all the best for future.

Umesh Chowdhary: Thank you, Parvez.

Moderator: Thank you. The next question is from the line of Koushik Mohan from Ashika Group. Please go ahead.

Koushik Mohan: Sir, I just wanted to understand one single thing like on the time line , what will be our capacities and how many units side we are going to come for wheelset? And when the revenue will start reflecting in our books?

Umesh Chowdhary: Sure. As far as the wheelset is concerned, the contractual delivery is supposed to start from June 2026, and we are very much well in track to be able to achieve that. I think more details have also been given by the other joint venture partner in their ca

Il about the wheel plant, and it is exactly the same in terms of the revenue ramp -up that has been already shared by them.

Koushik Mohan: And second thing I just wanted to understand, what will be our time lines to deliver one wagon, one metro car? How much time line do we take it to get it from 0 to fully manufactured in our warehouse? Exactly how much time do we...

Umesh Chowdhary: Sir, your voice was breaking up. Can you repeat your question? Your voice broke up.

Koushik Mohan: Yes, sir. Sir, I just wanted to understand, how long will we take to manufacture one car, one metro car?

Umesh Chowdhary: You mean to say the cycle time? From beginning to end?

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Koushik Mohan: Yes, from beginning to end, full from the start to wire harnessing and entire...

Umesh Chowdhary: So it depends upon the different type of cars. There are different configurations that are there, and each one of them have a different cycle.

So if I can just explain to you, probably it will be easier. So after designing is done, then a prototype stage is done, then there is controlled series production, and then there is the series production. Each one of them have a separate cycle time, which are quite different from each other, because there is a learning curve involved. So I will probably just speak about once the maturity level is reached, then the total production time, when you start cutting the sheets to the time you are able to roll out, the car is considered to be around 60 to 90 days.

Koushik Mohan: 60 to 90 days. Okay. Sir. And in this year, how many cars that are we planning to sell? Any guidance do we have? Is there any specific number?

Umesh Chowdhary: We do not give a specific number as a policy, but I have just mentioned to you that within this year, we are looking at ramping up our production to be able to achieve a run rate of between 20 to 24 cars or 25 cars a month. We should be able to do that by end of the financial year. And by that time, it is going to be a ramp -up on a monthly basis.

Koushik Mohan: Got it. Sir, 20 to 25, we are talking about selling? Or is it only with the manufacturing?

Umesh Chowdhary: It's the same. This is a made-to -order product. It's not a made -to-stock product. So we only produce when we have the orders.

Koushik Mohan: Got it, sir. Got it. And any new development in Bangalore Metro, sir? Are we having any new developments in Bangalore Metro?

Umesh Chowdhary: New developments as in ?

Koushik Mohan: Sir, because recently, there was one announcement by Bangalore Metro telling on their Yellow line that has been delayed by 3 months. So I just wanted to understand, is it affecting us? Or like what was this announcement came from Bangalore Metro?

Umesh Chowdhary: I have not read the announcement, so I cannot comment upon that. But as far as we are concerned, our production is going on. There were some hiccups in the beginning, because as we have already informed, this is a contract where we are doing only the manufacturing. The material comes in as a free supply from CRRC. And there were some challenges to get the materials on time from CRRC. Now things have gotten streamlined, and now the production is happening as we are expecting them to happen.

Koushik Mohan: Thanks, sir. I will get back in the queue.

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Moderator: The next question is from the line of Amay Sharda from Purnartha Investment Advisors. Please go ahead.

Amay Sharda: Thanks for the opportunity. Sir, I just had 2 questions. One was regarding the Passenger segment. I think the margins in this quarter have been low as compared to previous quarter. Any reason for that?

Umesh Chowdhary: I think the margins have been better, sir, in this quarter, if I am correct. We have an EBITDA margin of about 10% in this quarter. So in fact, it's a positive tr

end. From 9.44%, it has gone up to 10.4%.

Amay Sharda: So speaking specifically for Passenger segment, I think they have been reduced from 9% to 3% or 4%.

Umesh Chowdhary: I do not know which slide are you referring to. If you refer to Slide 15, it will be clear.

Amay Sharda: Okay. I will do that, sir. Second was regarding the Titagarh Firema audit qualification that was there in the results. Can you explain that? Like what can be the maximum impact we can expect

for that?

Umesh Chowdhary: So as far as Titagarh Firema is concerned, first, I would like to clarify whatever has been mentioned in the notes to our accounts, it is a situation which is still developing. We still do not have clarity as to which way the situation is going to develop. But we are watching the situation with great care and caution. Whatever was the investment made, a substantial part of it was already earlier provided for in our books. And the balance, whatever is the potential noncash loss that is possible, has been quantified in our annual accounts. Amay Sharda: Got it. Just to confirm the maximum impairment, if at all, we can expect will be to the tune of book value of the investment in our books, right? Nothing more than that?

Umesh Chowdhary: That's right.

Amay Sharda: Okay, sure. Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Sandeep Mukherjee from SKP Securities.

Please go ahead.

Sandeep Mukherjee: Thank you for taking my question. Sir, what could be our shipbuilding revenue for FY '25?

Umesh Chowdhary: As you can make out from the investor presentation, we do not disclose this as a separate revenue segment, sir.

Sandeep Mukherjee: Okay, sir. So my next question is in the opportunity pipeline, you have mentioned that propulsion system has an opportunity pipeline of INR 2,000 crores. So is this including traction motor? So

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can we understand it like you will be delivering it in a kit basis, which includes traction motor, TCMS and traction converter? Or sir, traction motor is separate from this?

Umesh Chowdhary: They are both unique to each other. There is the traction motors also that are separate. And then if we go into the details of this, it will be becoming too technical in nature for this kind of a call. But the configuration of propulsion systems are made into different segments, and this is a combination. So I would rather stay with the financial outlook of this rather than getting into the technical nitty-gritties of it. And it is a combination of all the items that you mentioned, which is propulsion, traction motor, TCMS, et cetera.

Sandeep Mukherjee: Okay, sir. And my next question is like you have mentioned in the opportunity pipeline that metro coaches contract is opportunity pipeline of INR 15,800 crores, and Vande Bharat coaches is INR 72,000 crores. So this is the opportunity pipeline for the private sector? Or is that something that ICF is also included in it, ICF also produces Vande Bharat and metro coaches, if I'm not wrong? So does this opportunity pipeline include the government part also?

Umesh Chowdhary: Opportunity is, in general, we do not still know in case the railway decides to get some of these manufactured in government sector. But normally, we are expecting that this is the kind of business. At least as far as the metro is concerned, it only comes to the private sector, and we expect this is the business that should come to the private sector. But then, of course, government policy is something that we do not have the visibility and the control to comment upon.

Sandeep Mukherjee: Understood sir. Thank you very much.

Moderator: Thank you. The next question is from the line of Rajesh Bhandari from Nakoda Engineers.

Please go ahead.

Rajesh Bhandari: Hello, good afternoon, sir. Sir, our main production items are wagons, propulsion system,

traction, metro rails, Vande Bharat and wheels. Sir, in financial year, '26, '27 and '28, what kind of turnover we can expect, sir? Total.

Umesh Chowdhary: We cannot give any forward-looking guidance in terms of turnover. What we shared and what we can share with you is what is the company's capacity for the different segments.

Rajesh Bhandari: Yes. From Capacity point of view. Okay, right from capacity point of view.

Umesh Chowdhary: So as far as the segments are concerned, the Freight Business segment, we have a capacity of doing 12,000 wagons a year, which if we look at just extrapolating the sales number can give us a potential revenue of around INR 4,000 crores, INR 4,500 crores.

As far as the Passenger segment is concerned, the 3 years are going to completely give a different story as we are in the process of ramping up. You can see it in the Investor Presentation how we are ramping up our production capacity.

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So let me speak about the Coach production capacity at peak. Coach, I mean Vande Bharat and Metro, on an average, gives us around INR 10 crores per coach of revenue. So that is the kind of capacity that we are creating in terms of the coach production. And the propulsion, I have already spoken about.

So all the 3 segments that we have, which is the Wagon segment, propulsion and the Coach segment, all 3 of them are being scaled up to be one of, if not the largest capacities in the country. And of course, depending upon a host of other factors, that is the overall market demand, the

buoyancy of the country's growth, et cetera, we should be in a leadership position for all of them. As far as the wheels is concerned, again, we have already mentioned, it's a joint venture between ourselves and Ramakrishna Forgings. And the overall capacity that has been created there is for about 220,000 wheels per year, out of which, 80,000 wheels is on a guaranteed offtake basis by the Indian Railways. So that, on a ballpark number, each wheel sells for about INR 1 lakh or some lakh plus/minus 10%. So that's the kind of capacity that we are creating for the wheel venture. I hope that answers your question.

Rajesh Bhandari: Yes. Sir, this 20,000 order for wheels, that is only the Titagarh part or with RK Forgings, INR 20,000 crores.

Umesh Chowdhary: No, the order is about INR 14,000 crores, and that is for the company. That is not Titagarh's part. In our investor presentation, we have mentioned about our share of the joint venture. As you can see it in one of the pages of the order book where our share of joint venture is mentioned. This is on page...

Moderator: Sir, sorry to interrupt you, but we request you to rejoin the queue for follow up question.

Rajesh Bhandari: Only last question.

Moderator: Sir, you can join back the queue as there are other participants waiting for their turn. Thank you.

The next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri: Hello. Good evening, sir. Thank you for taking my question. So a lot of my questions have been answered, but I got dropped in the call in the between, so I had to rejoin the queue. So just wanted to know, from an order book perspective, I think we have around INR 11,000 crores for our company itself. And I think around INR 13,000 crores in the JV. So just wanted to know the execution time line for those, sir?

Umesh Chowdhary: So each of the order has a separate execution, and I will speak about our company's orders. The freight wagon, the FRS segment orders primarily have about approximately a 1 -year execution, whereas the Passenger segment has a longer execution, particularly on the Vande Bharat. As far as the JV is concerned, both the service as well as the wheel JV both have a longer -term

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execution. So the execution of these

contracts they cannot be clubbed up in one basket. They're all very different in terms of their time lines.

Darshil Jhaveri: Fair enough, Sir. And just wanted to know, I think the railway, I think a new order, which should come in some time. So any kind of conversation that we're hearing when the new tender will come, obviously, it's all speculation, but any rough time line that you all are anticipating or preparing we foresee something coming up soon or maybe first half, second half? Anything you could just comment on, Sir?

Umesh Chowdhary: See as you're very rightly yourself commented that commenting anything will be speculative and we would not like to indulge in that. But the railways have set up their target of achieving a 3 billion tonne of growth on one side. On the other side, the Gati Shakti program of the Honorable Prime Minister very clearly defined that the logistics cost of India has to be brought down as a percentage of the GDP in order, now we are already the 4th largest economy, which is a great development for us as Indians.

And in order to now jump and get to the third largest economy, which I believe is just an arm length away, we will have to improve upon our cost efficiency, and one of the most lowest hanging fruit and essential cost efficiency measures that can be adopted and targeted is the logistics cost, for which enhance railway movement of goods and commodities is must. So having said that, we cannot speak about discussions or speculative, but it is our estimate and our belief that the growth in the Railway segment or the Railway Cargo segment, should also continue. And being a market leader, being one of the most front runners and being prepared for this enhanced growth, we should be in a good pole position to be able to be a part of this growth.

Darshil Jhaveri: Fair enough. Yes. No, I thought, Sir was saying something. And just like on the something different part maybe...

Moderator: Sorry to interrupt you, but we request you to rejoin the queue for follow -up question.

The next question is from the line of Raj Patel from RK Securities. Please go ahead.

Raj Patel: So considering the production challenge and the segmental revenue fluctuation observed in FY '25, how does the management view the outlook for quarter 1 FY '26, especially should we anticipate a meaningful improvement in execution compared with quarter 1 F Y '25, particularly in relation to FRS and Metro deliveries?

Umesh Chowdhary: Thank you, sir. I have already mentioned that the wheelset problem that was there that was playing in the industry continues in the first part of Q1 FY '26 as well. The production of wheelset started from today, as a matter of fact, in Rail wheel factory as we are informed in the line that was shut. So, we expect that from the month of June, the production should pick up, and therefore, normalcy, if I can call it normalcy, should attain from this month onwards.

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There has been a shortage of wheelset in the earlier parts of the quarter as is very well known and is in public domain. The metro production is picking up, and it is continuously going to pick up, and we will achieve the targeted production, as I mentioned, by the end of this financial year.

Raj Patel: Okay. And my next question was, we understood that a recent tender was floated for the Nagpur Metro project. So has Titagarh participated in this bid? And if so, could you please provide us insight on the scope of the project and the competitive landscape?

Umesh Chowdhary: Number one, Titagarh is participating in every single metro project that comes up in the country. So, there would be no metro project where we would not be interested and we will not be participating.

Secondly, the Nagpur project is still on the tender phase. So, it is not yet finalized or the tender has not been submitted as of yet.

Raj Patel:

Okay. That was all from my side.

Moderator: The next question is from the line of Ravi Gupta from RT Investment. Please go ahead.

Ravi Gupta: My first question is, could you provide an update on the timeline for achieving the targeted run rate of 1,200 wagons per month? And based on current production trends and operational readiness, is there any revised guidance or internal milestone the company is working towards?

Umesh Chowdhary: As far as the company is concerned, we have already touched on a number of occasions, 1,000 wagons per month. The overall wagon capacity is calibrated also on the overall business opportunity available.

As far as the company is concerned, it is also ready to ramp up and get to 1,200 wagons per month, but we shall be only doing that once we see sustainable business demand in terms of the business outlook, and that would also happen once the new tender of the railways is finalized.

But I can confirm that particularly with the expansion of the foundry that we are going to bring on stream within this financial year, we are, as a company, ready to ramp up our production should the market support us in terms of adequacy of volumes to produce 1,200 wagons a month.

Ravi Gupta: Understood, sir. Sir, my next question is, what is the management's outlook on revenue growth and EBITDA margin performance for the upcoming quarter in FY '26 as a whole? And are there any updated targets or internal benchmarks that can be shared?

Umesh Chowdhary: Unfortunately, internal targets cannot be shared. Whatever could have been shared has already been shared in our investor presentation. So, I apologize, we'll not be able to share any further numbers apart from that.

Ravi Gupta: All right, sir. Thank you. That's all from my side.

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Moderator: Thank you. The next follow-up question is from the line of Rajesh Bhandari from Nakoda Engineers. Please go ahead.

Rajesh Bhandari: Thank you sir for giving the opportunity. I just wanted to know how our projected turnover like for wagons you said, INR 4,500 crores per year, 12,000 wagons. For Metro and for Vande Bharat, what is our kind of capacity total?

Umesh Chowdhary: As I have already mentioned that in our first phase, it is there in the investor presentation also. In the first phase, which we are expecting, since you were asking from a timeline of 2027-28, so we are targeting to achieve a target of 800 to 850 cars per annum, and about 200 to 250 traction motors per month. So about 3,000 traction motors per month.

Rajesh Bhandari: Sir, like you said, 850 cars, INR 10 crores per car means INR 8,500?

Umesh Chowdhary: Your maths is better than mine. I need a calculator.

Rajesh Bhandari: Yes, yes, yes. This was my main question. Right, sir.

Umesh Chowdhary: Thank you, sir.

Rajesh Bhandari: Thank you, sir.

Moderator: Thank you. Ladies and gentlemen, in the interest of time, we'll take this as a last question. I now hand the conference over to the management for closing comments.

Umesh Chowdhary: Thank you very much. Thank you, everybody, for joining the call and wishing us with very interesting and very kind of thought-provoking questions. But to sum up, I would say that this year, FY '26, is going to be a very critical year for the company. It is going to be a transformative year. I would say FY '26 and then FY '27 are 2 very, very critical transformative years for the company, because historically, as also was the name of the company was a wagon company. Wagon is a stable commoditized business.

The Passenger Rail segment that we have is a big upgrade on technological competence, is a big upgrade on value addition that we are doing, which is very reflective of the fact that one wagon, which weighs approximately or which volumes approximately the same as the passenger coach sells at between INR 35 lakh to INR 40 lakh, where

eas one passenger coach of the same volume sells at INR 10 crores. So that is the kind of technological or the difference in intricacies and complexities that exist.

And for Titagarh, this year, it's going to be year where we will transform the passenger rail system into the next level, and FY '27 is going to be the year where the Vande Bharat and the Metro simultaneously will start production at full capacity. So, these 2 years are going to be transformational for the year. At the same time, we are very bullish on the shipbuilding and maritime systems, which we are relaunching.

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We believe that in the years to come, this is something that is going to be a very important part of the group's strategy. And of course, not having taken or not taking away the importance that the Wagon business continues to have for us, which is our bread and butter business. We believe these 2 new businesses, along with the safety and signaling systems, which is going to be primarily on the business development stage over the next 1 or 2 years. I don't expect that to get reflected into our P&L, but more into our order book, is going to cast the way for the years to come.

The company is fully prepared for all these segments and is very excited. And the government of India has continued to give a big focus on infrastructure, particularly on mobility and urban mobility. We have seen a number of announcements of projects, whether it is for metro, whether it is for local trains like Mumbai Local or Vande Bharat, et cetera. And we are very excited and very honored and very privileged to be in this industry in this time of growth of the country.

So, thank you very much for the support from everybody, and we look forward to reporting substantive progress particularly the PRS during this financial year. Thank you very much, and have a great year ahead.
Management: Thank you.

Moderator: Thank you. On behalf of Titagarh Rail Systems Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

"Titagarh Rail Systems Limited Q1 FY'26 Earnings
Conference Call"

August 12, 2025

MANAGEMENT : MR. UMESH CHOWDHARY – VICE CHAIRMAN AND
MANAGING DIRECTOR , TITAGARH RAIL SYSTEMS
LIMITED

MR. PRITHISH CHOWDHARY – DEPUTY MANAGING
DIRECTOR , TITAGARH RAIL SYSTEMS LIMITED

MR. SAURAV SINGHANIA – CHIEF FINANCIAL OFFICER ,
TITAGARH RAIL SYSTEMS LIMITED

MODERATOR : MR. PARTH PATEL – INVESTOR RELATIONS , MUFG
INTIME

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Moderator: Ladies and gentlemen, good day and welcome to T itagarh Rail Systems Limited Q1 FY26 Earnings
Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity
for you to ask questions after the presentation concludes. Should you need assistance during this
conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please
note that this conference is being recorded.

I now hand the conference over to Mr. Parth Patel from MUFG In time, IR. Thank you and over to
you, sir.

Parth Patel: Thank you, Palak. On behalf of T itagarh Rail Systems Limited, I extend a very warm welcome to all
the participants on Q1 FY26 Financial Results Discussion Call.

Today , on the call, we have Mr. Umesh Ch owdhary -- Vice Chairman and Managing Director, Mr.
Prithish Ch owdhary -- Deputy Managing Director, and Mr. S aurav Singhania -- Chief Financial
Officer.

Before we begin the call, I would like to give a short disclaimer. This call may contain some of the
forward -looking statements, which are completely based upon our beliefs, expectations, and opinions
as of today. These uncertainties are not a guarantee of our future performance and involve unforeseen
risks and uncertainties.

With this, I would like to hand over the call to Mr. Umesh sir. Over to you, sir.

Umesh Chowdhary: Thank you, Parth, and a very good afternoon to everybody and thank you very much for joining this
earnings call of Q1 FY26.

We have already shared by both the press release alongside with the results yesterday, as well as the
investor presentation, a lot of details , and we have tried to segmentize the details this time , and we
would intend to follow this format in periods to come, to be able to give the complete picture of the
progress of the different projects.

But in a nutshell, I would like to say that, as far as the overall company is concerned, there have been
significant developments during the period. The company, I had mentioned in the last call that our
focus is going to be a lot on booking new orders. And I am happy to share that the company was able
to book orders worth almost Rs.2,500 crores during this period, including GST, some in the passenger
rail segment as well as in the freight rail segment. And this is a trend that we intend to continue. This
is an effort that we will continue to pursue to build up a stronger order book to have a larger visibility,
both in the freight side and the passenger side.

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Apart from that, a very significant development during the period has been the acquisition of the land
from West Bengal government. This was the land which was earlier a part of Hindustan Motor s,

which the government has resumed on account of the closure of their unit. And this is contiguous to our existing passenger rail factory. In fact, the only thing we had to do to take possession of the land once we were allotted was to break open the boundary wall. It is that contiguous with our existing facility.

This enables us in many ways ; one, of course, it helps us to expand capacity and to pursue backward integration in the same premises. But more than that, it enables us to create a comprehensive facility for testing and commissioning of rakes, including the modern rakes and probably in the future high speed rakes, which as India is moving towards the high speed trains and being a leader or emerging as a leader of the rolling stock, we would definitely also like to evaluate that opportunity in the years to come. So, this will give us a test track of about 1.6 kilometers, a level test track, which is unique because that is not available with any of the private sector or coach manufacturers in India. And it will be a huge advantage to us in the years to come. So, that is a very, very signif

icant development

because it is not very easy to get land contiguous to our existing factory. And of course, the promoters have infused Rs.200 crores into the company or have committed to infuse Rs.200 crores in the company against a preferential issue.

And of course, all the other highlights have been given, but on the challenges faced by the company, the severe challenge that has been shared also with the investors in the last quarter was the poor wheel sets supply from the railways, which actually was quite a big setback for the company and for the industry as a whole. I am happy to share over the last two, three weeks, the position has normalized and we are getting adequate wheel sets now from the railways. But, during the quarter, the production fell to almost 1,600 -odd wagons, which was a significant drop over the earlier period or the corresponding period. The company is extremely confident, we are almost certain that we will be able to recover this loss of production and maintain volumes which are in line with what we did last year and also the EBITDA margins in line with what we did last year. So, we do not see much of a concern on that as far as the full year is concerned.

However, the biggest growth story, which we have also mentioned in our press release is the passenger rail system. All the SBUs, and we have divided this time the disclosure on the different SBUs within the main business unit of passenger rail system, all the SBUs have actually started functioning. While the Vande Bharat revenue will start accumulating only next year, but all the other SBUs, which is the propulsion and electrical as well as the metro will start contributing in a meaningful manner within the current financial year. I think that, in a nutshell, sums up the overall picture.

And of course, one very important development is also that the company has decided to focus on the core sector of its business, which is railway systems. And we had announced that we had constituted Titagarh Rail Systems Limited

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a board committee to evaluate what we have to do for the shipbuilding, bridges and defense business. So, the board has decided to demerge the shipbuilding business into a wholly -owned subsidiary, which will then pursue its growth with or without induction of strategic /financial partners. But the idea is that to grow that business, which is also a very core sector of the government, the government has identified that as a core growth sector for the country. And considering that our company has all the credentials and is currently also delivering several vessels to the Indian Navy, has delivered vessels to the Coast Guard and National Institute of Ocean Technology and all of that, we believe that this is going to be a business that can grow significantly in its own accord. But since there is not much synergy with our railway business, we would like to pursue it in a separate style and separate company.

And the company intends to continue to focus on the railway business, which is both the passenger rail system and the freight rail system. For the signaling and safety system, which is a subset of the passenger rail system, the company has participated in a few tenders and is also pursuing certain strategic partnership or tie -ups or technology tie -ups with certain international companies. But that will be folded into the overall business growth of the passenger rail system.

So, with that, I would conclude my opening remarks and I would be very happy to take any questions, any suggestions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Vedant Sarda from Nirmal Bang Securities Pvt. Ltd. Please go ahead.

Vedant Sarda: Thank you for the opportunity. I just wanted to know our full year revenue guidance and our long -term revenue guidance for the company.

Umesh

Chowdhary: So, we do not give any revenue guidance per se on the company long -term, but what we have mentioned in the guidance note that has been issued alongside with the results, is the freight business of the company we expect in the current year to remain in line with what we have done last year. So, we do not expect any significant growth on the freight side. But on the passenger side, what we had done was 12 cars in metros and about 300 traction motors in the full year in the propulsion. And we

are expecting this year to grow that 12 cars to 120 cars, which is a ten -fold jump. And the propulsion system also we are expecting to have a significant jump as we have already disclosed in our press note. In terms of the long -term potential, the first phase expansion of our passenger coach plant will take this capacity, which we expect to reach maybe in the next year or end of next financial year to about 50 cars per month between Vande Bharat and metros subsequently increased to about 72 cars a month in another two to three quarters thereafter. And the long -term target for the passenger is to reach 100 cars per month, which we expect to reach in about three to four years' time , particularly with the acquisition of the new facility or the new asset that we have acquired. As far as the wagon is concerned, our capacity is now between the Calcutta unit and the Bharatpur unit is at about 1 ,000

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to 1,200 wagons. And the business volume that we expect should be in the vicinity of about 900 to 1,000 wagons per month till the new power plants which have been planned , come up or the substantive growth in the railway freight revenue goes, which we expect also should happen once the overall CAPEX of the railways develops and all the DFCs start operations. But till that time, we expect that we will be able to maintain the current run rate of between 900 plus /minus something.

Vedant Sarda: Okay, sir. Thank you so much.

Moderator: Thank you, sir. The next question is from the line of Amay Sharda from Purnatha Investment Advisory Private Limited. Please go ahead.

Amay Sharda: Hi, sir. Thank you for the opportunity. So, the first question was regarding the wheel set issue that we have faced. You say that it has been resolved. So, from August onwards, can we expect 900 to 1,000 wagons per month volume that you have added?

Umesh Chowdhary: So, the wheel set problem has been resolved, in fact, from the last week of July, first week of August. We expect to now produce in the vicinity of 900 wagons a year . As we have given in the press note, we would be able to reach the same numbers or maybe make a marginal improvement over last year. And in order to do that, we should be producing in a ballpark of 900 wagons plus /minus 50 wagons every month and we are confident of being able to do that.

Amay Sharda: Thank you for that, sir. And the second question is regarding the margins in the passenger wagon segment. So, is it so that the margin for propulsion is better than the margin for cars or nothing like that?

Umesh Chowdhary: No, propulsion is a higher margin business , sir. We have always maintained that propulsion is a higher margin business. But of course, right now, it is in a nascent stage. As I have always explained that it is only the operational leverage that is not available. Once we start delivering a certain volume, then the margins that we should be able to get in both operations as well as services should be significantly more than what we should be able to get in the rolling stock.

Amay Sharda: And sir, this 120 metro cars target that we have, out of that, will it be possible to bifurcate how much is from Bangalore metro and how much is from Gujarat?

Umesh Chowdhary: We would not be able to do that for competitive reasons , but in terms of the overall numbers, because that is very important in the current

phase of the company, what is important is to see the ramp up.

And if we are able to do which we are very, very hopeful and confident of being able to do 120 cars, that in itself with the Mumbai line having come and with the Gujarat Metro and the Vande Bharat and all of that , is a clear indication of how the company 's PRS can scale up. As is well known, the

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metro coach sells at about 11 crores a piece. And the capacity that is being created once that is operationalized and stabilized, that completely changes the dynamics of the overall company as such.

Amay Sharda: Absolutely, sir. So, the Bangalore Metro is also Rs.11 crores a piece or is that lower than that?

Umesh Chowdhary: Bangalore Metro has a manufacturer of CRRC. So, there the material is all free supply. So, the entire revenue does not flow into our books.

Moderator: The next question is from the line of Mohit Motwani from Tara Capital. Please go ahead.

Mohit Motwani: Hi, sir. Thank you for the opportunity. My first question is around the dispatch of nine coaches which has been done in this quarter. Can you let us know for which metro project was this done for?

Umesh Chowdhary: We do not disclose the customer name for competitive reasons. But we have disclosed that our first rake was flagged off by the Hon'ble Prime Minister day before yesterday , and some of you may have also seen the visuals wherein it was a moment of pride for the company to see that the Titagarh name was prominently displayed where the Prime Minister was flagging off the coach.

Mohit Motwani: Sure. As you mentioned that, you have shared the 120 coaches what will be the split . But if you can let us know now you have four to five Metro orders , is there any completion timeline for each of these that you can share with us?

Umesh Chowdhary: We have already shared that the Mumbai Metro has to be completed, I think, if my memory serves me correct, around 24 months or so. So, each one of them have a different delivery timeline and we have done our balancing of the capacity accordingly.

Mohit Motwani: Okay. Okay. And lastly, you have done nine coaches in this first quarter and you are expecting to

complete 120 coaches by end of this financial year, which is about 111 coaches in the rest of the year. So, that is about 12 coaches per month that you will be doing and that will be around, I think, close to 50% capacity utilization. So, what is driving this change -- is it the operationalization of the new plant or is the ramp up of your facilities, if you can give some sense on that?

Umesh Chowdhary: It is a host of that, sir. So, it will not be on an equated basis, I mean, it is not going to be an average run rate. It is going to be ramped up. So, it is not going to be on every quarter the same. The idea is that every quarter there has to be an improvement versus the previous one.

Mohit Motwani: Sure. Got it.

Umesh Chowdhary: As we have written also, that it marks the beginning for the stainless steel coach production of Titagarh, so our entire stainless steel production line is now fully operational. And that in itself is going to be the game changer for us.

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Mohit Motwani: Got it. Got it. Thank you for those answers, sir. I will come back in the future. Thank you.

Moderator: Thank you, sir. The next question is from the line of Aryaman Agarwal from Money Stories Asset Management. Please go ahead.

Aryaman Agarwal: Good afternoon. So, I want to understand how the order pipeline scenario is looking in the next nine months, both in the freight railway systems and the passenger rail systems, what sort of demand are we looking at?

Umesh Chowdhary: Yes, good afternoon, sir. So, we have already given some details about the order book that we have. And you can see that for the Vande Bharat, we have a very healthy

order book. For the metro, because

of the development time, we are looking at booking further orders, although we have about 440-odd coaches in order with us now. But we have participated and we are continuing to participate in additional tenders to get further metro business. And the same is the story with the propulsion. While we have some orders, we have an order book of about Rs.550-odd crores in the propulsion, which in itself is a very big thing because all these businesses combined were contributing to less than single digit in terms of the past revenues of the company. And the very fact that the business of each one of the SBU under the passenger has actually started developing on its own is quite significant. So, to answer your question, the order pipeline in the investor presentation has been given for the metro and we have seen it in media about the large tenders that are expected both in terms of metro as well as suburban transport like MRVC, etc., and the company would definitely pursue these opportunities as we go along. As far as the freight business is concerned, we have declared an order book which is outstanding order book of about 10,500 wagons. And continuously, during the quarter also, we booked an order of about 900 or close to 900 wagons. And we believe that considering the overall cost advantage and the policy of the government to move the transportation from road to rail, the wagon tenders should be issued somewhere this year.

Aryaman Agarwal: All right. So, from the government's order perspective, we are not seeing any slowdown as such, the orders are flowing in well?

Umesh Chowdhary: So, the orders for the passenger side have been very robust. For the freight, as I had mentioned earlier also, the small tenders from the railways and private sectors are continuously coming. The large tenders were to be done on a three-year basis. So, the last one was done about three years ago. And we are expecting or I would say in all probability, the railway should come back with their renewed demand somewhere this year.

Aryaman Agarwal: Got it. Got it. And secondly, on the shipbuilding business, what sort of a vision do we have in that segment, what sort of a business are we looking at creating?

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Umesh Chowdhary: That is a very interesting segment. So, what we have declared in our press release also that the facility that we are creating in Palta, we would have a capacity to do around 12 to 14 or 14 to 16 vessels per year of up to 150-160 meters. And that is quite significant in terms of the facility that this company, this SPV will create, we would like to do all sorts of ships, including all sorts of naval ships and other ships. And while the details of this project or the business plan of this project will be issued in due time, and it is just a decision that was finalized yesterday and will be implemented over the next week, we believe, considering the number of policies that the government has come out with on the shipbuilding sector, and also based on interaction that we have had with the various departments of the government, the government has clearly identified shipbuilding or specialized shipbuilding, particularly as a very core niche sector for the country's development and growth. And particularly because we have the expertise, we have the qualifications of this business, we feel that this can be a very strategic business or a growth-oriented business that we would like to pursue independently.

Aryaman Agarwal: Perfect. Thank you. Look forward to having a great year with the PRS ramp up.

Umesh Chowdhary: Thank you.

Moderator: The next question is from the line of Parvez Qazi from NuVama Group. Please go ahead.

Parvez Qazi: Hi, good afternoon, and thanks for taking my question. So, a couple of questions from my side on

the passenger business. So, we mention

ned in a press release that we expect the dispatch of

Ahmedabad Metro coaches to start in Q3. So, by when do we expect to kind of complete this order -

- will it be in one year or will it be slightly longer ?

Umesh Chowdhary: Yes, hi Parvez. So, yes, we will complete it within a year because Ahmedabad is only 30 cars. So, we have already started the production of two trains, that is six cars, and we will deliver the two trains one after the other in Q3, Q4 timeframe, and thereafter, we intend to deliver, maybe two to three trains in a month and complete this. So, yes, to answer your question, we expect that based on the delivery timelines of the contract, once we start the delivery, we should be able to complete it in about a year to 16 months time, both Ahmedabad and Surat.

Parvez Qazi: Sure. For the Mumbai Metro Line 6 order that we have recently received for 108 coaches, the execution timeframe is I think about 24 -odd months. So, from when does this 24 -month start?

Umesh Chowdhary: It started on the 2nd of August, the day we received the L oA.

Parvez Qazi: And when do we expect the dispatch to start here?

Umesh Chowdhary: So, the first train is scheduled to be dispatched, if my memory serves me right, in 62 weeks from the 2nd of August.

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Parvez Qazi: And lastly, Pune Metro, the additional order that we got is scheduled to be delivered in 30 -odd months. So, when do we expect delivery of that to start?

Umesh Chowdhary: So, it starts in 24 months. That is another significant thing. I am sorry, I missed that in my opening comments. Thank you very much for asking this question. So, the Pune repeat order that we have received during this period is a very significant development for two reasons. Number one, it kind of establishes the confidence of the customer on the company. To receive a repeat order is always a kind of validation of confidence. And the second is that these are aluminum coaches. So, what we have gone ahead this time and done is, we have used this order to set up our complete aluminum manufacturing lines. As you may be aware that in the past, we were getting the flat packs from our associate in Italy and we were doing the final assembly of the aluminum coaches in Calcutta. But with this order, we have already now placed the order. And in fact, as a matter of fact, the equipments are already on the high seas and they should be arriving within this month for making the complete aluminum coaches in Calcutta. This would make us the only company in India to have both aluminum and stainless -steel manufacturing, complete manufacturing facilities. To answer your question, that the first train for Pune under the auction should get delivered between 18 to 24 months and complete thereafter within the next six to nine months.

Moderator: The next question is from the line of Sudeep Anand from Systematic. Please go ahead.

Sudeep Anand: Yes, thanks for taking my question. So, just one question on Vande Bharat.

Moderator: Sorry to interrupt you, sir. Your voice is very low and it is breaking.

Sudeep Anand: So, sir, as we expect our first prototype of Vande Bharat to be ready by Q2 FY27, is it also -

Umesh Chowdhary: I am sorry, sir, your voice is again breaking.

Sudeep Anand: So, what I was asking, sir, since I was expecting the first prototype of Vande Bharat by Q2 FY27, is it subject to approval after that from Indian railways ?

Umesh Chowdhary: So, there is a concurrent approval process, sir. And as a matter of fact, we had the delegation from the railways headed by the concerned member even today, which is there in our social media. So, this is a concurrent approval process. And then after the train is delivered, it has to go through an oscillation trial. This is a very standard process. So, the terms of the contract is that once the prototype is delivered, in two months th

ereafter, we have to deliver the second prototype. And th ereafter, in

two or three months, something like that, we can start the regular production and dispatches. That is the time that is normally required for the oscillation trials.

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Sudeep Anand: Okay. So, basically, we can expect the regular production of Vande Bharat from Q4 FY27, and that is around 20 to 25 cars as guided earlier per month ?

Umesh Chowdhary: I am sorry, can you repeat your question?

Sudeep Anand: So, basically, we can expect the regular production of Vande Bharat from Q4 FY27 ?

Umesh Chowdhary: That is after we submit the two prototypes.

Sudeep Anand: And roughly about 20 to 25 cars per month as we had guided earlier ?

Umesh Chowdhary: Yes. So, 20 to 25 cars per month goes in a phase. The delivery schedule of the contract is the first year we have to deliver them eight trains, then 12 trains, then 16, and then 25 trains per year.

Sudeep Anand: That is correct. Thank you so much, sir. Thanks, and all the best, sir.

Umesh Chowdhary: Thank you.

Moderator: The next question is from the line of Akash from Dalal & Broacha. Please go ahead.

Akash: So, yes, thanks for the opportunity. So, basically, my question is just an add -on to the question one

of my earlier participants asked you. Just wanted to have a clarity, that is from Q2 FY26 onwards, do we exactly plan to deliver on our metro orders? I mean, if you could help us understand by when we will be completing the Bangalore Metro and how the revenue will reflect for other metro orders in our books of accounts?

Umesh Chowdhary: So, as I mentioned, sir, for competitive reasons, we cannot really give customer-wise bifurcation, but we can give the overall plan production and dispatch targets, which is for the current year, we are targeting and we are expecting to deliver 120 cars. This will be a mix of both Bangalore and Gujarat, which is Ahmedabad and Surat, because these are the two contracts that are being executed, which will be followed by the Mumbai and the Pune option clause.

Akash: Okay, and just one more confirmation I wanted. So, I think earlier in one of our calls, you had alluded that in the Vande Bharat and the metro coaches, we will be doing somewhere margins of around 8% to 10%, right, and propulsion will be significantly higher, almost around 16% to 18%. So, is my understanding right?

Umesh Chowdhary: So, on a metro, I had mentioned that the margins are similar to the one in the freight business, which is between 10%, 12%. And then of course the operating leverage comes in. So, being a nascent business, we do expect that we will only be able to improve upon this as we go along. And as far as the propulsion is concerned, you are absolutely right. It is between 15% to 20% of margin. Again, Titagarh Rail Systems Limited
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this is something that we will be able to achieve once we are able to achieve the desired volumes, which we are ramping up and we should be getting to each one of the targets over the next, I would say in different aspects, in different quarters, but on an overall basis, between the next four to six quarters, we should be able to stabilize all the SBUs significantly.

Akash: Thank you, sir. Just last follow-up on this. What would be the break-even volume at which we should be able to manage these margins, like what capacity we need to function to be able to consistently clock a double-digit margin? And similarly on the propulsion side, what would be the break-even volume?

Umesh Chowdhary: So, I had mentioned this earlier in the last call also, once we are able to reach between 15 to 20 cars production, we should be able to get the optimum margin. And thereafter, the operating leverage or advantage once we add on the volume, will only improve the margin from there.

Akash: And propulsion?

Umesh Chowdhary:

As far as propulsion is concerned, there are different business segments. The traction motor, we should be able to get that at about 120 to 150, which we have almost reached now. So, at 150 traction motor a month, which we are expecting to, and we have mentioned this in our press release also, by end of this year, we should be able to stabilize at 150 traction motors a month, that is 450 traction motors a year, we should be able to get to the desired margin. As far as propulsion is concerned, which is the propulsion system, we should be able to do that between one to one and a half rakes a month, and of course, our target is to get to two rakes a month.

Akash: Okay, and for propulsion, we do not have any more revenue share with ABB, right or do we still share?

Umesh Chowdhary: We never had a revenue share with ABB.

Akash: For propulsion technology?

Umesh Chowdhary: We had a technology transfer, but we never had a revenue share. We have some components, which we buy from them, and we have already paid them for the transfer of technology that we had to do.

Moderator: The next question is from the line of Rajesh Bhandari from Nakoda Engineers. Please go ahead.

Rajesh Bhandari: Good afternoon, sir. My first question is basically on the wheels. Sir, the wheels were owned by a different factory. What is its status now? How much will we manufacture per year? And will we give it to the railways or will we keep it for our own use?

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Umesh Chowdhary: Sir, the status of our wheels, which we have also given in our press release, that this trial production will be Q4 this year or Q1 next year. That is, between January to June, it will get stabilized, the trial production. And the total capacity that we are envisaging in that unit will be about 220,000 wheels. We have an assured offtake of 80,000 wheels from the railways. And we can use the rest and we can sell it to people as well.

Rajesh Bhandari: Okay. So, in this, sir, we will be able to manufacture 2 lakh wheels, means one lakh set?

Umesh Chowdhary: Right, absolutely.

Rajesh Bhandari: So, what turnover can we expect in this, sir?

Umesh Chowdhary: Sir, the approximate selling price of a wheel is from Rs.80,000 to Rs.1 lakh.

Rajesh Bhandari: So, the wheel set?

Umesh Chowdhary: One wheel.

Rajesh Bhandari: We will make the whole wheel and wheel set?

Umesh Chowdhary: It is a mixture of that, but right now it is primarily a wheel plant and then subsequently, we can start

making wheel set also over there, sir.

Rajesh Bhandari: Okay. Forging will be supplied by this RK Forging s?

Umesh Chowdhary: No, this is a plant which will forge itself. This is a joint venture between us and RK Forging s. And so, this will be an end -to-end plant.

Rajesh Bhandari : Okay. So, in this, sir, the time it took us, any reason, because I understand it is a company called Hilton Metal. They also got approval from RITES .

Umesh Chowdhary: I would not like to comment on that. But this is a plant that has been set up in a record time. I can only tell you that.

Rajesh Bhandari: Sir, you told us that we are in a signaling system. So, are we into kavach system also? And our turnover for FY27 and FY28 total?

Umesh Chowdhary: We are not into kavach system as of now, sir.

Rajesh Bhandari: Our turnover for FY27 and FY28, sir?

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Umesh Chowdhary: We do not give any forward -looking projections of that nature. We have given quantitative projections in our press note, sir.

Rajesh Bhandari: Okay. Thank you. Thank you , sir.

Moderator: The next question is from the line of Aniket from StepTrade Capital. Please go ahead.

Aniket: There is one news which is coming out, which is the risk of losing Rs.173 crores linked with Italian subsidiary , Firema. Can you clarify this?

Umesh Chowdhary: Sure, sir. This is the

investment that we have made in our Italian associate, Firema. And we have given the disclosure both in our press note as well as in our results, both March and in June, that Firema has been facing certain challenges, financial and operational challenges. As is well known that we had invested into Firema and initially acquired it as a 100% subsidiary and subsequently, it became a jointly owned company between us and the government of Italy, where the government of Italy also along with the other investors. So, government of Italy owns about 30% , other investors also own certain percentage. And it seems to be a subsidiary of the company and it remains as an associate. So, the standing value of investment is the value which has been disclosed in our financial results. Over a period of time, the primary purpose or the goal of acquiring technology credentials and setting up our passenger rail system business has already been achieved. And today, the company is fully independent in terms of the passenger rail system business and able to execute the orders with no support required from Firema. The company Firema is now under what is called a CNC process.

And we are inactive. The company is in active dialogue through the ministry to explore if the government can either enhance their stake or there can be other equity investors. So, this is a situation which is uncertain. And therefore, clarity should emerge on that by the end of this calendar year or Q3 or Q4 of this financial year. The amount which has been disclosed in the results is the amount which has already been invested in the past by the company. So, there is no cash loss or potential cash loss. But considering the overall size of the company, the size of the asset and the strategic nature of the asset to the government, we are hopeful of finding a positive resolution as we go along.

Aniket: So, there is one more question. Have you mentioned the land acquired by the company from the government , right ? So, could you just clarify that what is the purpose of the land and how it is going to be utilized?

Umesh Chowdhary: I have already mentioned this in my opening comments, sir, is that this is the land which is contiguous to our existing passenger rail system factory. In fact, as I mentioned that it is just the boundary wall had to be removed in order to take possession of the land. And this is going to be used for expanding both the production as well as backward integration, but more importantly, the testing and commissioning of rakes that are going to be produced in the passenger rail system. We have acquired

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this land, which is about 40 -acres in size on a total payment of around Rs.136 crores or Rs.137 crores to the government.

Aniket: So, could you please specify what kind of backward integration the company is planning to do?

Umesh Chowdhary: It is backward integration of the coach manufacturing. So, the components that go into the coach manufacturing, whether it is the various components or CRF or things like that.

Aniket: Okay, thank you, sir.

Moderator: The next question is from the line of Rehan Syed from Trinetra Asset Managers. Please go ahead.

Rehan Syed : Yes. Thank you for the opportunity, sir. And so I want just more clarification regarding your Vande Bharat.

Umesh Chowdhary: Sorry, your voice is echoing. If you can just not be on the speaker mode, it will be easier.

Rehan Syed: I will just repeat my question again. So, I just want to clarify regarding your Vande Bharat sleeper train prototype that you have some comments regarding expected by Q2 of 2027. So, how is the company mitigating potential delays especially given the complexity of the design and manufacturing lines on this site?

Umesh Chowdhary: So, we have a very robust system of monitoring, sir, and project management. We have a full team which is working on that. And

in a project of this, it also involves many things, many, many, let us say, steps that have to be taken by the counterpart, which is the railways. They have to be very closely managed and dealt with the customer themselves. So, as of now, we are not expecting any delays from the schedule that we have shared in our presentation. And of course, if there are certain areas, there is no one medicine for all problems, so depending on if there are problems, we will resolve them as we go along.

Rehan Syed: So, as of now, we are on the line for that, right?

Umesh Chowdhary: That is right.

Rehan Syed: Thank you.

Moderator: The next question is from the line of Vivek Gupta from Star Investment. Please go ahead.

Vivek Gupta: So, my first question would be just to understand the long-term strategic goals for Titagarh Naval Systems Private Limited following the transfer of the shipbuilding business. Like, is the company actively considering external investors or strategic partnership to scale the operations? Additionally, Titagarh Rail Systems Limited

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what is the expected timeline for finalizing the strategy for the defense and bridge business segment, and whether this involve a full divestment or a joint venture or another form of strategic collaboration?

Umesh Chowdhary: Yes, thank you very much for your question. So, as far as the shipbuilding business or the naval business is concerned, we have very clearly mentioned and would like to restate that we are open to all sorts of options, both in terms of strategic partnerships or joint ventures, primarily in order to capture the growth potential and the opportunities in this segment. And as we go along, this will be defined in terms of the timeline for the defense and what we exactly intend to do, that is what the board committee has been constituted for. And we expect that over the next maybe two to three months time, we will be able to have the final deliberation, and then, of course, subject to the approval of the board, we will communicate the final outcome to yourself as well as to the markets. Whether we would look at a complete divestment, joint venture, strategic partnership, this is something exactly what we would evaluate. But what the board has very clearly identified that for Titagarh Rail Systems, our core business has been the railways and should be the railways. And we should not have non-core businesses within the company which end up taking away from both financial and managerial resources. As a matter of fact, when we had ramped up the passenger rail systems about two years ago, when we got the Vande Bharat, I had, in fact, mentioned it that time also in my investor presentations and calls that we had decided not to allocate any capital or managerial time to this shipbuilding business for the next couple of years and thereafter, we will formulate the strategy of what we have to do with this. Having spent a lot of time, effort, and energy in coming to the stage where we are on the shipbuilding business, where we are meeting with a lot of eligibility credentials, and we have developed a very good brand name in the customer fraternity for the vessels that have been manufactured by us. Some of them have also been featured in the presidential fleet review of the Government of India, which is a very significant recognition. We felt that it was not in the interest of the company to just let that be and walk out of that business, but to grow it in a separate manner, without disturbing or without taking away from the importance of the rail business, but give separate importance to this business as well. The same will be the motivation for the defense and the bridges business, where the deliberation will be done keeping the same considerations.

Vivek Gupta: So, with the new land acquisition in Uttarpara, could you just provide the timeline for full operationalization of that extension

ded facilities, that is including the 1.6 kilometer test track, and what would be the investment that is required?

Umesh Chowdhary: We just acquired this land maybe two to three weeks ago, and we have already started the working on that. And once the entire plan is finalized, we will definitely announce it. In terms of the timeline for implementation, we expect to do it in phases. As I had mentioned, the phase of production increase as well as backward integration and the test track. So, all of that we will share in due course of time. But I can share that we will be moving very fast, particularly for the phase -I, where in the immediate requirement of the test track and the expansion in order to achieve the current first level of targeted

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production for 50 cars a month, which is 25 metros and 25 Vande Bharat, we are targeting to implement that within the next 12-months.

Vivek Gupta: Okay. Thank you. That is it from my side.

Umesh Chowdhary: Thank you.

Moderator: The next question is from the line of Pranjal from Morgan Stanley. Please go ahead.

Pranjal: Thanks for taking my question. Sir, I have two questions. One is related to the CAPEX that we would

incur for this financial year and FY27. While we do understand that we would do a CAPEX of around Rs.140-odd crores for the land, but in terms of capacity addition, any additional CAPEX do we assign here?

Umesh Chowdhary: Yes. Hi, Pranjal. So, yes, Rs.140 crore s is what we have already spent for the land , that is not going to be spent in the future. In terms of building the facility on that plant, we will have to incur CAPEX, but this will be within the overall CAPEX plan that was already presented. We had mentioned in the past that we will be spending about a total of Rs.1,000 crores or so, and this will be forming a path. Additional CAPEX if required, will be something that we are still working on, and we will share with you. But because we are moving in phases in terms of putting the CAPEX alongside with the business growth, we do not envisage for the current levels to have significantly higher CAPEX than what we had already budgeted for.

Pranjal : So, just one clarification here. So, this Rs.1,000 crores would be spent over the next three years is what I recollect?

Umesh Chowdhary: Including what we have already spent in the last year. So, yes, that is right. So, last year plus this year and next year. So, this will all be completed by FY27.

Pranjal : And my second question is related to the order book that we have on the wagon side of roughly 10,700 -odd wagons. So, if you could provide a rough mix between the share of Indian railways and private orders?

Umesh Chowdhary: I do not think we normally share that due to competitive reasons, and whatever the data has been given in our investor presentation is what I can share at this point of time.

Pranjal : Sure, sir. And so, one last question with just one clarification here as well. The propulsion that we co-develop with ABB, are we going to use the same for our Gujarat Metro projects and the Mumbai Line 6 as well?

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Umesh Chowdhary: Mumbai Line 6, we have just received the L oA about just less than 10 days ago. So, we are still evaluating what exactly we will be doing as far as that is concerned. But Gujarat Metro, the propulsion that we are using is a mixture. So, the TCMS is something that we have acquired the transfer of technology from ABB, and the traction converter is something that we are buying from them.

Pranjal : Sure, sir. These were my questions. Thank you and all the best.

Umesh Chowdhary: Thank you so much.

Moderator: Thank you, ma'am. The next question is from the line of Parvez Qazi from Nuvama Group. Please go ahead.

Parvez Qazi: Hi, thanks for taking my follow -up question. Wanted to get your views on wagon tender

ing, both

from Indian railways and private sector, while obviously private sector, I mean, we have seen small size orders both from private sector and Indian railways , but do we expect any large size tender from Indian railways? And if yes, I mean, when do we expect that -- will it come in FY26 or there is a possibility that it may shift to FY27? Thank you.

Umesh Chowdhary: So, we are , Parvez, seeing a lot of small tenders being floated by the railways and by the private sector alike. And there is of late a good flow of enquiries and traction from various private sector customers or potential customers for wagons. As far as the large tender is concerned, this is something which is very difficult to predict. But based on our expectations and assessment, hoping that the tender should get issued by end of this financial year or beginning of next financial year. I would say more we hope that it should come towards the end of this financial year. But that is something which is only something which we can assume. And ultimately, this is a decision that follows many aspects or many considerations of the government.

Parvez Qazi: Sure, sir. Thank s.

Moderator: Ladies and gentlemen, due to interest of time, that was the last question. I now hand the conference over to Mr. Umesh Ch owdhary – Vice Chairman and Managing Director of T itagarh Rail Systems Limited for closing comment. Over to you, sir.

Umesh Chowdhary: Yes, thank you very much , and once again thank you everybody for joining this call, taking time out to ask so many relevant questions. As I mentioned in the beginning, this year and the next year are very important years for us, particularly because of the takeoff stage of the passenger rail system s business. These two years are going to see significant developments on the S BUs of the passenger rail system s. We have given in our press note the way we are developing this business, particular ly from being a pure manufacturing company, we are actually becoming a technology company. We
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have invested significantly on design and engineering and R&D, and we are continuing to do so and grow upon that investment s. This will be a paradigm shift in the future of the company, because in the two segments of the company, the freight rail segment and the passenger rail segment, while the freight rail segment is more, I mean, I could classify it is almost like an annuity business, because

the wagon demand, considering the GDP growth, etc. , barring few quarters here or there, like we had this quarter of wheel set challenges, there could be other challenges as we have faced in the past also. But, by and large, this is a steady business. But the real growth driver for the company on an overall basis will start coming in from the passenger rail segment, which if we compare simply the order book today, out of Rs.26,000 crore s order book, including our share of joint venture, the wagon business order book is just about Rs.4,000, 4,500 crore s, whereas that was the business that contributed to more than 90% of our revenue historically, or maybe 95% of our revenue historically. That extrapolated kind of gives us the confidence and the expectation to be able to completely change the trajectory of the company with the stabilizing of the passenger rail system s. So, thank you very much for the support, for the interest in the company , and look forward to future interactions.

Moderator: Thank you, sir. On behalf of T itagarh Rail Systems, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

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"Titagarh Rail Systems Limited Q2 FY '26 Earnings
Conference Call"

November 18 , 2025

MANAGEMENT : MR. UMESH CHOWDHARY – VICE CHAIRMAN AND
MANAGING DIRECTOR , TITAGARH RAIL SYSTEMS
LIMITED
MR. ANIL AGARWAL – DEPUTY MANAGING
DIRECTOR , TITAGARH RAIL SYSTEMS LIMITED
MR. PRITHISH CHOWDHARY – DEPUTY MANAGING
DIRECTOR , TITAGARH RAIL SYSTEMS LIMITED
MR. SAURAV SINGHANIA – CHIEF FINANCIAL
OFFICER , TITAGARH RAIL SYSTEMS LIMITED
MODERATOR : MS. PRACHI AMBRE – INVESTOR RELATIONS , MUFG
INTIME

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Moderator : Ladies and gentlemen, good day and welcome to T itagarh Rail Systems L imited Q2 FY '26
Earnings Conference Call.

As a reminder, all participant lines will be in listen -only mode, and there will be an opportunity
for you to ask questions after the presentation concludes. Should you need assistance during the
conference call, please signal an operator by pressing '*', then '0' on your touch -tone phone.

Please note that this conference is being recorded.

I now like to hand this conference over to Ms. Prachi Am bre from MUFG In time Investors
Relations team. Thank you and over to you , ma'am.

Prachi Ambre : Thank you . On behalf of T itagarh Rail Systems L imited , I extend a very warm welcome to all
the participants on Q2 and H1 FY '26 Financial Results Discussion Call.

Today , on the call we have Mr. Umesh Ch owdhary – Vice Chairman and Managing Director ;
Mr. Anil Agarwal - Deputy Managing Director ; Mr. Prit hish Ch owdhary - Deputy Managing
Director and Mr. S aurav Singhania - Chief Financial Officer to provide the operational and
financial insights.

Before we begin the call, I would like to give a short disclaimer. This call may contain some of
the forward -looking statements which are completely based upon our beliefs, expectations, and
opinions as of today. These uncertainties are not a guarantee of our future performance and
involve unforeseen risks and uncertainties.

With this, I would like to hand over the call to Mr. Umesh sir. Over to you, sir. Thank you.

Umesh Chowdhary : Thank you, Prachi. Good evening, everybody and thank you for joining the Q2 Earnings Call.
As you have already got the numbers , the new addition this time that has been given is the
strategic plan of the company, which for the first time we have been able to give a very clear
picture on the trajectory that the company is hoping to follow in terms of the manufacturing
system and t he other businesses that the company is in.

As regards the current quarter is concerned, as I had mentioned earlier also, one month of t his
quarter was impacted by the wheel set availability and then the wheel set availability, which was
primarily impacting the company for the last 2 or 3 quarters, has been resolved. We have started
getting normal wheel set s from the month of August 2025. Now , the wheel set availability is
normal and we are back to a run rate of around 800 wagons a month and we intend to continue
between 800 and 850 wagons per month going forward. We also believe that the wheel set

problem should be behind us as the joint venture of ours along with the Ramakrishna Forging to produce wheels in Chennai will get operational by Q1 of next financial year. So this should be a problem that has perennially been causing trouble to the industry, to the wagon industry. This should be a problem of the past.

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As far as the passenger rail business is concerned, we have got some very interesting new orders, two orders that we got from Mumbai for Mumbai Line 5 and Line 6 that build up the pipeline of the Metro Coach business up to FY '28. The visibility is there with the order book. And we have also given in the presentation a ramp-up plan of the different SBUs of the passenger rail system, which is the Metro SBU, the Vande Bharat and the Passenger Train SBU, as well as the Propulsion SBU. And we are fairly confident of being able to achieve the targets of all these SBUs that we have given.

So with those few introductory comments, I would be very happy to take any questions.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Parvez Qazi from Nuvama Group. Please go ahead.

Parvez Qazi : Hi. Good evening, sir. Thanks for taking my question. So a couple of questions from my side.

First, I think we have about 6 different orders in the passenger coach segment across Vande Bharat and the 5 different metro rail projects that we have. It would be great to hear your views on when can execution start on each of these individual fixed projects? And second is on the wagon business. It is great to hear that wheel set availability has now become normal and we have ramped up to our usual range. With regards to future, what is our view on wagon tendering, especially from the Indian railways? Thank you.

Umesh Chowdhary : Thank you, Parvez. So as far as the Metro or the passenger train rail segment is concerned, the sooner as you know we have already supplied, we have got the option that will be starting in 2 years' time. We have a delivery period of starting from 2 years to be ended in 2-1/2 years because that is an Aluminium coach and we have already received the machines for making the Aluminium coaches entirely in India. So the earlier contract that we had executed for Pune was executed by bringing in flat packs from Italy. But now we have set up the entire facility. The machines have come. They are under installation. They will be getting into production sometime in Q1 of FY '27. And we will be producing the entire car body of Aluminium for Pune in our plant in Uttarpara. As far as the Gujarat Metro is concerned, this quarter, that is Q3 of the current financial year, we will deliver the prototype. And then the production will ramp up in the manner that is envisaged in the contract, so between 2 and 3 trains per month, going up to 3 trains per month. And we have given the overall numbers of coaches, which includes the Gujarat as well as the Bangalore that we intend to be able to deliver this year, which is between 100-120 cars, which is almost 8-10 fold jump over the number of cars that we delivered last year, which will again almost double next year. So it is a huge ramp up that we are going to witness. As far as Mumbai is concerned, the first train should go somewhere in Q3 of next Financial Year, Q3 or Q4 of next Financial Year and then it will get ramped up. For Vande Bharat, again, we are intending to deliver the first train, the Vande Bharat Sleeper, the first car body is already made. And we are intending to deliver the first train in Q3 of the next Financial Year. So that is how the ramp up will happen in all the passenger orders that we have. As far as the freight wagon is concerned, we have an order of about 9,000 wagons. So that gives us visibility for the next around 4 quarters. We are considering the overall demand forecast and the traffic forecast that

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targets that the railways have. We are hopeful that the tender should come out by Q1 of the coming Financial Year. So we will have enough time to switch over or complete the existing contracts and then get on to the new contracts.

Parvez Qazi : Thank you, sir. I will come back in the queue for more questions.

Umesh Chowdhary : Thank you.

Moderator : Thank you. The next question is from the line of Amay Sharda from Purnatha Investment Advisors. Please go ahead.

Amay Sharda : Hi, sir. Thank you for the opportunity. I just wanted to ask, can you share the number, like how many wagons did we send out in the September month, last month of Q2?

Umesh Chowdhary : I am sorry, I didn't get your question. Can you repeat your question?

Amay Sharda : So sir, in Q2, last month, like September, how many wagons did we produce, freight wagons?

Umesh Chowdhary : We do not give monthly figures, Mr. Sharda. We can only give you the quarterly numbers. We have disclosed the quarterly dispatch of wagons in our presentation, which is 1,872 wagons during Q2 of FY '26.

Amay Sharda : So just like and that has normalized now and we will do 800 -850 going forward, right?

Umesh Chowdhary : Yes, on an average, yes,

approximately 800 wagons we should consider for the plans of execution, although our capacity is 1,000 wagons, but in order to wait for the new tenders to come in and till that time to have an even workflow, we are planning to do between 800 -850 wagons.

Amay Sharda : And sir, next question was regarding the Line 5 and Line 6 Mumbai Metro order that we received. So like, can you bifurcate how much is the AMC value and how much is the value for just the delivery of wagons?

Umesh Chowdhary : So approximately , 15% is the AMC value and the balance is the supply value.

Amay Sharda : 15% is AMC. And sir, one last question was regarding the tax rate ?

Umesh Chowdhary : AMC is approximately 3% per year. That is the normal trend of Metro. In the case of Vande Bharat, it is 4% per year.

Amay Sharda : Got it. Last question was regarding the tax rate for this quarter. I think the tax rate was a little high. So any reason for that or will it get normalized going forward?

Umesh Chowdhary : I will request the CFO to answer.

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Saurav Singhania : So yes, the tax rate was approximately 26 point something percentage, but it is the effect of certain transactions when it happens during the quarter, but it will normalize over the year. It will come down to almost like 25.5, which has been the standard rate for us.

Amay Sharda : Sure. Thank you so much. That is it from my side.

Umesh Chowdhary : Yes. Thank you.

Moderator : Thank you. The next question is from the line of Archit Agrawal from Step trade Capital. Please go ahead.

Archit Agrawal : Hello. Sir, you have given the guidance for 1,000 purchases per year for FY '26, right?

Umesh Chowdhary : Can you please pick up the receiver and speaker? There is some disturbance on the line.

Archit Agrawal : Hello. Sir, I think there is some network issue. Am I audible?

Umesh Chowdhary : Yes, go ahead.

Archit Agrawal : Sir, question is with regard to that guidance of the 1,000 coaches . So sir, is it still doable or not? And what is the progress? So when we look at this 6 months, so can you throw some light on the first half number out of that 1,000 coaches guidance?

Umesh Chowdhary : We have not given any guidance for 1,000 coaches , sir. We have given guidance for between 100-120 car coaches in this financial year. And we are well on track to be able to achieve that. We have given this, released this guidance. So definitely, we were not able to achieve that.

Archit Agrawal : When we look at quarter 1 guidance, so it shows 1,000 coaches or wagons per month, right? That is the run rate for entire FY '26 ?

Umesh Chowdhary : I think you are mixing up between the wagons and the coaches . Sir, wagons, there are two segments that the company operates in , the freight segment and the passenger segment. The capacity that we have for the freight segment is 1,000 wagons per month, which has been impacted due to the wheel set problem. Now that the wheel set problem has been resolved, we have a capacity to do 1,000 wagons. But to even out till the new tender is published and finalized by the railway, the company wants to do between 800 -850 wagons, in order to even out the workload in anticipation of the new tender. As far as the passenger coaches is concerned, Metro coaches is concerned, we have given a guidance that this year we will do between 100 -120 cars and we are well on track to be able to do that.

Archit Agrawal : So sir, for this freight wagon, can we say for the second half, it will be 6,000 or 5,000?

Umesh Chowdhary : I just mentioned it is going to be 800 -850 wagons per month, sir.

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Archit Agrawal : Understood. Thank you.

Moderator : Thank you. Next question is from the line of Pranjal Jain from Morgan Stanley. Please go ahead.

Pranjal Jain : Yes. Thanks for the opportunity.

Sir, I have two questions. One is, I wanted to kind of understand in terms of execution risk, while you kind of elaborated on the freight side, but wanted to see if there are any execution risks that you foresee on the passenger side or any supply chain issues that one can kind of foresee in the near future?

Umesh Chowdhary : Yes, Pranjal. So thank you. We have already factored those in. We have been in this business for a while now. We started making Passenger coaches or Metro coaches in 2021 in the Uttarpara factory. And the reason why we have, for the first time, put out the ramp up and standardize our production setup. And we are confident of being able to achieve the ramp up run rate that we

have given in our presentation. In terms of supply chain problems in our industry, supply chain problems is almost like goes hand in hand with existence. So we will continue to have that problem somewhere or the other, and the bottleneck keeps on shifting. So that is exactly where we have been prepared for and we have geared ourselves up for to be able to address all these issues as they come along. I would also like to state that one thing that we have now taken up and to a great extent has been implemented and balance will be implemented within this Financial Year is a lot of backward integration in terms of making of these coaches. So all supply chain that we were dependent on for making car bodies within this financial year, in March this year, we will have almost entirely, 100% will be in-house with us. So that we will address a great deal of supply chain technologically and facility-wise, process-wise, approval-wise, order-wise, we are all geared up.

Pranjal Jain : Sure, sir. And secondly, if you could kind of elaborate a bit more on the shipbuilding and what are the prospects and what kind of addressable market did you see? These will be my questions. Thank you.

Umesh Chowdhary : I am sorry, I just lost your question. You said on the shipbuilding, what is the question?

Pranjal Jain : On shipbuilding, if you can elaborate, what kind of segments are we targeting? What is the addressable market? Which are the key capabilities that we are kind of targeting towards?

Umesh Chowdhary : So as far as the shipbuilding is concerned, over the last few years, we have delivered more than 35 vessels to the Indian Navy, to the Coast Guard, to the National Institute of Ocean Technology, to GRSE. We have also exported a vessel to Guyana. So we have developed a great deal of capability over the last 5-7 years that we have been in this business. And now, in line with the government's policy, where the Government of India has decided that India must be Atmanirbhar also on the shipbuilding side, the industry is being given a great deal of emphasis. So we have kind of been able to leverage upon all these expertise, the qualifications that we had in the past to be able to grow this business. So we will concentrate only on the specialized shipyards, apart from some very few bulk ships, which we can consider from time to time. But primarily, our
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focus is going to be on specialized vessels. We will focus on vessels which are between 100-150 meters or 160 meters in length. And the yard that we are building in the South of Bengal, in Falta, where we have already got a jetty as well, a concrete jetty. And we had acquired this land by way of acquiring a company, or land from a company called Precision Shipyards. And so, with this, we will be able to have a capacity of doing around 16-18 vessels per year and we are already a naval-approved shipyard. So we are also working on enhancing the type of vessels that we can deliver to the Indian Navy. And in our presentation also, we have given some of the vessels that we have manufactured in the past.

Pranjal Jain : Thank you. That is it from my side

Moderator : Thank you. The next question is from the line of Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian : Good evening, sir. Thank you so much for the opportunity. Sir, you have mentioned 120 cars by the end of the year on the passenger coach's side. And whether you are completely ready with in terms of supply chain for specialized components, labor skilling, and like everything is ready for the execution side, I just want to understand. And by its need also higher working capital side, how you are going to manage those?

Moderator : Just a moment. Ladies and gentlemen, the management line has been disconnected. I will quickly get connected. Thank you. Ladies and gentlemen, the management line has been connected. Sir, please go ahead.

Umesh Chowdhary : There was a network problem and we lost the connection. So I was mentioning about the ramp-up that we are fully confident. And that is the reason we have given a complete roadmap of the ramp-up that we will have not only for the current year, but for the coming few years. And also how we are backed up with confirmed order books for the Metro Coach up to FY '28 and for the Vande Bharat up to FY '31. As far as the working capital is concerned, the company has sufficient working capital limits, which is unutilized. And we are very comfortable in terms of the working capital management.

Balasubramanian : Sir, Firema is currently facing challenges. And what is the revised international strategy? Are there plans to bid our international Metro or train contracts using the Indian manufacturing base? And we have in-house design capabilities also. And what we are going to do in Firema, whether we are going to exit or is there any final solution that may be in a short period of time?

Umesh Chowdhary : So as far as Firema is concerned, there were multiple objectives for the investment into Firema. The primary one of them was to be able to set up the facility in India with the transfer of technology, know-how and credentials. Titagarh has already been able to do that. Now, we are a leading manufacturer of coaches, perhaps with the largest order book for passenger coaches in India. Today, our order book, including both Metro and Vande Bharat, is larger than what other

even foreign companies or Indian companies in India have. And that has been possible because
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of the initial support that we had got from Firema. Now, that strategy is fully achieved and accomplished. And we had mentioned that the operational requirement and the capital requirement of Firema that is required. It is a joint venture between us and the government of Italy. The government of Italy owns a little above 30% in that. So we are in discussion with them to dilute ourselves substantially and let one of the arms of the Government take control of that company. As regards the international strategy is concerned, the international strategy of Titagarh would continue to export, not to manufacture in Europe or other countries. And we will continue to pursue our endeavor to export products from India either to Firema or to other customers. But currently, the overall market and the order pipeline in India is very robust. So we are focusing primarily on the Indian market and developing additional capabilities and competencies like the Aluminium coach line. Because in most of these developed countries, Europe, etc., the coaches that they buy is of Aluminium and not of stainless steel. So over a period of time, we will re-enter in a significant manner the international market and start exporting coaches. But for the time being, we are not looking at manufacturing presence outside India.

Balasubramanian : Sir, on that vessel business, we have 14 -16 vessels per annum on the capacity side. And what is the average realization per vessel and what upcoming deliveries

are there? And what kind of

order book we have right now? And what kind of enquiry pipelines we are witnessing?

Umesh Chowdhary : Are we talking about the passenger side of Indian company?

Balasubramanian : Vessel, sir. Ship.

Umesh Chowdhary : I am sorry. So ship building, we have already declared. We have about Rs. 500 odd crore order book. And we have a very healthy pipeline of enquiries. We have been seeing a lot of announcements from various ministries about their requirement of vessels. That will be in the coming years we met from Indian shipyards. So we are seeing a very healthy pipeline. So we cannot disclose any of these till they are matured. Because we do not like to for both competitive reasons and for propriety reasons, we do not want to be announcing any one of them in haste. But as they develop and they become mature, we will definitely come back and announce that.

Balasubramanian : Thank you.

Moderator : Thank you. The next question is from the line of Amitoj Singh from B &K Securities. Please go ahead.

Amitoj Singh : Thank you so much, sir, for taking my question. I had one question on the service side. I think I missed that in the early part of the call. How much portion of the Mumbai Metro, both lines 5 and 6, are service contracts?

Umesh Chowdhary : Yes, sir. It is 15%. 15% is service and 85% is the supply.

Amitoj Singh : Is the supply part. And when is scheduled to be started after the first delivery?

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Umesh Chowdhary : There is a 2-year warranty. Unlike Vande Bharat, where the service contract starts immediately after delivery. In the case of Mumbai Metro, after the warranty period, there is a 2-year warranty and then there is the AMC contract that comes in.

Amitoj Singh : Got it, sir. And sir, just wanted to ask you, what is the scope that you see in these service contracts? And any guidance on how much margin we make on this contract?

Umesh Chowdhary : Service is traditionally a high margin business. And the overall trend of the market is to go for comprehensive contracts, which means supply plus servicing. We have seen that in Vande Bharat, where the contract was placed with a supply with 35 -year AMC. We have seen this in Mumbai, where it is supply plus 5 -year. And we believe that it may be also extended beyond 5 years. We are seeing that in other tenders that are coming out now. So we believe that this is something which is going to be the order of the day. And obviously, globally, the service business is always a much better margin business. And depending on the type of the product and the age of the product, this can give anything between 20 %-30% EBITDA levels.

Amitoj Singh : Got it, sir. And my next question was on the propulsion system side of the business. I think earlier we had mentioned that we were focused on completely backward integrating traction motors, considering we had a partnership with ABB a round that. So how has that been ventured out?

Umesh Chowdhary : So we have given that also in our strategic plan. If you see the strategic plan and outlook speaks specifically of the propulsion system as a separate SBU. And there we have also explained how the propulsion system is going to be an SBU that will take care of our internal requirements, but also going to be selling components to the Indian railways and to others. Traction motors, we

are already selling substantial traction motors to the Indian railway. We have been doing that. This quarter, we will start our first propulsion system supplies also for EMU menu. The TCMS is something that we have taken a complete transfer of technology from ABB, with whom we have a TOT agreement. So in this manner, the component part, the cabinet cubicle, now we are completely 100% doing it already for our existing Metro. So all the items that we are doing as far as the propulsion system, elect

rical and components . Over a period of the next couple of years, we are intending to do introducing our own propulsion. Maybe it will take 2-3 years because there is an eligibility that one has to go through. So between 2-3 years ' time, we will be able to do our own propulsion for our Metro coaches also.

Amtoj Singh : Got it, sir. Thank you so much. That was it from my side.

Umesh Chowdhary : Thank you.

Moderator : Thank you. The next question is from the line of Sahil Kanade from Asian Market Securities. Please go ahead.

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Sahil Kanade : Hello. Thank you for the opportunity. My question is on rate order book. What proportion of your current rate order book is linked to replacement versus new demand? And how do you see this evolving over the next few years?

Umesh Chowdhary : So one is that as I have mentioned that we have an order book, which is giving us the visibility for the next 4 quarters or so. As far as the new wagon order is concerned, today Indian Railway is moving about 1.6 billion tons of traffic. And the stated target of the railways is to move 3 billion tons by 2030. Considering that the wagons get replaced in between 25 -30 years, depending on the time when the wagons were added, because the older wagons had a shorter life than the newer ones, we believe that the wagon demand should continue to remain healthy. And therefore, that gives us the optimism that the new tender should come out somewhere in the beginning of the next Financial Year .

Sahil Kanade : Thank you.

Moderator : Thank you. The next question is from the line of Disha from Sapphire Capital. Please go ahead.

Disha: Yes. Firstly, thanks a lot for the opportunity. So sir, my question was on the PR S segment side.

So initially we had mentioned like the EBITDA margins will be hitting around 8 %-9%. And then as volumes start kicking in, we will be able to reach the 11 %-12% margin level. So what is like the sort of monthly run rate of coaches that we have to achieve in order to reach this 11 %-12% margin level?

Umesh Chowdhary : Yes, ma'am. So we believe that when we are able to , so the break -even point or the cut -off point to be able to get to this operating leverage is approximately 150 -200 coaches a year, where we should be able to reach the run rate from Q4 this year.

Disha: That we are expecting to reach from this quarter 4, right?

Umesh Chowdhary : The Q4, we will be able to reach the run rate of 150 -200 cars per year.

Disha: All right. Understood. The second question was on the shipbuilding side. So I understand like it is at a very nascent stage. So it will take some time to ramp up. But like, say, 3-4 years down the line, what is the sort of revenue potential we see from this side? And also, how is the margin profile?

Umesh Chowdhary : So ma'am, the shipbuilding, as we have given in our presentation, the capacity that we are planning is for 15 -18 vessels per year. And each vessel, depending on the intricacy of the vessel and the nature of the vessel, sells anything between Rs. 100-Rs. 250 crores per vessel. So that is the kind of the addressable market that we are targeting. And we believe that the kind of market size is very large, considering the focus of the government of discouraging import and Make In India self -reliant and self -sufficient in the shipbuilding. And normally, since we are going to be in the specialized shipbuilding sector if the industry gives about 15 %-17% EBITDA margin.

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Disha: 15%-17% EBITDA margin?

Umesh Chowdhary : Yes. But as you very correctly said yourself, it is a very nascent stage of the ramp up of this business. And things are still developing. But we are hopeful and we are confident of being able to get to these numbers.

Disha: Alright. That is great to know. Thank you so mu

ch, sir. That is it from my side.

Umesh Chowdhary : Thank you.

Moderator : Thank you. The next question is from the line of Deepak from S VAN Investments. Please go ahead.

Deepak : Yes. Hi. Good evening, sir. I just wanted to check it out on this passenger side of the business. We have given the production target of 200 and then scaling up to 300 for the Metros. And then, Vande Bharat production is also scaling up from 32 to 192 in FY '28. In the PRA segment, we already mentioned that we are looking at 12 % kind of margin by Q4. If you can also give the broader sense, once this Vande Bharat also comes into the picture when the production for this is, what kind of blended margin we would be looking at?

Umesh Chowdhary : So as I mentioned earlier also in the earlier call, that Metro when we do our own propulsion, then we are looking at an increase of EBITDA margin by at least 4 %-5%. Till that time, we are looking at both Vande Bharat and Metro at a margin profile of around 11 %-12%. And the propulsion is a slightly higher margin business where we can target anything between 15 %-20% of margin. And the service is another business, which is a higher margin business where we can look at an EBITDA of between 20 %-25%. So if you look at the overall passenger rail segment, it is divided into these 4 SBUs as we have given out or laid it down in our strategic plan also and each one of the SBUs has its own margin profile. And we have tried to explain how each one of the SBU is likely to ramp up in the period to come.

Deepak : And then, sir, either on the SBU side, what would be the kind of margin we are looking out for the Vande Bharat or what is the blended margin we are looking out for all the SBUs together?

Umesh Chowdhary : I just gave you the numbers, sir. 11 %-12%.

Deepak : Thank you and wish you all the best.

Umesh Chowdhary : Thank you so much.

Moderator : Thank you. The next question is from the line of Ashish Shah from HDFC Mutual Fund. Please go ahead.

Ashish Shah : Yes. Thanks for the opportunity. Sir, want to maybe dwell a little bit more.

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Umesh Chowdhary : Sir, your voice is very feeble.

Ashish Shah : Yes. Just one second. Better now?

Umesh Chowdhary : Yes. Much better.

Ashish Shah : Yes. Sir, I just wanted to dwell a bit more on the shipbuilding side. So what type of vessels are we talking about when we are saying 15 -18 vessels a year, typically, what would be these vessels? And also, the other related subject also is that what will it take for us to be able to really be able to manufacture this? Is there going to be a substantial amount of CAPEX or a capability buildup or a technology tie-up? So if you can just maybe dwell a little bit on that?

Umesh Chowdhary : Sure. Absolutely. So as we have explained that we are looking at doing this in a separate vehicle with strategic / financial partner and this company, we would like to grow and develop on its own. The parent company, which is Titagarh Rail System, does not want to keep this as a part of Titagarh Rail System because of the opportunity size being so high as we have expressed in the strategic plan and outlook. The existing order book between the different businesses is close to Rs. 30,000 crores, Rs. 28,000-Rs. 29,000 crores today. And the new tenders that are there in the market or likely to be there in the market is also very large. So we believe that there are 3 business segments in the company which the company has nurtured, the company has developed. The primary business is the railway system business that would continue to be in the Titagarh Railway System umbrella. The other one is the marine or the shipbuilding side which is being spun off to Titagarh Naval Systems wherein we will induce about Rs. 50 crores of capital from the company. And this company can then raise its own capital debt, etc., to

to build up the capability

and the capacity. And the third for which the board has constituted a committee to evaluate is the defense and bridge segment where the order book today is very small. It is almost insignificant, less than Rs. 40 crores. But there does lie a very large opportunity in this segment because again here the company has in the past done a number of marquee projects for the Indian Defense Forces including some strategic equipments like nuclear, biological and chemical warfare shelters, launching systems, etc. So this is something that is being evaluated. But the idea would be then again to see how all the 3 businesses can be grown but grown independently without dependence or interdependence on one another. As regard the kind of vessels that we are looking at doing in the shipbuilding, it is primarily as I said naval vessels or research vessels and some specialized vessels for the general maritime systems. We have done fast patrol vessels, we have done diving support craft which is the first time diving support craft has been manufactured, designed and manufactured in India. So vessels like these that is being targeted by us to be done in our shipyard.

Ashish Shah : Right sir. Sir, in the Mumbai Metro project you said that by 3Q or 4Q of FY '27 is when the first delivery starts, the first train will get delivered. This is for both the packages or only the Line 5 that we were talking about?

Umesh Chowdhary : I am sorry, I lost your voice. Can you repeat your question?

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Ashish Shah : I am saying sir that we have 2 new orders from Mumbai Metro, the Line 5 and Line 6. Now , the 3Q or 4Q FY '27 timeline that you gave for the commencement of the delivery that is for both the Lines or that is for maybe one of the Lines?

Umesh Chowdhary : Sure, the delivery schedule for Line 6 is before Line 5 , but the vehicles are going to be quite similar to each other. So we will adjust the delivery of the Lines based on the customer requirement as such because there is not much of a difference between the Metro coaches for both the lines. But since we had got the contract of the Line 6 before Line 5, there is a headway or earlier delivery for Line 6 by about 4 -6 weeks, something like that, maybe 8 weeks.

Ashish Shah : Right, so it starts , let us say , end of by 3Q or 4Q of FY '27 and over what period the entire delivery has to be done?

Umesh Chowdhary : And I am speaking from just memory here, so barring some errors, it will be completed in about a year and a half or so from the day it starts. Between year and a half or 2, 18-24 months.

Ashish Shah : Alright, sir. That is all. Thank you.

Moderator : Thank you. The next participant is from the line of Sandeep Mukherjee from SKP Securities Limited. Please go ahead.

Sandeep Mukherjee : Yes, sir. Thanks for taking my question. Can you throw some color on what adjacencies we are looking forward in the vehicle leasing business?

Umesh Chowdhary : I am sorry, what? Can you repeat your question , please?

Sandeep Mukherjee : Yes, sir. Sir, what adjacencies we are looking forward in the vehicle leasing business? Like we have applied for the license for the vehicle leasing?

Umesh Chowdhary : I didn't get your question. What adjacencies in the sense? I am sorry, I didn't understand.

Sandeep Mukherjee : Sir, we have applied for the vehicle leasing license ?

Umesh Chowdhary : Yes, that is right.

Sandeep Mukherjee : So what adjacencies we should look forward in this business, sir?

Umesh Chowdhary : I will answer it. Your question is what is this? So basically the private sector wagon demand which has been there has been primarily or I would say to a great extent, many of the customers are looking at wagons on long -term lease models. And in order to be able to offer or capture that part of the market or have more effective private sector demand

, we have taken a wagon leasing

license. We also believe that there have been newspaper reports that maintenance of wagon is going to be permitted to the leasing companies of wagons or the wagons that are given on lease can be maintained by the owner of the wagon which are the leasing companies. We believe that Titagarh Rail Systems Limited

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is a very interesting business to be in. So in order to be able to enhance the market share in the private sector business and also keep the options for maintenance of wagons open with us, we had the experience or we made the qualification license to get to the license thanks to leasing transaction that the company had done in the past for wagons to the Indian Railways. So we have applied and we are hopeful of getting this license soon.

Sandeep Mukherjee : Thank you, sir.

Moderator : Thank you. Ladies and gentlemen, in the interest of the time, this is the last question. And I now hand over the conference to Mr. Umesh Chowdhary for closing comments.

Umesh Chowdhary : Thank you . And thank you for a very interesting set of questions. I would only like to close by once again drawing attention to the strategic plan and the outlook document that the company has presented which gives a complete roadmap of how the company is likely to develop and the trajectory of how the company is going to make a tectonic shift from being predominantly a freight company to a passenger train and Metro coach and a high -value -added commodity manufacturing company and how the strategic joint ventures that the company has is likely to benefit both strategically and financially , the overall size and the balance sheet of the company in the years to come. So thank you once again for all the support and thank you for joining this call today.

Moderator : Thank you. On behalf of Titagarh Rail Systems Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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"Titagarh Rail Systems Limited
Q3 FY '26 Earnings Conference Call "
February 16, 2026

MANAGEMENT : MR. UMESH CHOWDHARY – VICE CHAIRMAN AND
MANAGING DIRECTOR – TITAGARH RAIL SYSTEMS
LIMITED
MR. ANIL AGARWAL – DEPUTY MANAGING DIRECTOR
– TITAGARH RAIL SYSTEMS LIMITED
MR. PRITHISH CHOWDHARY – DEPUTY MANAGING
DIRECTOR – TITAGARH RAIL SYSTEMS LIMITED
MR. SAURAV SINGHANIA – CHIEF FINANCIAL OFFICER
– TITAGARH RAIL SYSTEMS LIMITED

MODERATOR : MS. PRACHI AMBRE – MUFG INTIME

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Moderator: Ladies and gentlemen, good day, and welcome to the Titagarh Rail Systems Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Prachi Ambre from MUFG Intime Investor Relations team. Thank you, and over to you, ma'am.

Prachi Ambre: Thank you, Anushka. On behalf of Titagarh Rail Systems Limited, I extend a very warm welcome to all the participants on Q3 and 9 months FY '26 financial results discussion call. Today on the call, we have Mr. Umesh Chowdhary, Vice Chairman and Managing Director; Mr. Anil Agarwal, Deputy Managing Director; Mr. Prithish Chowdhary, Deputy Managing Director; and Mr. Saurav Singhania, Chief Financial Officer, to provide the operational and financial insights.

Before we begin the call, I would like to give a short disclaimer. This call may contain some of the forward-looking statements, which are completely based upon our beliefs, expectations and opinions as of today. These uncertainties are not a guarantee of our future performance and involve unforeseen risks and uncertainties.

With this, I would like to hand over the call to Mr. Umesh sir for his opening remarks. Thank you.

Umesh Chowdhary: Thank you, Prachi, and very good afternoon, everybody, and thank you for joining the Q3 FY '26 Earnings Call. Before I get into the questions, which I'd be very happy to answer along with my team, I would just like to give you certain perspective highlights of the quarter. The quarter in terms of the 2 businesses of the company, the Freight Rail Systems and the Passenger Rail Systems.

The Freight Rail Systems, if you see on a year-on-year basis, as the overall revenue has been muted from INR800 crores to around INR600-odd crores has been the overall revenue for the Freight Rail Systems. This was primarily because of the wheel set problem that was sorted out, but has been a little bit of a seesaw in the sense in the last month of the quarter, again, there was a problem of the wheel set. So overall industry production has been impacted ...

Moderator: It seems like the line for the management has been disconnected. Please stay connected till I rejoin the management. Thank you for waiting patiently, the management's line has been connected. Sir, you may proceed.

Umesh Chowdhary: My deep apologies, the line got disconnected. So I was mentioning about the overall situation on the Freight Rail Systems. In the Q3, again, there was a little bit of a seesaw on the wheel set

and supply chain of the freight business. Overall industry performance has been impacted, and we were no exceptions.

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There was a type-wise mismatch between the 840 dia wheel and the 1,000 dia wheel between production and requirement of the industry. Of course, it has again normalized from the current quarter, but this is a bit of a seesaw which is going on.

And we see that going forward, by March, we are expecting to start trial production of our joint venture for the wheel sets. And maybe in another quarter or so or a couple of quarters, our internal wheel sets is going to get fully available to us. So we should not have problems on wheel sets.

But having said that, now the wheel set production has again normalized. And for the private wagon, we have also started importing some of the wheel sets. So we should be able to recover to an extent the lost production of the last quarter.

The silver lining for the quarter has been that the Passenger Rail Systems

business, which constitutes on

a stand alone basis at almost 75 %-plus of our order book has shown a huge jump. We have grown our revenue from INR40-odd crores to INR160-odd crores. And the EBITDA has also jumped from about less than INR5 crores to about INR22 crores, which is very reflective of our strategy of growing the passenger business. We are continuing to ensure that we stabilize and grow this business.

And going forward, maybe in about a year or 2 years' time, we clearly see that the passenger business will be the dominating part dominant part of our overall business between the two , which is the passenger and the rail and which is quite well supported not only by the order book, but also the tailwind in the industry.

Some of the highlights of the quarter, we were able to flag off the first train for Ahmedabad Metro by the Honourable Chief Minister of Gujarat, who visited our plant to flag off this rake, very well received.

Now the series production of Ahmedabad Metro has started. The other highlight of the quarter is we have been awarded the wagon leasing license. So this will further strengthen our presence in the private sector wagon market. So we'll be able to offer wagons on lease to some of the important customers.

This also would mean that we would be able to make an entry into the wagon maintenance market which effectively would be, as we understand based on our interactions and based on the reports that will be initially open for the private wagons, which are offered on lease or owned by the private customers. So in this case, through the leasing license, we will be able to own and maintain the wagons as well.

The demerger of the shipbuilding business has been completed, and we have we had already announced the order that we received for the Coastal Research Vessel. But that business is picking up very well, and we expect that although it's a 100% subsidiary now, but that business is going to pick up very well, and there is a lot of tailwind available in that business.

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And the first propulsion set for EMU has also been approved by RDSO and the company has an order book of about close to INR500 crores on propulsion, and this also is going to start kicking in into the revenue from FY '27 onwards.

The other highlight that I would be happy to share is the agreement that we signed with ABB.

As we had reported a couple of years ago, we had signed an agreement with ABB to get the transfer of technology for the 750 kVA TCMS system, which has been used in the Gujarat Metro.

This agreement further expands and gives us the transfer of technology for the 25 kVA.

There are only 2 type of metros that operate in India, which will complete our ownership range of the TCMS. So this is another very important building block in our overall business, which we are being able to complete. So that the idea is that on the Passenger Rail Systems business, like we did in the past for the Freight Rail Systems business , we should be very integrated.

We should have a complete grip over the value chain right from the critical components up to the service. So this gives us a big leverage on having a grip over the value chain. This also includes that we will be producing some of the traction motors and traction converters in our own plant.

We already have the production setup where we are producing the traction motors for the locomotives and also for the EMUs, which I mentioned a little while ago, but this will also have a transfer of manufacturing from ABB for their production standards and production technologies for the traction converter and traction motor for the metro business. The last but not the least is that the aluminium metro line is being established. The project is already on way, and we should be able to complete it by Q2 of FY '27. This line will then earlier, we used to get

flat packs or subassemblies from Europe and then do the final metro coach manufacturing assembly in India.

But this again will give us a backward integration, and we'll be able to manufacture end-to-end aluminium metro coaches right from the raw material or extrusions upwards to the complete metro coach. This would also enable us to make car bodies and the coaches for aluminium coaches for high-speed or semi high-speed trains, and we are preparing ourselves for the massive investment that the Government of India has announced under the high-speed network. And the idea is to also use this line to further expand and progress ourselves to be able to do high-speed trains in the future.

So this is overall picture, and then I'm happy to take any questions that may be there. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. We take the first question from the line of Balasubramanian from Arihant Capital Markets Limited. Please go ahead.

Balasubramanian: Sir, my first question, in passenger coaches side, we have seen significant improvement on the execution side. In this quarter, we did nearly 18 metro cars compared to last Q3 around 3 metro cars. Titagarh Rail Systems Limited
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cars. Overall, in this 9 months FY '26, we did 39 metro cars, but we have guided 100 to 120 metro cars as our aspirational target by FY '26?

So I'm trying to understand whether in Q4, we can make it 20, 25 additional metros, we can end up 60, 65 kind of range. And if you could share more details because we are running multiple projects, running concurrently, especially Pune aluminium, Gujarat, Mumbai, Bangalore and Vande Bharat. So could you please share a detailed time line of the production ramp-up of each major program?

Umesh Chowdhary: Sure, absolutely. Thank you for your question. Now let me explain this to you that the target that we had set for ourselves this quarter this year was between 100 to 120 cars. And there is a significant improvement that we have made, as you have already noted.

And we may not be able to get to 100 or 120, but we'll be pretty close to that, which in itself will be a very can I request to go on mute, please, because I'm listening to myself. Yes. There will be a significant improvement that we will see in the Q4. We have already started ramping up. In January, we were much higher than what we were in December, and we are looking at continuing the trend in February and March as well.

As far as the Pune is concerned, Pune is an aluminium metro coach. And as I mentioned that the production of that will start only after completion of the project or the line that we are setting up for the aluminium coach, which will be somewhere in Q3 of this the car body production will start in Q3 or Q4 of this financial year of the coming financial year.

And Vande Bharat production has already started. We expect by the end of this financial year, that is March 2026, to be able to complete the car bodies of the first rake, which is 16 cars. We are already in production, which will be again a milestone. And the first train is likely to be ready in the Q3 of this financial of the coming financial year, I'm sorry.

Balasubramanian: Sir, the Gujarat, Mumbai and Bangalore, that update?

Umesh Chowdhary: Bangalore is continuously being executed, and Gujarat now has started execution. And Mumbai will start execution from Q3 of the next financial year.

Balasubramanian: Okay, sir. Sir, my next question, I think we have received approval for wagon leasing company. So I'm trying to understand like what is the initial fleet size target? And what is the expected leasing yield on wagons under this scheme? And whether this will be the asset-heavy model requiring significant debt funding? Or is there any different capital structure? And like how do you look at in this business in terms of revenue

and margins over the next 3 to 5 years?

Umesh Chowdhary: So this is a business which will be a part of our existing company itself. And we are looking at this as expanding our offering to the customer. Primary business would continue to remain sale of or offering of wagons. This is only an enabler to increase our market share in the private sector wagon business.

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As far as the other details that you have mentioned, this will be blended along with our overall margin, and we'll not be looking at it as a separate business in the sense of buying wagons and then leasing them. This is only an extension for our own product offering and maybe a stronger bridge between us and our potential customers existing and potential customers.

Balasubramanian: Okay, sir. Sir, my last question, defence and bridges order book nearly INR38 crores. So I'm trying to understand what kind of order book is this? And like how do you take this business over the next 3 to 5 years, whether we have opportunities of INR500 -plus crores kind of revenue maybe next 3 to 5 years? What kind of opportunity size we have? And secondly, Titagarh Naval Systems Limited, are you planning to list separately once it reaches on sizable scale?

Umesh Chowdhary: As far as the defence is concerned, we have already announced that this is something which is under evaluation of a Board committee. And we will then, at an appropriate stage, once the Board has decided on the way forward, we would definitely announce that to the market. And for the Titagarh Naval Systems, also we had already I had already mentioned in the interactions over media and otherwise, we are going to build this business.

And yes, the idea would be to separately list this company at an appropriate stage. When that will happen, the timing is something which is not yet clear, but we will definitely build the business before we take that step.

Balasubramanian: Sir, you can also elaborate more specific opportunities on Defence and Bridges segment side ?

Umesh Chowdhary: I already mentioned, sir, that we it is a Board -level committee, which has been constituted. And once the deliberation is finalized and once we have a clear approval of the Board, we will definitely announce that to the market.

Moderator: We take the next question from the line of Aniket Madhwani from Steprade Capital.

Aniket Madhwani: So my question was with regards to the new facility for components. So when it will be commissioned and in the line for backward integration you are planning?

Umesh Chowdhary: So it is already going on, sir, both the expansion in terms of the aluminium that I mentioned, the backward integration for all the car body components and also the test track, which is going to be a big game changer for us, even for our ambitions to get into the high speed or the bullet train segment, the 1.6 kilometre test track. So all of that work is going on at full pace, and we expect all of these projects to be completed in the first half of the next financial year.

Aniket Madhwani: First half of the next financial year. Okay. And the orders from Vande Bharat will contribute from next financial year or you're expecting some of these to start by this quarter?

Umesh Chowdhary: No. Some of them the dispatches will start only next financial year, but the production has already started. As I mentioned, that we would have completed the car bodies almost completed the entire car bodies for the first rake within this financial year. So to that extent, being a percentage of completion accounting, some revenue will likely flow in this quarter as well in this year itself also.

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Aniket Madhwani: And as you mentioned, the bills shortages are now normalized. So can we expect to see a significant jump in top line as we

Il as bottom line considering the low base effect due to these separately?

Umesh Chowdhary: So we would not like to give a forward -looking statement. But definitely, you see the capacity of the wagon as far as Freight Rail Systems is concerned. The company is not limited by capacity. We have proven ourselves to and we have set the backward facility also, the foundry facility to be able to produce 1,000 wagons a month. The only constraining factor is the wheel set. And of course, then now we are hoping that the future orders or future tenders come in, which we hope should come out in the early part of next financial year.

I had mentioned that we are having workload till about first half of the next financial year. But beyond that, we are hoping the new tenders to come in. And on the new tenders, I may I'm sure that this question would also come up, so maybe I'll answer it in advance. The railways target of achieving the 3 billion tons of freight loading by 2030 remains intact. And so does the target of attaining 40% market share in the overall logistics of the country, which is currently about 25%, 26%.

So while there may be some blips in the requirement over 1 or 2 quarters, but on the midterm basis, I would say that the demand for wagons, we do not see them to become a challenge. And we are fully ready to be able to cater to that demand at the rate of 1,000 wagons if there is enough

business in the market.

The growth in terms of the ramp -up will really start coming in from the Passenger segment, which has already started seeing a ramp -up, but we will now next year, FY '27 and FY '28 are going to be the defining years wherein the real ramp -up of the Passenger Rail Systems is going to happen, both in terms of the Metro segment, in the Vande Bharat segment as well as in the Propulsion segment.

Aniket Madhwani: What's your current order book ?

Umesh Chowdhary: It is there in the presentation, yes.

Moderator: Mr. Aniket, I would request you to join back the queue as there are several participants waiting for their turn.

Aniket Madhwani: Sure.

Moderator: We take the next question from the line of Anand Kulkarni from Front Wave Research.

Anand Kulkarni: I have a couple of questions. First, how much is the backlog of CRRC, the Bangalore Metro?

And when are we expecting it to be clear? Do we see any spill over in FY '28? That's my first.

And second, what is your current production run rate for metros specifically?

Umesh Chowdhary: So the backlog of CRRC is likely to be over in FY '27. At most, if it does, then it may be spilling over to the first month or first 1.5 months of the FY '28. But bulk of it will be over in FY '27. As far as the run rate of metro is concerned, we just spoke about it that last quarter, we improved.

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And this quarter, we are further likely to improve. Our target is to get to 20 cars per month, which is what we will get within the next few months.

So it is a process. It is a new business line, which we are ramping up. And there are always teething troubles that are there when you go for such a steep ramp -up. Most of them, we have been able to overcome. And the result is already in front of us that the ramp -up is already visible, and we will continue to pursue this ramp -up and get to 20 cars per month within the next few months.

Moderator: The next question is from the line of Viren Sameer Deshpande from Alphapeak Investments.

Viren Deshpande: Sir, the execution has improved to some extent with the availability of the wheel set. And last time, you had mentioned that the imports have been permitted. So still, are we not in a position to execute to the fullest extent?

Umesh Chowdhary: So import of wheel set takes a little bit of time once we get the orders, and this is only permitted for the NRC or the private sector wagon requirement, not for the wag

ons that we produce for the

Indian Railways. So therefore, the even when we start import process, from the day we place the order till the time we receive the wheels and we are able to use, it takes between 4 to 5 months.

So that's the reason we were unable to ramp up the production to the desired level.

But right now, till we receive the new tenders to be able to produce around about 800 wagons is what we are targeting per month, and we should be able to get there. As I said, this was an unexpected blip that we faced from the rail wheel factory. The production had normalized, but then again, there were some problems. But this is a very short -lived one.

Viren Deshpande: But our production in the joint venture is expected to start from the next year Q1?

Umesh Chowdhary: Yes. The trial production is expected to start by March or April and then stabilize in another couple of quarters.

Viren Deshpande: So it may be after Q2 ?

Umesh Chowdhary: It's premature to say. As I said, the trial production will start now and then to stabilize whatever time it takes. So it generally takes anything between it can happen in anything between 1 to 2 quarters.

Viren Deshpande: And regarding this Titagarh Firema joint venture, where they held about 41% stake. And I think the balance 59% was held by Titagarh, can you explain what is the situation now?

Umesh Chowdhary: So our share Titagarh's share in Firema was minority. It was not 50 or whatever percent you were mentioning, sir. It was a minority shareholding and then there were other partners also in this. As far as the what we have already reported, the company had run into difficulties.

And as there were two objectives of investing into Firema. One was to set up our business in India for the Passenger Rail Systems. And as you can very clearly see, that has met with thumping success. We have an order book of INR11,000 crores directly and about another

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INR7,000 crores indirectly through our joint venture with BHEL that is all in the passenger segment. So that has paid very rich dividends.

The second one was to produce in Europe for Europe. That unfortunately could not succeed and the company continued to make losses. And considering the opportunities available in India and the difficulties prevalent in Europe, we had decided not to take further exposure. And therefore, now the company the Italian State Railways have made an offer to buy out that company, and that is a deal which is under progress.

So once it is done, then we will be able to ascertain exactly what will be the status of the losses.

But mostly, the entire worst-case scenario or the losses that can happen to the company have been disclosed in our results. And most of it is noncash. So the cash is already spent. It does not impact if I may just complete, it does not impact our business in India. So therefore, it is not so much synergistic anymore. Yes, please go ahead, sir.

Viren Deshpande: Actually, when I saw the balance sheet of 31st March '25, it shows that the net worth of the company was some INR158-odd crores. And maybe in these 9 months, whatever losses will come, netting out those losses, will there be a positive net worth? And will we realize something after because you had given a guarantee of the land parcel, etcetera. So that impact, we are not in a position to understand what will happen?

Umesh Chowdhary: So as I just mentioned, sir, that the total worst-case scenario, now the company has been offered by the State Railways of Italy to be acquired. We do not expect very large equity payback, if at all, from the Italian railways. And what will be the final impact of that? The worst case has been disclosed in our balance sheet. So whatever happens will be better than the worst case.

Viren Deshpande: So we are not expecting any charges significant charges of impairments

, etcetera, happening in our books?

Umesh Chowdhary: Apart from what has been mentioned in our balance sheet or in the results.

Viren Deshpande: They have been already provided, no?

Umesh Chowdhary: So it is there as a part of the results. So there is some part of it has been provided and some part of it has been disclosed. So if you go through the details of the financials, you will be able to find that.

Viren Deshpande: Okay. In the notes. Okay. And all the best to you. Hope we are in a position to have a very good next year, '26-'27 because this year has been a very stormy one for us because of the factors beyond our control also. Though we have been on track, we are not in a position to deliver because of certain things beyond our control. Hope this year and the next '26-'27 and '27-'28 will be very good years for us.

Umesh Chowdhary: We are also very hopeful and optimistic about that, sir. Thank you.

Viren Deshpande: All the best. All the best. Thank you.

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Moderator: Thank you. We take the next question from the line of Rajesh Bhandari from Nakoda Engineers. Please proceed.

Rajesh Bhandari: Good afternoon, sir. Sir, we have a total order book of around INR28,000 crores, INR27,755, crores in which we have for wagons 3,126. How much is the monthly load of the wagons?

Umesh Chowdhary: Sir, this is almost like I said, for half of next financial year, we should be able to cater to with the existing orders. And to go beyond, we are looking at the new tenders, including the new orders that we will be able to receive on account of this wagon leasing license that we have obtained.

Rajesh Bhandari: Till when are the government's wagon inquiries coming, sir?

Umesh Chowdhary: This is not in our hands, but we are expecting it to come in Q1, as I said in the beginning that the railway had set its target of carrying 3 billion tons of traffic. The railway has not done any downgrade anywhere in that. The railway is still determined that it will carry 3 billion tons of traffic by 2030. The vision that the Prime Minister said in the national rail plan, 40% market share will be in logistics.

Even today, there is an article in a newspaper that under Gati Shakti, the railway has to increase its share and increase its loading. For that, the terminals and the rail network that they have to invest in, the cabinet is clearing them one by one. So I believe that the wagon demand should be very healthy to load 3 billion tons of traffic for the next few years.

Rajesh Bhandari: Sir, what is the positive effect of this budget? And what will be the positive impact of the trade agreements that we can expect in as far?

Umesh Chowdhary: As the question of the budget is concerned, the budget is very positive. I will divide it into two parts. The first is for our business on the passenger rail system. In the passenger rail system, the budget document says that new Vande Bharat trains will be installed and their services will be enhanced.

And the biggest thing that our company is working on and will continue to work on, and we are working on it with great focus, is additional high -speed corridors. 7 new high -speed corridors have been announced. Because Titagarh is the only self -reliant company, which can be called a make -in-India company, which has the capacity to build high -speed trains.

And the aluminium coach that we are setting up now, which will be productionized before September, we will have the full possibility of building high -speed trains in it. And plus the land that we have taken and are building a test track, we can move forward towards a high -speed train.

So under this budget, our future roadmap of the passenger rail system has been established in a very good way. As far as freight is concerned, there have been some media reports about some wagon procurement, which is there, which is about 30 ,000-32,000 wagons. But the railways have not officially confirmed that to us as of now.

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Having said that, as I mentioned that today the railway carries about 1.5 billion tons of traffic and they have about 4 lakh wagons. So if they have to go from 1.5 billion to 3 billion tons, then they need wagons.

Rajesh Bhandari: We will definitely need that many wagons.

Umesh Chowdhary: I will not be able to comment on the detailed calculation, but this is the overall...

Moderator: Sorry to interrupt. Mr. Rajesh. I would invite you to join back the queue as there are...

Rajesh Bhandari: No, no. My question has not been fully replied, ma'am. It was budgets and trade agreement also.

Umesh Chowdhary: Neither positive nor negative. Trade agreement has no direct impact on our business, sir. There is no direct impact of the trade agreement in our business.

Rajesh Bhandari: Neither positive nor negative?

Umesh Chowdhary: Neither positive nor negative. Of course, it does improve the general sentiment. And you see the indirect advantage that we will get is that if there is higher GDP growth, which is definitely going to be the case because of these trade agreements, it is going to enhance the GDP growth and the size of the economy. So therefore, there will be an impact on the overall freight loading and thereby on our business.

As far as the turnover growth is concerned, we have already given the order book that is available. We have also given in our strategic plan, which you can download from the website, the way we are looking at moving forward. So while we cannot give you any forward -looking projections as a matter of policy, we have given you the directional framework of how the company intends to go in the next couple of financial years.

On the trade agreement, I just mentioned that probably in terms of our if the overall logistics and all of those procurement costs come down, then there will be some cascading impact or advantages, but there is no meaningful direct impact to us.

Rajesh Bhandari: Sir, I have a small question. What is the approximate cost of the aluminum coaches and SS coaches?

Umesh Chowdhary: Metro coaches are sold for approximately INR10 crores to INR12 crores.

Rajesh Bhandari: Aluminum?

Umesh Chowdhary: It depends on the specifications. That will become hypertechnical. I would avoid getting into that, right?

Rajesh Bhandari: But it will be more than metro ?

Umesh Chowdhary: Yes, sir.

Rajesh Bhandari: Okay, sir. Thank you, sir. Thank you very much.

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Umesh Chowdhary: Thank you.

Moderator: Thank you. We take the next question from the line of Parvez Qazi from Nuvama Group. Please proceed.

Parvez Qazi: Hi. Good afternoon, sir. Thanks for taking my question. So my first question is on the passenger business. I mean , we have multiple orders now. Based on your commentary, production on most of them will start at some point in FY'27. So are we looking for more orders in this segment? Or do we first want to stabilize and start work on the existing orders?

Umesh Chowdhary: So, Parvez, we are absolutely looking at more orders. In the last 6 months or less than 6 months, I would say, we have booked orders of about INR 4,000 crores for metros, as you are aware,

Mumbai Line 5 and Line 6. And we are looking at participating in a spate of tenders that are in the offing. So in terms we are doing both simultaneously.

And since you have seen the facility, you have seen the kind of expansion that is continuously going on. On one side, we are continuing to build up our order book and participating in new tenders, and riding the wave of opportunity that this sector presents. And simultaneously, as we keep on building up our order book, we are also

enhancing capacities.

Parvez Qazi: Sure. And the second and the last question is in terms of numbers, what kind of order book will we have in the wagon segment now? Would it be closer to about 8,000 wagons?

Umesh Chowdhary: We have not disclosed that number, so I'm not sure. I can't give you that number right now. But, I will definitely in terms of the details, we will try to share in the presentation or by way of further addendum to presentations as far as possible.

Parvez Qazi: Sure, sir. Thanks and all the best.

Umesh Chowdhary: Thank you so much.

Moderator: We take the next question from the line of Devang Shah from Allvest Investment Managers Private Limited.

Devang Shah: Sir, as you have mentioned, that there is a growth that is coming from the Passenger Rail segment, and there is still uncertainty prevailing as far as freight wagon is concerned. By considering all this facts, what kind of just as a not a number, but the growth as far as top line we can expect over the next 2 years? And second question, sir, what kind of margin that we expect from over the next 2 years in general?

Umesh Chowdhary: So in general, what I can answer your question is what is the potential of the business that is there? As far as the freight is concerned, I do not see uncertainties in the midterm. As I mentioned to you that we have orders till first half of the next financial year. And we are pretty hopeful that orders should start flowing in by that time. And considering that the overall freight loading targets are intact, they have not been scaled down by the government.

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Considering that the Indian economy is still growing at a very healthy pace, and considering that the logistics cost of the country has to be brought down, and the railways have continued to invest in building up capacity in terms of tracks, signaling capacity, locomotives and all of that, we believe that the wagon demand has to follow.

On a metaphoric basis, wagon always follows the locomotives, both physically and business-wise. So the locomotive production has been ramped up. You have seen the production numbers. Railways have ordered new locomotives on Siemens and stuff like that. So the wagon demand, we do not see that it will plummet over a longer period of time.

There can be blips over a quarter or a couple of quarters, but not more than that. That is our expectation. So having said that, the overall potential that we have for the freight wagon of 1,000 wagons a month remains intact or 12,000 wagons a year remains intact. And we believe that the demand sooner or later will come in, and we will be able to cater to that demand.

As far as the passenger segment is concerned, we have very clearly and very explicitly elaborated the growth trajectory that we are envisaging, and how we are envisaging that growth trajectory in our strategic plan. So I would request you to refer to that.

That will give you an overall view of where the potential lies for this business also. I can only sum it up by saying that considering even the full potential of the wagons or the freight business, the Passenger Systems business still has the potential of overtaking substantively the freight business in a few years' time from now.

Devang Shah: And yes, sir. And as far as margin?

Umesh Chowdhary: The margin freight wagon margins remain stable at 11%, 12%, 12.5% like we have always done. And as far as the passenger business is concerned, again, because of the scales, we have always maintained that once we achieve the basic economies of scale, we should be at about 11%, 12%, which is what we are at this quarter.

And going forward, once we have our own propulsion, and we are able to fully backward integrate, which is a process that should take us another 2 years or so, we will be able to enhance that margin by additional maybe

3%, 4%. So our ultimate target on the passenger side is to be able to get to about 15% EBITDA levels, which will take us, maybe another couple of financial years to get there.

Devang Shah: Okay. And sir, my second question that as far as your other vertical is concerned, that is your shipbuilding and maritime system and some of the defence related that's sort of showing in your current order book. So any kind of opportunity you are looking and growth prospects on these 2

segments?

Umesh Chowdhary: The shipbuilding business, I mentioned to somebody just a few minutes ago . This is a very large opportunity. The Government of India is also identified as a key growth sector. And we will be focusing on that in the new company that has been formed to take the business of the shipbuilding forward. The defence , we have constituted a Board level committee, which the Titagarh Rail Systems Limited
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strategy for the defence is something which is still under deliberation. Once the decision is taken, we will definitely report back.

Devang Shah: Okay. Thank you, sir.

Umesh Chowdhary: Thank you .

Moderator: We take the next question from the line of Devanshi Shah from HUF Capital.

Devanshi Shah: Hi. Thank you for the opportunity . So, I had a couple of questions to ask. First one being, what is the planned capacity capex allocation for FY'27? And how will it be funded, say, through internal accruals or debt?

Moderator: Hello, sir. Are you on the line? Sir, we are not able to hear you. Hello, Devanshi ma'am, are you on the line?

Devanshi Shah: Yes, I'm on the line, but I cannot hear the management.

Umesh Chowdhary: Hello.

Moderator: Hello. Yes, sir, are you on the line?

Umesh Chowdhary: Yes, I'm sorry, I'm sorry. It was there was a connection problem. I was mentioning sorry, ma'am, I don't know at what point I lost you or do you hear me at all or not, but I'll start from the beginning.

Devanshi Shah: I didn't hear you at all, sir.

Umesh Chowdhary: Okay. So I'll start from the beginning. The overall capex that we had announced for the Passenger Rail Systems to achieve the capacity or the production that we have projected right now was about INR1,000 crores. And the capex that we are envisaging to make within FY'27 is within that amount. Part of it was funded through the equity raise that we had done and the internal accruals , and part of it through the funding, through the debt. So there is no new capital requirement per se that will be there , apart from the further expansions if we take up. So if there are, for example, the expansions for opportunities like high -speed or MRVCs or some other additional large projects that come up, that may take up new capex requirements. But outside that, the current levels that we have, the current orders that we have will be catered to by the capex that was already announced, which is underway and will be completed in the first half of FY'27.

Devanshi Shah : Got it. Also, you mentioned about the MRVC tender. So wanted to understand what additional capex needs to be done in the coming years for the timely execution of Vande Bharat and MRVC simultaneously?

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Umesh Chowdhary: We will not be able to speculate on that right now, and it is too premature to say about MRVC or any new tenders that we are participating. These are all opportunities that are there in the market, and there will be competitive biddings in each one of them.

So we would only come up with financial estimates of what is the opportunity for us and what is the capex requirement , etcetera , if and when we have been able to successfully win the project.

What we can mention is about the Vande Bharat, which is already included in the capex, which , I just explained to you about.

Devanshi Shah : Right. Also, are we looking to bid with

some strategic partner or we have the required credentials now to bid individually for the MRVC tender?

Umesh Chowdhary: We are open to every option. We are evaluating. These are all complex tenders. There are many aspects that need to be studied. The tender is still in the pre -bid query stage. Once this is finalized, only then , we will be able to say whether we are able to qualify ourselves or qualify with somebody else and whether we would like to go by ourselves or with somebody else.

So these are things that will be getting clearer over a period of time. The prebid queries are still not being answered by the customer, and it is still when it's in the prebid stage, it would be almost like the tender document discussion stage.

Devanshi Shah : Got it. That answers my question. Thank you . That's it from my side.

Umesh Chowdhary: Thank you so much ma'am .

Prachi Ambre: Ladies and gentlemen, due to time constraints, we take that as the last question. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Umesh Chowdhary: Thank you very much, Prachi , and thank you for the very insightful questions that were put forward. I hope we were able to answer them. If there are any further questions that anybody any of the investors would like to have, please feel free to reach out to our Investor Relations teams, and we would be most happy to answer all of your questions that may be there. And my team and myself are always available to do so.

Just at the cost of repetition, we believe FY'27 and FY'28 for the Passenger Rail Systems is going to be a very important year. It is going to be a very exciting year. So we will be working on building up the ramping up the production in the Passenger Rail Systems. And we are hoping that the Freight Rail Systems business also continues to get ramped up by way of the new orders coming in by the railways in the first half of next year.

So with that hope and expectation, I once again thank everybody for joining this earnings call, and I hope to interact again soon. Thank you.

Management: Thank you.

Moderator: Thank you. On behalf of Titagarh Rail Systems Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines .

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"Titagarh Rail Systems Limited
Q4 and FY '26 Earnings Conference Call "
June 01, 2026

MANAGEMENT : MR. UMESH CHOWDHARY – VICE CHAIRMAN AND
MANAGING DIRECTOR – TITAGARH RAIL SYSTEMS
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Titagarh Rail Systems Limited Q4 and FY '26 Earnings Conference Call. As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Umesh Chowdhary, Vice Chairman and Managing Director, Titagarh Rail Systems Limited. Thank you, and over to you, sir.

Umesh Chowdhary : Thank you very much. A very good afternoon to everybody, and a warm welcome to our Q4 FY '26 and financial year FY '26 earnings call. I will probably just start off with a few highlights for the year and for the quarter and then happy to take any questions that might be there. As you would have seen from the results that have been declared, I would like to first start off by informing everybody that we have finally been able to completely exit our investment in Firema. Firema has been very strategic as an investment to us because pursuant to that acquisition, we were able to start our passenger rail systems business.

However, that part of the strategy was already fulfilled and Firema continued to be both drain on our consolidated balance sheet or P&L as well as on cash flow because of continuous cash needs on account of the losses that it was incurring. With this investment and acquisition of Firema by the Italian State Railways, we have now been able to put a full stop to that.

And all the past and potential liabilities that Firema might -- our company might have with respect to the Firema transaction, everything has been provided for in the balance sheet of the -- financials of the company. And there will be no further losses or liabilities that we expect in regard to Firema.

Apart from that, the other big highlight for the year has been that the Titagarh Naval Systems, the shipbuilding business that was already informed in the past that it's a sunrise sector, and we would like to pursue this business but in a -- without disturbing the existing business of the rail systems. So we have segregated -- hived up the shipbuilding business into a wholly -owned subsidiary.

The subsidiary, which is called Titagarh Naval Systems Limited has acquired land in Falta, which is in the south side of West Bengal and has also taken on lease -- on long -term lease an existing concrete jetty, which was next to the land that has enabled the company to be able to start the construction activity, and we will be able to start production activity for ships in the new land in a short period of time. Within the current financial year, we expect that we should be able to start production in the Titagarh Naval Systems Falta shipyard.

This company has also been one of the first companies to be recognized and approved under the shipbuilding assistance scheme and has been sanctioned capital subsidy for its investment to the tune of 25% by the Government of India. The third highlight of the quarter -- of the year has been that this year has marked the highest ever turnover and profitability for our passenger rail system business.

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As I have always mentioned, the wagon business, the freight rail system business is more of an autopilot business or a cruising altitude business, if I can call it, wherein in a good year, we will be able to get to 1,000 wagons a month if there are orders which get placed, and I'll speak more about it as we go along in terms of the recent newspaper reports.

Of course, we do not have any way of confirming or denying them right now. But we are very sure that considering th

e growth trajectory that the Indian economy has, wagon requirement is bound to be there, whether it is a matter of a few quarters here or a few quarters there, but wagon demand will be there on a sustained basis is what our conviction is.

But irrespective, what we have planned now is for the current year, we should be able to stay at a run rate which is higher than what we have produced last year. So there will be a growth in the freight business. But on the passenger side, we would definitely be able to scale up much faster, and we had given a strategic plan that we would do between 100 to 120 coaches in FY26.

While we have not been able to achieve that target, we have increased the sales from 12 cars in FY25 to 63 cars in FY26, and we are extremely confident of being able to get to 200 cars in FY27. The order book also is quite reflective of this growth trajectory.

On a stand-alone basis, without considering the share of the joint venture, our order book for the passenger rail segment is about INR10,600 crores, whereas the freight rail segment is INR3,100 crores, which signifies the trajectory in which the passenger rail segment has the potential to go.

Our overall order book, including our share of the joint ventures and subsidiary is at about INR27,540 crores. The other highlights that we have for the quarter is in order to enhance our product offering to private sector, we have been able to get the wagon leasing license, and we have received our first contract or we have signed our first contract for wagon leasing.

And we believe that going forward, we will have a healthy mix of the 3 segments of wagon orders. One will be from the railway themselves. The second is from the private sector and the third is what wagons we offer on lease.

We have been also expecting or we've been hearing that the wagon maintenance policy should be announced soon. The wagon leasing business and the wagon maintenance business, once it is done, we believe will be a good addition to our freight business on the whole.

So these have been a few of the highlights. So the last point is on the freight side. We have already completed our capacity and technology enhancement for the foundry, wherein we have installed resin-based molding facilities in both our foundries. And now the foundries are fully capable of increasing its production and meeting the entire casting demand at full capacity of our wagon production.

Of course, we are waiting for the large tenders to be finalized so that we can also go for the power enhancement, connectivity enhancement, etcetera. But once this is -- there is visibility on the orders, we will be able to ramp up the production in the foundry to be able to produce castings for the 1,000 wagons a month.

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The last point that I would like to mention, the last highlight is during the year, we have also executed orders for Dedicated Freight Corridor Corporation through Mitsui Japan. These are specialized wagons, which are hydraulically and pneumatically operated ballast discharge wagons. These are high-tech wagons, if I may say so.

So that also marks our entry into certain higher end of wagons, which we believe that with the new technology that is being continuously implemented by the railways. The railways would also like to move more and more go into higher technology wagons, and we will be able to cater to that demand as well.

So these are the highlights that I would like to mention. All of them will be present -- will be put into the investor presentation that will be uploaded after the call. And I'm happy to take any questions that might come.

Moderator: Thank you very much. We will now begin with the question and answer session. First question is from the line of Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian: Good evening, sir. Thank you so much for the opportunity.

Sir on the passenger rolling stock

side, we have achieved 19% EBIT margin in Q4 FY26. On the full year basis, we have achieved 14.3%. I think our long-term guidance is 15%, but we have reached within a year itself. So I think we have to do a lot of work on the backward integration.

We could reiterate on the margin side for rolling stocks and passenger rolling side. And we have crossed nearly INR500 crores plus in this year. And if I'm taking 120 wagons or 200 wagons by

next year, it's like the growth rate is coming nearly INR1,500 -plus crores in FY 27. If you could -- like how we are going to execute that kind of jump in this financial year?

Umesh Chowdhary : So thank you for your questions. Let me explain two, three aspects of your question. One is as far as the margin profile is concerned, we have always guided that passenger rail system, we should be able to get similar margins as we have been able to get in freight rail systems, which is at around 12% which will get further enhanced when we are able to backward integrate and use our own propulsion, which is still about maybe a couple of years from now.

It is also a matter of volumes that the margins will improve because the -- the operating leverage in this business is going to be quite high as the fixed cost of this business is very, very high. Just to give an example, we have almost 150 people working in design engineering and R&D.

And these are all highly skilled people and that are working in the passenger rail system for only design engineering and R&D. So that can give an indication of what kind of operating leverage play will be there in the passenger rail system. The margin in the current quarter has been higher because we are also executing a contract for Bangalore Metro wherein the material does not come into the top line as the material is a free supply item.

Therefore, the EBITDA margin goes up in that contract. And that is a result -- as a result of that, the EBITDA percentage margin during the Q4 of this year as the execution of the Bangalore Metro was higher is slightly better. But on a sustained basis, we do not change the guidance that

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we have given in our strategic plan, which was published last year. As far as the ramp -up is concerned, we have already said in the past, we have ramped up from 12 cars to 63 cars this -- in the last year. And to ramp it up to 200 cars in the current year, we are fairly confident and we are well on our way to be able to do that.

Balasubramanian: Sir, my second question on the JV for wheel sets, the JV partner mentioned in the concall it will be starting by end of May or June. If you could reiterate where we are now and how we can expect ramp -up for the wheel set plant ?

Umesh Chowdhary : So the position remains exactly what our JV partner, Ramakrishna had mentioned in their call. We are expecting to start the production in this quarter, that is in June. And we are again confident that the ramp -up plant that is there will be fully achieved. We have a contract of 80,000 wheels per annum from the railways, which is valid for the next 20 years. We have our own requirement, plus there is opportunity to export wheels and to sell it to other strategic players. So there will be a healthy requirement that will be there for the wheels and wheel chair .

Balasubramanian : Sir, my last question. On that supply chain disruption side, I think.

Moderator: Balasubramanian, sorry to interrupt. Can you speak louder, please?

Balasubramanian : Sir, on the supply chain disruption side, which are the specific materials or gas we have faced and how you are mitigating?

Umesh Chowdhary : The supply chain constraint you are speaking about, sir?

Balasubramanian : Yes, sir.

Umesh Chowdhary : Yes. So supply chain constraint, what we have faced is nothing different from all the industry that they have

also faced. We have faced supply chain constraints for gas, for LDO. And also our suppliers have faced the supply chain constraints. So there have been delays in steel supplies in component supply cases. So these are standard. Now the situation is much better.

I think the government of India has been able to negotiate international deals in order to improve the situation substantially. So the situation remains, I would say, we are watchful of the situation, but we believe that should not impact too much on our targets for the year. Of course, I would also hope that this situation of West Asia comes to an end. So that's something we all continue to hope.

Balasubramanian : Yes. Thank you, sir.

Moderator: Thank you. Next question is from the line of Virat Jain, Individual Investor. Please go ahead.

Virat Jain : Hello sir. Thank you for the opportunity. My question is on this leasing order that you won. Can you give some color around it? How much -- how many wagons are we looking to lease? Who is the customer? That is one. And then the follow -up to that is, how do you see this leasing business growing over the next 2, 3 years?

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Umesh Chowdhary : Sorry, I couldn't hear your second part of the question, sir. I heard the first part.

Virat Jain : How do you see this business growing over the next 2, 3 years, leasing business?

Umesh Chowdhary : Sure. So you see the leasing business that we are doing is more as a product offering as an extension to what business we do. We are not going to do any third -party leasing for wagons made by other people, but this is only an enhancement of product offering that we are offering to our customer.

We intend to -- this order that we have got was from Balmer Lawrie for 2 rakes only. But we intend to calibrate our -- I mentioned in my opening remarks, the three segments or three outlets of our wagons. One is to the railways. The second is to the private sector. And the third will be on the wagon leasing side.

So on the wagon leasing side, it's going to be a calibrated offering that we will make only to very, very safe clients where we do not see credit risk coming up. So I will not be able to give the exact numbers at this point of time because that is something that will evolve. And I would also not like to mention that for competitive reasons, business reasons. But we will be doing it in a calibrated manner that we can -- I can say. So the growth on the leasing business is not going to be the growth from the leasing business, but a growth in the wagon business owing to the leasing business.

Virat Jain : Okay. That's clear. The second question, sir, is on this last railway tender. I mean, any color you can give around this? When can we see this tender? Also, I think you mentioned newspaper articles, if you can address that also, whatever comments you have to offer and do you feel confident that at least the orders will come in next, let's say, 3 to 6 months?

Umesh Chowdhary : See, we cannot speak about the newspaper articles because that would be improper on our part to do that. What I can only say is that we are very confident that the India story is strong. India is well within -- well on its way to become a \$5 trillion economy. And in order to do that, the logistics cost of India and the logistics infrastructure of India has to be very robust.

And that cannot be achieved unless and until the railway network is very robust. I can give you some very, very high -level numbers to support my belief in this. The railways have invested a cumulative of almost INR20 lakh crores over the last 8 to 10 years. The government of India has invested in the railways almost INR20 lakh crores.

Now in order to get return on that investment of INR20 lakh crores the railways have to grow their business, which effectively is passenger and freight traffic. So in

order to grow the

passenger and freight traffic, the last end of the spectrum for investment is the rolling stock, both for passenger and freight, which means trains and wagons.

So the current carrying of the railways, which is at about 1.6 billion tons, has been stated to be increased to 3 billion tons by 2030. Now that may happen by 2030. That may not happen by 2030 and happen in 2031 or '32. But it will happen, there is no doubt about that. And in order for that to happen, the wagon requirement has to be there.

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So to answer your first question based on this, that requirement for wagons will come. There will be a healthy demand for wagons. There can be blips and troughs for brief periods of time based on infrastructure readiness or procurement priorities of the government. But on a sustained basis, we see a healthy demand for the wagon.

And that's why I said that it is a cruising altitude business. Sometimes we can be -- and that's what is given in our strategic plan that this is a business that will be there in a range -bound manner. Bad years, we can do at the rate of 600 wagons a month. Good years, we will do at the rate of 1,000 wagons a month.

Moderator: Next question is from the line of Parvez Qazi from Nuvama Group.

Parvez Qazi : So my first question is, it would be great if you could give an update about the 5 major passenger port orders that we have, which is Vande Bharat, Gujarat Metro, Mumbai Metro, Pune and the Bangalore Metro? Thank you.

Umesh Chowdhary : Sure, Parvez. So I'll start with Pune. So again, I think that was a highlight, which I missed mentioning in my opening remarks, and thank you for asking this question. So Pune, we have completed the supply of the first lot of 34 trains. But what is more important is the milestone that bulk of these trains have now completed their defect liability period. So which means that the provenness of this train is now established.

And the second, if I can call it the badge of honor is that we have received repeat order from Pune Metro for the option quantity of 12 trains. So being a new entrant into the passenger coach business or the passenger rail segment, let's say, 5 years ago, there were apprehensions on the ability of the -- and the capability of the company to be able to establish itself in this business. These are very important milestones or very important benchmarks for conveying that we have been able to establish ourselves not only complete the order successfully, but complete the defect

liability or the warranty period successfully and come out of it.

The 12 train orders from Pune that we have got will be -- and we had already given it in our press announcement when we got the order to be delivered in 2 years' time from the date of the order, and we'll be well on our track to do that.

Gujarat Metro, we already started the supplies. We have already supplied the first trains, and we are confident of completing this order within this financial year, that is FY '27, which is a total of 34 trains or 102 cars. We should be able to complete that within this financial year or a maximum maybe 1 quarter of here or there, but -- by and large, our target is to close it within this year.

As far as Mumbai is concerned, we will start the supply within this financial year, and the execution will happen over the next 2 financial years for both Line 5 and Line 6. The design approvals are at an advanced stage, and we are planning to start the first car body production in the next quarter in Q2 of the current financial year. And the train should get delivered in Q4 of the -- between Q3 and Q4 of the financial year, the first train.

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As far as Vande Bharat is concerned, once again, we have said that Q3 of this year -- or within this financial year, we'll be able

to deliver the prototype train. We are well on our way to do that.

We have already made first 10 car bodies of the Vande Bharat, and now they are entering into the different stages of outfitting and completion. So we are extremely confident that this financial year, the first train of Vande Bharat will get delivered.

Parvez Qazi : And when do we expect to complete the Bangalore Metro order?

Umesh Chowdhary : Yes, sorry, Bangalore Metro is also something that we will complete within this financial year, maybe spread over to the next quarter -- or the first quarter of the next financial year. But we are dependent on this order for the supply chain from a third party, as I mentioned a little while ago that this is -- materials are supplied on a free supply basis.

So we use the capacity on a fungible basis between our existing other metros and the Bangalore Metro. So that we can optimize on production. So while the contractual delivery provided we get all the free supply materials on time is within this financial year, we are considering whether that there can be a spillover by 1 or 2 quarters.

Moderator: Next question is from the line of Sandeep Mukherjee from SKP Securities.

Sandeep Mukherjee : Sir, some certain bookkeeping numbers I'd like to ask. Sir, what is the pending number of wagons? And what is the number of private percentage in that?

Umesh Chowdhary : So we do not give the breakup of the private and the government orders. But the total orders we have now are about in the ballpark of 6,500 wagons. And then, of course, we are aggressively pursuing booking of new orders, both from private and from the government sectors and the leasing one as well.

Sandeep Mukherjee : And sir, what is the number of wagons produced in this quarter, sir?

Umesh Chowdhary : In Q4?

Sandeep Mukherjee : Yes, in Q4 itself.

Umesh Chowdhary : Yes. In Q4, we did about 1,700 -odd wagons, which will be a part of the presentation that you will receive in a few minutes.

Moderator: Next question is from the line of Amay Sharda from Purnartha Investment Advisors.

Amay Sharda : Just wanted to understand regarding the restatement that we had for the Italian subsidiary of Firema. Just wanted to know if there is any kind of cash outflow that is also expected for the same?

Umesh Chowdhary : So Firema is now a discontinued business for us and Firema business has already been sold to the Italian state Railway, which is Ferrovie dello Stato . And beyond whatever we have already invested or provided for in our books, there is no cash outflow or losses expected in our books with respect to Firema anymore.

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Amay Sharda : But like -- so we -- basic -- the numbers for Firema, the losses basically increased, right? So because of that, is the cash outflow also expected to increase or like that's more like a notional number?

Umesh Chowdhary : No, that is the loss of Firema's Italian operations. That has nothing to do with the cash flow or cash requirement of the company of Titagarh Rail Systems. Because of those losses, the

investment value of the equity shares in the books of Titagarh Rail Systems has been written down or impaired.

But those losses that have incurred -- have been incurred in Firema for the previous year, which was FY25, was the reason why which the company decided not to put in more money and sell it to the Italian State Railways.

So to answer your question in short, that there will be no impact of those losses that have been reported in Firema any further than what has been already taken in our books and declared and there is no further losses or cash outflow outside the provision or the loss that has already been booked in our books and declared in the results.

Amay Sharda : Okay. Understood, sir. And sir, my second question was regarding this -- so the Freight segment. So since we have started reporting s

hipbuilding as a separate segment from the Freight segment, because of which the margins have improved for the Freight segment or like it looks improved on the paper. So does that mean that the current margins will be sustainable for the Freight segment? It's around 12%, and we used to report around 11% before that?

Umesh Chowdhary : So as we have always mentioned that Freight business is a business where we have stable margins of 11% to 12%, depending on the mix of the private and the public order, or the railway orders mix of supplies, depending on how the price variation clause and the commodity prices have moved.

My request to you would be not to consider on a quarter -to-quarter basis the margins, but to consider it on a longer period. And there, the margins are going to continue to be on the same level, which is vicinity of 12%. Some quarters can be 0.5%, 1% lower, some quarters can be 0.5%, 1% more. But 12% on a steady -state basis is what we can consider over maybe 4, 5 quarters going forward as well. Unless and until there is a change in the market dynamics, this is where we should stand.

Amay Sharda : Okay. Understood, sir. And sir, the last question was, so whenever -- in the passenger segment, just wanted to understand like once a company -- the Titagarh starts working on a new metro train or a new passenger train segment order, so like after producing the first prototype, how much longer time does the company take to basically ramp up the number of trains ?

So like once you have delivered the first prototype, if the approval comes, then automatically, we can ramp it up to 2 to 3 trains per month or like it takes some kind of a learning curve to be able to do that?

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Umesh Chowdhary : Normally, there is no steady -state answer for different projects. Each project has their own criticality. But what I can answer here is on a general basis, on an average basis, the benchmark is that the learning curve or the time taken, the gestation period is more for the designing and the prototype.

Once the prototype is done, of course, there is a learning curve to achieve efficiencies, but the production gets ramped up immediately thereafter. I would not say on the day -- second day of the prototype, but maybe over a period of 2 to 3 months of the prototype. And we always balance the production between different projects. So that the overall production does not get adversely impacted to a great extent when we move from one project to the other.

So as you can realize that this is a new business for the company. We are still establishing. It's the first time that we have done record turnover, record margins in this business, which is only, I would say, a sign of things to come in the future. But our objective over the next years is going to be that when we switch over from one project to the other, the disruption in the overall production should be 0 or near to 0.

Amay Sharda : Okay, sir. Understood. Thank you so much.

Moderator: Thank you. Next question is from the line of Khush Nahar from Electrum PMS. Please go ahead.

Khush Nahar : Yes. Hi, sir. Thank you for the opportunity. A couple of questions. So one, could you elaborate more on the opportunity that we have for the DFC, the specialized wagon manufacturing, which is there? So what kind of overall target market are we looking at and what the competitors or players involved in this type of segment?

Umesh Chowdhary : Sure. So as far as DFC is concerned, we need to see the DFC as a part of the extended network of the wagons of the railways. So therefore, you should not see -- look at the DFC as a separate part of the railways, which will require completely different wagons.

However, there will be from time to time, special purpose wagons that will be taken. The one that I mentioned about in my opening comments, was the special purpose wag

on that we have

given. Those are some of them required for maintenance purposes or inspection purposes. But

the types of competitors are going to be almost the same as we have in other wagons. Wagon business is -- the competitive landscape does not change from one type of wagon to the other. But in terms of the overall requirement for the DFCC for wagons, I would rather present it differently and say that there will be no separate demand for DFCC on a larger basis. But because of DFCC, the overall demand will increase as the bottlenecks that exist in the Indian railway network will get addressed or will get removed and the overall throughput of the traffic movement of the railways will get enhanced.

Khush Nahar : Right. Sir, in terms of the PRS execution, so maybe just to get some sense that when could we see a similar...

Umesh Chowdhary : Sorry, your voice is not clear. Can you please go off the hands -free mode.

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Khush Nahar : Yes. Is it better now?

Umesh Chowdhary : Yes.

Khush Nahar : So my question was regarding the passenger rail system. So since now that we have the required capacity in FY27, what according -- in which year according to you, can we see the full potential this is the current order book that we have in terms of numbers for the PRS segment?

Umesh Chowdhary : So we have already given that in our strategic plan that we will be ramping up our production and our capacity and our capability on a year -to-year basis right up to 2030. The years that we personally are watching for are 2028 as '27 is, of course, a very important year. And then 2028 is going to be the year where Vande Bharat will be in full production and metros will be in full production. And then continuously, we would expect to continue to ramp up the production up to the targets that we have for FY '30.

Khush Nahar : All right. Thank you, sir.

Moderator: Thank you. Next question is from the line of Rajesh Bhandari from Nakoda Engineers. Please go ahead.

Rajesh Bhandari : Hello. Good evening, sir. Hello. Can you hear me, sir?

Umesh Chowdhary : Yes. Good evening, sir. Please go ahead.

Rajesh Bhandari: Yes. Sir, as you mentioned, we have a total order book of INR27,544 crores. That includes order for wheels also?

Umesh Chowdhary : Yes, as I mentioned, that includes our share of the joint venture. So if we have 49% of the joint venture, then the number of INR27,540 crores includes 49% of the wheel joint venture that we have. So that's how the number of INR27,540 crores on a consolidated level is calculated, including our share of it.

Rajesh Bhandari : Yes. And sir, we have metro, wagons, wheels, naval and also in metro plus we have Vande Bharat also. So, now the variety is too good. But our turnover was INR3,822 crores for FY25 and INR3,190 crores for FY26. So, what can we expect in FY27, '28 and '29, sir, approximate ?

Umesh Chowdhary : So we cannot give you forward -looking projections, sir, but in our strategic plan that is already uploaded on our website, we have mentioned that 2 businesses that have to be seen separately, the passenger business and the Freight business.

As I mentioned in the earlier comments also that our freight business is a steady -state business. We can call it a cruising altitude business, which will be range bound. The passenger business is the one that will be growing year after year.

And in terms of the turnover split, if you see that the overall company -wise, the turnover of the passenger business was less than 10% in the FY25 and has increased to about approximately

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17% in the FY26 and it will continue to increase. And our expectation is that it will follow somewhere with the percentages split of the order book in the future in maybe 3 to 4 years or 5 years' time.

Rajesh Bhandari : In course of

time, it can even overtake the wagon turnover also?

Umesh Chowdhary : Sir, as I mentioned that it will follow the almost -- we expect -- we expect that in the next 4 to 5 years' time, maybe by FY30, it will be in line of the order book percentages. Today, in terms of the order book percentage freight is just about 25% or 30%, between 20% to 30% and passenger is about 70%, 70% to 80%. So the potential of the passenger business to grow is to the same level that it can be on a stand -alone basis, 78% of the overall business.

Rajesh Bhandari : When will the production of wheel start, sir?

Umesh Chowdhary : I had already told you a while ago that the production will start in June.
Rajesh Bhandari : Then it will go on full swing?
Umesh Chowdhary : That's right.
Rajesh Bhandari : And what about nav al, sir?
Umesh Chowdhary : I have already told you about na val. We will start production in our new yard this year.
Rajesh Bhandari : Since when, sir? The voice is not clear.
Umesh Chowdhary : We will be starting the new yard production within the end of this financial year in the new year.
Rajesh Bhandari : Yes, yes, yes. So we can expect in next 2, 3 years, the turnover will multiply rather?
Umesh Chowdhary: We hope so, sir.
Moderator: Next question is from the line of Amitoj Singh from 360 ONE Capital.
Amitoj Singh: First, I just wanted to ask, can you give me a breakdown of wagons that we have dispatched out of the 63 wagons split for project, if that is available?
Umesh Chowdhary: Sorry, we never do that, sir.
Amitoj Singh: Okay. And if any outstanding order book or coaches that we are yet to deliver for each project or broad -based number that is available?
Umesh Chowdhary: So we have a total order that we are yet to deliver is about 522 metro coaches and 1,280 Vande Bharat coaches.
Amitoj Singh: Okay. Sir, will we be releasing a presentation so that I don't think I can see the same?
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Umesh Chowdhary: Yes, we will immediately -- during the course of the day today, the presentation will be updated. They will also be addressing some of the questions that come up during the call today.
Moderator: Next question is from the line of Akash Agarwal, individual investor.
Akash Agarwal : Just wanted to know this Vande Bharat is getting delayed month -on-month, month -on-month, quarter -on-quarter. So is this now firm date that next quarter we'll be able to deliver the prototype?
Umesh Chowdhary: Sir, we never said next quarter and there have been no delays after the initial delay on Vande Bharat. We have always maintained that the Vande Bharat train will be delivered in the current financial year, the end of Q3 or beginning of Q4 of the year. The initial delays that had taken place were because of the confusion on the 16 to 24 coaches by the railways and the railways has recognized that and refixed the delivery accordingly to FY '27, Q3 or Q4, I do not remember, but that's when we are confident of being able to deliver the train. So to clarify, there are no delays from our side on Vande Bharat. We are very well on schedule as per the contract with no imposition of any kind of damages or delays.
Akash Agarwal : Sure. So just the second question, sir. So once we deliver a prototype, then revenue will recognize in this financial year, right?
Umesh Chowdhary: Then we will start delivering the balance of the trains. We have a total of 80 trains. Each train is of 16 cars, and there is a schedule against which the trains have to be delivered. And that schedule has also been represented in our strategic plan presentation that was uploaded last year, a few months ago.
Moderator: Next question is from the line of Koundinya Nimmagadda from Jefferies India.
Koundinya Nimmagadda : Just continuing on the previous participant's question. My understanding is that you will be delivering or you are supposed to deliver 2 Vande Bharat trains this year. Is that fair or is there a change in plan out there?
Umesh Chowdhary: It is absolutely fair. We will be delivering 2 Vande Bharat trains within this financial year.
Koundinya Nimmagadda : And any tentative time line, any specific quarter where you can flag it to us that this will be the quarter where you can see that turnaround or a first prototype delivery that we can look forward to?
Umesh Chowdhary: So we are looking at the first train to be delivered in end of Q3 or beginning of Q4. So let's say, between Q3 and Q4 will be the first Vande Bharat train that will get delivered.
Koundinya Nimmagadda : Sure. Got it, sir. Sir, second thing, if you can speak a little bit about your Naval expansion plan and what is it that you're planning to do? And then how are you planning to fund the capex out there? You did speak about starting the Naval at the end of this year. Can you speak -- help us understand throw a little bit more color on what can we expect out here?
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Umesh Chowdhary: Absolutely, sir. So we have already mentioned in the past that the total project cost that we have

identified for the TNSL is about INR 610 crores, for which we have also received approval from the capital shipbuilding scheme for 25%, right, 25% capital subsidy, which will be given by the government of India.

Balance of the capex is going to be funded between a mix of debt and equity in TNSL. The idea of having this as a separate company, as we had also mentioned in the past, was to look for strategic financial investors in Titagarh Naval Systems so that the equity outflow from the parent that is Titagarh Rail Systems is of a limited nature.

And also over a period of time, once the business is stabilized, we may look at separately listing this company. But that's something which is to do with the future, which we had announced that as the rationale for segregating the shipbuilding business into a separate company.

But as of now, what we are going ahead with is what I mentioned, INR 610 crore's project for which the land has already been allotted and acquired by us. And we've already got the jetty and the construction work is going to be starting very soon.

Koundinya Nimmagadda : Understood, sir. Sir, if I may ask a couple of bookkeeping questions. Firstly, if I were to look at the inventory days, I mean, there appears to be some rise out there. I mean, what this increase in proportion to sales? I mean the absolute inventory is fine, but as a percentage of sales has gone up. I mean, if you can help us understand that better?

Umesh Chowdhary: So it is always you have the ramp -up, sir. So you will get more details with the presentation also.

But the inventory number of days, I had mentioned in my last investor call presentation that -- the KPI that we are looking for is inventory control in the freight, which has been disturbed because of the supply chain constraints. When you have supply chain constraints, they are limited to a few items, which we can call as balancing items so that the balance material that we have received kind of gets into a stuff inventory, but those are temporary in nature.

As far as passenger is concerned, we are at the ramp -up stage. This has been a new business for the company. And we are not really monitoring for the first 2 quarters of this financial year also, the inventory carrying, but we are monitoring more on the output ramp -up. And once that is done, the inventory carrying will automatically become normalized.

Koundinya Nimmagadda : Sir, can you also touch EBITDA on the debtor days? I understand passenger would have higher debtor days, but it looks closer to 100 -odd days. I mean, what should we look at as a sustainable number out there?

Umesh Chowdhary: So just to add one more point to your last point, one more highlight to

your last question. This

year, we have been able to generate a cash from operations. Free cash flow has been INR 380 crores as against almost a flat free cash flow in the previous year of March '25 or maybe a slightly negative cash flow in March '25. So it has been a year which has generated us free cash flow, which is healthy.

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And to answer the next question, which is debtors. So debtors mostly once again, in terms of the normalized working capital cycle, the freight has a normalized working capital, net working capital days of 30. The passenger would have net working capital day of about 75 days. But that will only get achieved once we have achieved some kind of operating leverage or a scale of production, which we expect to achieve by the end of this financial year for the passenger.

Koundinya Nimmagadda : If I may ask one last question. On the Firema side, if I heard correctly, there is no potential cash outflow from the business or any contingent liabilities. Is that a fair understanding?

Umesh Chowdhary: As far as Firema is concerned, beyond what we have already provided for and taken hit in our books, there is no further liability that we are going to accrue in terms of Firema. Of course, I'm talking about in all unforeseen circumstances are unforeseen circumstances, but we have provided for everything which is to be provided for or liabilities that have to be taken, and there is no further cash outflow or liability beyond what we have already taken.

I would also just add one more point. I'm sorry, I missed out, which was slight delays in payments in terms of debtors in end of the financial year by the government, by the public sector, but that is something which keeps on happening every year. So my CFO just pointed that out to me and I just highlighted.

Koundinya Nimmagadda : Sure sir. Thank you very much and all the best.

Umesh Chowdhary : Thank you.

Moderator: Thank you. Next follow -up question is from the line of Virat Jain, Individual Investor. Please go ahead.

Virat Jain : Yes. Thank you for the follow up sir. One question I asked last time is, do you expect this last tender, I mean, do you feel confident this last tender will come in 3 to 6 months? So that was the last time's question. And then the second question is in the leasing business, do you expect Indian Railways to be a large customer?

Umesh Chowdhary : So both of them are questions that we will not be able to answer because we do not have enough information to do that. But I already explained the reason why we believe that wagon requirement is going to be there, whether it is one large tender or several smaller tenders in just very, very high levels or very order of magnitude basis without kind of vetting of the data that I'm presenting, which can be always verified from public domain.

The overall stock of wagons that the railways have is about 4 lakh wagons, 400,000 wagons. And if you look at the replenishment demand is about 4% of that. If GDP is growing at 6%, they need 6% additional wagons. So 6 plus 4 is 10% and 4 lakh wagons is what they have. So we believe that there can be ups and downs on certain periods of time. But on an overall basis, the wagon demand is something which has to be there if the India story continues to be there.

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And we are absolutely certain that the government and the political leadership is fully committed to making India achieve its rightful place in the economic development. So there is no reason why wagon demand should fall apart.

Virat Jain : Okay. And sir, the second question is this 80,000 wheelset contract in FY 27, can we pencil in, let's say, 30,000, 40,000 wheelset supply?

Umesh Chowdhary : That is as per the contractual terms. I will not be able to give you the exact number right now, but we will

definitely start the supply in FY 27. So what is the exact quantity, I apologize, but I do not have that number ready with me, but we will definitely try to incorporate that in our presentation.

Virat Jain : Okay. Thank you. Thank you for answering my questions.

Moderator: Thank you. Next follow-up question is from the line of Rajesh Bhandari from Nakoda Engineers. Please go ahead.

Rajesh Bhandari : Sir, in metro coaches, we were also planning for aluminium coaches?

Umesh Chowdhary : The coaches that we have delivered to Pune are aluminium coaches and the option quantity that we have got from Pune for the 12 additional trains are also aluminium coaches. So this makes us, it's a very interesting question. Thank you for asking this, Bhandari, sir. But this makes us the only company in the country who has both the capabilities of stainless steel and aluminium coaches.

Earlier, we were importing the flat packs or the subassemblies for these aluminium coaches from Firema from Italy. But now in the last year, we have imported all the machines that are required for making those flat packs within the country. So within this year and the coming year, that is FY27 and beginning of FY28, we will be fully Atmanirbhar or self-sufficient to make aluminium coaches from raw material or from extrusion onwards.

So that will make us fully integrated manufacturers of both aluminium and stainless steel coaches. By the way, world over, high-speed trains are also made in aluminium. That also opens up our opportunity, and that is going to be something that we will definitely be working towards.

And I have mentioned this in the past in my public interaction, media interaction that we would consider ourselves to be fully prepared and ready to take on the next challenge for Indian infrastructure, which is high-speed trains.

Rajesh Bhandari : Sir, a question when we say coach or car do we mean ek dabba?

Umesh Chowdhary : Coach or car, is ek dabba only someone says car someone says coach depending on their mood.

Rajesh Bhandari : Yes, sir. So ek dabba is approximately around INR10 crore s?

Umesh Chowdhary : That's right.

Rajesh Bhandari : Okay sir. Thank you sir. Thank you very much.

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Umesh Chowdhary : Thank you sir.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Mr. Umesh Chowdhary for closing comments.

Umesh Chowdhary : Thank you very much. Thank you, everybody, for participating in this call, and thank you for the very, very interesting insightful questions that were asked. We believe that India infrastructure story is in a very interesting moment. And thanks to the support that all of you, all the investors and all the customers and the stakeholders, employees have provided.

The timely entry of the company into alternative business, which is the passenger rail segment business makes us unique in this whole infrastructure story, wherein we are able to cater to both

the streams, which is the freight growth story of India and the passenger growth story of India. We are very confident. We are very bullish of both these stories continuing in a very healthy manner, in a very forward -looking manner, and we look forward to playing our own role in the infrastructure growth in both these segments and of course, in the shipbuilding segment. So thank you very much for your continued support, and I look forward to interacting after the next quarters.

Moderator: Thank you very much. Thank you, Mr. Umesh Chowdhary for taking out time and addressing the participants' questions. On behalf of Titagarh Rail Systems Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you .